



Ownership and Governance of State-Owned Enterprises 2024



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Preface

State-owned enterprises (SOEs) play an important role in many economies, and operate across a range of sectors, including infrastructure, natural resources, energy, logistics, transportation, financial services and manufacturing. SOEs can provide public goods and services that cannot be supplied by markets forces alone, generate revenue streams for governments, make investments to achieve a policy objective, support development, and advance science and technological progress.

State ownership of firms arises in several circumstances. SOEs could maintain legacy ownership in sectors that were once natural monopolies, for example to develop and extract natural resources. In other instances, governments have nationalised or temporarily acquired stakes in distressed firms, including due to crises, such as the 2008 Financial Crisis and the COVID-19 pandemic. Some jurisdictions have also leveraged SOEs to develop strategic industries.

Governments shape SOE decision-making and structure as shareholders, policymakers and in many cases regulators. Sound corporate governance, professionalised ownership, integrity, transparency and accountability are essential to address potential conflicts of interest, as well as the risks of corruption and illegal influence. This is particularly important to ensure SOEs remain effective in their mission and accountable to citizens and taxpayers as their ultimate owners.

The OECD compendium on *Ownership and Governance of State-Owned Enterprises 2024* accompanies the release of the new edition of the *OECD Guidelines on Corporate Governance of State-Owned Enterprises* (the *SOE Guidelines*), the leading international standard for policymakers to design effective ownership and corporate governance frameworks for SOEs. This compendium is a rich source of comparative information and global trends in this area. It can help countries take stock of their current practices and identify opportunities for reform. Following prior editions in 2018 and 2021, this compendium of policies and practices integrates new information on sustainability, as well as recent work on transparency, accountability, and the roles of boards. It draws on the knowledge and expertise of the OECD Working Party on State Ownership and Privatisation Practices, which is a platform to exchange best practices and monitor the implementation of the *SOE Guidelines*.



Mathias Cormann,

OECD Secretary-General

Foreword

This report provides easily accessible and updated information on ownership and governance practices of state-owned enterprises across 59 jurisdictions. Its main goal is to promote greater awareness and implementation of the *OECD Guidelines on Corporate Governance of State-Owned Enterprises*, particularly following their 2024 revision. The report is the main publication of the OECD Working Party on State Ownership and Privatisation Practices (Working Party) and serves as a comprehensive repository of its expertise.

The report builds on information recently collected or verified through various means, including a comparative analysis on *Disclosure, transparency, and the responsibilities of the boards of SOEs* undertaken by the Working Party in 2023 with support from the European Commission. It also draws on additional data sources, including recent national reviews of the governance of SOEs undertaken by the Working Party, the 2023 OECD Product Market Regulation Indicators, and the OECD Capital Market Series dataset. Annex A provides an overview of the methodology and the jurisdictions covered.

The report also builds on and complements other OECD work, including the *OECD Corporate Governance Factbook 2023*, the *Global Corporate Sustainability Report 2024*, the report *Climate Change and Low-Carbon Transition Policies in State-Owned Enterprises* (2022), and the forthcoming best practice guide on enhancing sustainability in the state-owned sector.

The report has five chapters that cover all areas of the *SOE Guidelines*, specifically: 1) Professional and active SOE ownership, which includes a discussion of the rationales for state ownership (Chapter I of the *SOE Guidelines*) and the role of the state as an owner (Chapter II); 2) Ensuring a level playing field, which covers SOEs in the marketplace (Chapter III) and the equitable treatment of shareholders and investors (Chapter IV); 3) Disclosure, transparency and accountability in SOEs (Chapter V); 4) The composition and responsibilities of the boards of SOEs (Chapter VI); and 5) Sustainability and state ownership (Chapter VII).

The report was prepared by Jorge Galvez Mendez and Karoline Irmischer, with analytical contributions from the SOE, Financial Economics and Sustainable Finance teams in the OECD Capital Markets and Financial Institutions Division. The report was prepared under the guidance of Sara Sultan, Head of the SOE Unit, and Serdar Çelik, Head of the Division. Delegates from the Working Party provided valuable information and comments on the report.

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Executive summary

SOEs are major players in the global economy, but their weight varies across countries

Between 2000 and 2023, the number of SOEs among the largest 500 enterprises by revenue worldwide increased from 34 to 126. These SOEs had USD 53.5 trillion in assets and over USD 12 trillion in revenue in 2023. That same year, 12% of global market capitalisation was in companies with more than 25% of public sector ownership. The prominence of SOEs, however, varies considerably across markets. In the OECD area, the market capitalisation of listed firms with more than 25% of public sector ownership is just 2%, compared to 16% in Latin America, and over 40% or more in some markets.

More countries should adopt policies that promote professional and active state ownership

Beyond their commercial activities, SOEs often pursue public policy goals, such as reducing inequalities, developing infrastructure, or providing healthcare, while generating revenue. Careful calibration and transparency around public policy objectives are necessary to ensure well intentioned policies do not harm the effective functioning of markets. Professional and active state ownership ensures SOEs create long-term value for the state and that public resources are used in an efficient and sustainable manner, in line with ownership rationales. This report finds that:

- Half the jurisdictions surveyed have yet to introduce ownership policies outlining the state's goal as an owner and how it exercises ownership.
- Centralised or co-ordinated ownership arrangements, bringing together pools of expertise in public asset management, are now used in 53% of jurisdictions (up from 41% in 2021), but 27% of jurisdictions still have dispersed ownership, which makes it challenging to separate ownership from other government functions such as policy making or regulation.
- 64% of jurisdictions publish annual reports on the SOE sector, with 37% offering comprehensive insights into the overall performance and evolution of the full SOE portfolio in aggregate terms, thus promoting enhanced accountability and transparency.

Greater efforts are needed to level the playing field between SOEs and other enterprises

A level playing field between SOEs and other enterprises requires addressing the possible conflicts arising from the state's roles as policy maker, market regulator and enterprise owner. Although 80% of jurisdictions provide similar regulatory treatment to SOEs and other firms, implicit or explicit differences include:

- Special tax treatment for some SOEs in one third of jurisdictions, and inconsistent application of insolvency rules in 18%.
- No requirement to report contractual and contingent liabilities in 38% of jurisdictions, which may affect non-state equity owners and other stakeholders by reducing their ability to assess risks.
- No requirement for SOEs to separate accounting of public service obligations in 21% of jurisdictions and lack of adequate compensation for fulfilling public service obligations in 26%.
- Preferential access to finance for SOEs, including implicit or explicit state guarantees on commercial debt in 74% of jurisdictions.

Alignment with best practices in the disclosure, transparency and accountability of SOEs varies both within and between jurisdictions

Effective corporate governance relies on robust disclosure, transparency, and accountability. For SOEs, there is the added responsibility to demonstrate effective stewardship of public resources vis-à-vis the

public and stakeholders in order to mitigate risks of corruption, inefficiency, and mismanagement. Practices vary widely across categories and sizes of SOEs:

- Financial and non-financial reporting and disclosure requirements, akin to those applied to listed companies, typically apply to a subset of centrally held and large SOEs.
- Disclosure should cover commercial and non-commercial SOEs objectives, yet only 52% of jurisdictions require such disclosure.
- While 89% of jurisdictions require that SOEs disclose related party transactions, this primarily applies to listed and large SOEs. SOEs adhering to internationally recognised reporting standards (such as IFRS) must also disclose off-balance sheet assets and liabilities.
- 86% of jurisdictions require at least some SOEs to report on material risks and implement risk management strategies.
- Only half of jurisdictions require all their SOEs to conduct external independent audits, while 15% rely on the national Supreme Audit Institution to undertake annual audits.

Legal frameworks enshrine SOE boards' independence, diversity and autonomy, but remain an area for improvement

Boards play a pivotal role in shaping the strategy, oversight, and performance of individual SOEs. Their role and duties should be clearly defined in legislation and their members should act in the best interest of the enterprise and its shareholders, taking also into account the interests of stakeholders. A skilled, independent, and diverse board improves decision-making, mitigates potential conflicts of interest and prevents undue political interference. Key insights include:

- SOE boards in 67% of jurisdictions have full responsibility and autonomy in defining enterprise strategy, limiting undue interference, and advancing the long-term interest of the company.
- 58% of jurisdictions have gender targets or quotas for SOE boards, aiming for at least 1/3 representation of the minority gender.
- Definitions of board independence vary across jurisdictions, with only two jurisdictions adopting definitions in line with a best practice benchmark definition. Most jurisdictions assessed do not include limits on the term of appointment in their definition.
- 25% of jurisdictions do not have a formal ban on elected politicians serving on SOE boards, even if it may not occur in practice.
- 77% of jurisdictions mandate large/listed SOEs to have an internal audit function reporting to the board or its audit committee, reflecting best practices.

SOEs are central to sustainable development and can lead by example in various domains, including the low carbon transition and responsible business conduct

Ownership entities and SOEs must proactively manage risks in a manner that fosters sustainability, resilience, and long-term value creation. The prevalence of SOEs in high-emitting greenhouse gas sectors, including hydrocarbons, utilities, construction, energy and metals, makes them particularly important to the low carbon transition.

- The public sector owns 18% of the shares of the top 100 highest GHG emitting listed companies globally, with significantly higher ownership in some emerging markets.
- Despite this, only a quarter of jurisdictions explicitly incorporate climate goals into their SOE ownership policy.
- 92% of a sample of 479 listed SOEs globally disclosed sustainability information in 2022. Of these, 51% disclosed scope 1 and 2 GHG emissions, and 23% disclosed scope 3 emissions. This shows a commitment to transparency in this area but also significant room for improvement.

1 Professional and active SOE ownership

The weight of SOEs has increased over the past two decades which makes their corporate governance and ability to compete on a level playing field important. Addressing these policy imperatives requires active and professional state ownership, including clear and transparent goals for SOEs, and ownership arrangements that encourage integrity, transparency and accountability. This chapter looks at how various jurisdictions perform in these areas.

1.1. Key messages

States play a growing role as owners of enterprises. This report shows that:

- 126 of the largest 500 companies worldwide by revenue are SOEs (up from 34 in 2000 and 102 in 2017). They employ 21 million people, own USD 53.5 trillion in assets, and generate over USD 12 trillion in revenue and USD 730 billion in profits annually.
- The public sector is also a large investor in public equity markets worldwide, accounting for USD 11.7 trillion of global market capitalisation, although with significant differences among countries.
- In 2023, companies with more than 25% of public sector ownership accounted for nearly 12% of global market capitalisation. This amounts to 2 037 companies globally.
- This varies across markets, however: in OECD countries as a whole, just 2% of market capitalisation is under public sector control, compared to 16% in Latin America and Asia and 50% or more in some countries, many of them emerging markets.

Through state ownership, governments may pursue public policy goals such as improving infrastructure, developing markets where there may be market failures, and promoting social inclusion. However, this role comes with a responsibility to manage public resources efficiently and with integrity. Active and professional state ownership ensure SOEs meet their goals while minimising the risks of unfair competition or undue influence. Drawing from the experiences of different jurisdictions, this report finds that:

- Despite the importance of SOEs, only 53% of jurisdictions have an ownership policy. Ownership policies define the overall rationales and goals for owning SOEs, establish how those goals are pursued, and delineate other key aspects such as the governance of SOEs and the roles of the state and other shareholders, among others.
- 52% of jurisdictions have explicit rationales for why they own stakes in companies. Having clear rationales for ownership is important to align economic and policy objectives, facilitate the allocation of public resources, promote accountability and transparency, increase investor confidence, and reduce the risks of corruption and undue interference. Explicit rationales for owning SOEs can be detailed in policy or legal documents and are a key component of a solid state ownership policy.

Effective state ownership policies require a separation of the potentially conflicting roles of the state as policy maker, regulator, and enterprise owner. This requires designating which bodies in government should exercise ownership rights (i.e. the ownership entity). According to best practices, such functions should be centralised or co-ordinated through a clear mandate. This allows the state to act under a whole-of-government basis, enhancing coherence and pooling expertise.

- 53% of jurisdictions follow a centralised model, up from 41% in 2021. However, only 11% have a centralised ownership department, ministry or holding company exclusively performing the role of ownership. 27% of jurisdictions have a dispersed model, spread across different ministries, up from 17% in 2021.
- Only 20% of jurisdictions have ownership entities that are staffed with private sector secondees. 80% employ public servants only.
- Only 23% of jurisdictions' ownership entities are directly financed by SOE dividends. In two jurisdictions, ownership entities are corporatised into holdings and are financed through the dividends of their portfolio companies.

Disclosing the performance of SOEs is important for transparency and accountability. Aggregate reports on the SOE sector offer comprehensive insights into the overall performance and evolution of the full SOE portfolio.

- 64% of jurisdictions produce aggregate reports (of which 59% cover all SOEs and 41% cover a subset of the state's portfolio of SOEs).
- Among jurisdictions that produce an aggregate report, 37% include a full spectrum of financial and non-financial information, in line with best practices.

1.2. The state as an investor

State-owned enterprises are firms that are owned or controlled by the state. SOEs are diverse, as is the rationale for state ownership. SOEs can be present at the national or sub-national level and be directly owned by ministries or agencies with controlling interests. They can also be indirectly owned or controlled through, for example, a parent SOE as part of corporate group structures or holdings, or through other vehicles such as sovereign wealth funds, government investment funds, or state pension funds.

SOEs may operate in “natural monopolies,” where competition by other firms is limited or may not be practical due to high barriers to entry, large capital needs or high fixed costs, and major economies of scale. Examples include some portions of network industries or public utilities such as electricity, water and sewage, transportation, and telecommunications. SOEs may also operate in contested sectors domestically or internationally such as banking and finance, transport, manufacturing, and industry. Box 1.1 provides an overview of key concepts related to SOEs.

Box 1.1. Definition of SOEs and key concepts

What are state-owned enterprises?

According to the OECD *Guidelines on Corporate Governance of State-Owned Enterprises*, any undertaking recognised by national law as an enterprise, and in which the state exercises ownership or control, should be considered as an SOE. This includes joint stock companies, limited liability companies and partnerships limited by shares. Moreover, statutory corporations, or other legal personalities established through specific legislation, should be considered as SOEs if their purpose and activities, or large parts of their activities, are of an economic nature.

Key concepts from the SOE Guidelines to understand and define SOEs include:

- Ownership or control. The SOE Guidelines apply to SOEs that are owned and/or controlled by the state. Ownership comprises direct majority ownership and, *provided* that control exists, includes other types of direct and indirect ownership. Control can be exercised if an ownership entity (or several ownership entities acting in concert): is the ultimate beneficiary owner of the majority of voting rights; or otherwise exercises an equivalent degree of control.
- Economic activities, which involve offering goods and services in a given market and which could, at least in principle, be carried out by a private operator in order to make profits. Economic activities mostly take place in markets where competition with other enterprises already occurs or where competition given existent laws and regulations could occur.
- Public policy objectives (PPO) are objectives benefitting the public interest within the jurisdiction concerned. These could include carrying out of public service obligations as well as other special obligations undertaken in the public interest which can be set in addition to financial performance objectives. In many cases, public policy objectives might otherwise be achieved via government agencies, but have been assigned to an SOE for efficiency or other reasons.
- Public service obligations (PSO) are obligations placed upon providers of public services in order to ensure the intended users' appropriate access to essential economic or social services, which would not be provided by the market, or in a manner sufficient to fulfil the PSO, under

commercial considerations. While the design and mechanisms for the implementation of PSOs can vary greatly amongst jurisdictions, PSOs may for example consist of universal service and/or affordability requirements imposed on providers of public services.

Source: OECD (2024^[1]), *OECD Guidelines on Corporate Governance of State-Owned Enterprises*, <https://doi.org/10.1787/18a24f43-en>.

The share of SOEs among the world's largest companies has nearly quadrupled over the last two decades. Today, the largest 500 listed and non-listed companies by revenue globally include 126 SOEs, or around 25%. This is up from 34 SOEs in 2000 and 102 in 2017. These large SOEs employ over 21.2 million people, own USD 53.5 trillion in assets, and generate USD 12 trillion in revenue and USD 730 billion in profits annually. Furthermore, 91 (72%) of them are not publicly traded which has important implications, as listing requirements and the presence of non-state shareholders tend to drive better corporate governance and performance compared with non-listed peers (Fortune, 2024^[2]) (Table 1.1 and Box 1.2).

Table 1.1. SOEs in the Fortune Global 500 list, 2023

Indicator	Total Fortune 500	Total SOEs	SOEs as % of total
Number of firms	500	126	25%
Assets (USD bn)	151 986	53 545	35%
Revenues (USD bn)	40 957	12 303	30%
Profits (USD bn)	2 898	730	25%
Employees	70 119 405	21 202 854	30%

Note: Fiscal years ending before March 2023. In 114 of the 126 companies, the state has ownership of 50% or more, as indicated in Fortune's profile for each company. Annex B provides more information on SOEs in the Fortune Global 500 list.

Source: Fortune, Global 500, consulted in January 2024.

SOEs have also become more important in public equity markets. Over the past two decades, many states have listed minority stakes of SOEs as a first step towards or as an alternative to complete privatisation. As a result, the public sector has become a large investor in public equity markets worldwide and today accounts for USD 11.7 trillion of global market capitalisation. There are significant differences between countries in the share of market capitalisation owned by the public sector. In Czechia, Colombia, Latvia, and Lithuania, the public sector holds over 35% of the listed equity, and in Saudi Arabia the figure rises to 83% (Figure 1.1).

The importance of the public sector across markets also shows in the number of companies in which the public sector owns over 25% of the shares. By the end of 2023, these 2 037 listed companies represented 12% of global market capitalisation. However, public sector participation in public equity markets varies between regions, whether in terms of the share of listed companies or in total market capitalisation. Figure 1.2 shows that among OECD countries, companies in which the public sector holds over 25% of the shares represent only 2% of market capitalisation while they represent 16% in Latin America and in Asia (excluding China and Japan), 47% in the People's Republic of China (hereafter 'China') and 68% among "others".

Box 1.2. The largest SOEs in the Fortune Global 500 list of 2023

The Fortune Global 500 list is composed of four indicators: revenues, profits, assets, and number of employees. It ranks companies by total revenues for their respective fiscal years ending on or before 31 March 2023.

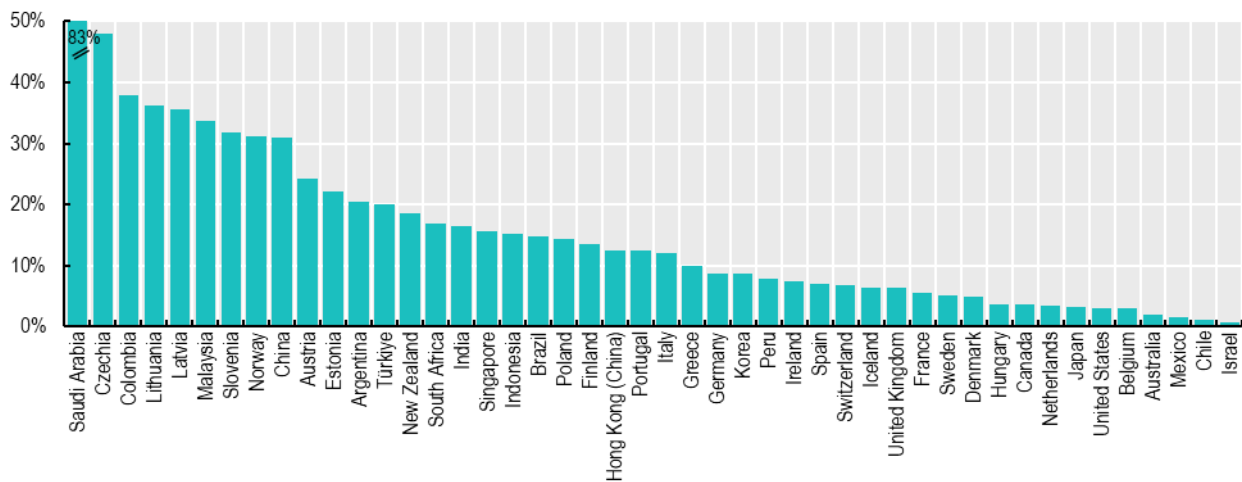
The largest SOE in the world (and second largest company overall) is Saudi Arabia's national oil company, Saudi Aramco, with over USD 603 billion in revenue in 2023, nearly 51% higher than in 2022. The other companies in the top five are four Chinese groups: State Grid, China National Petroleum, Sinopec Group and China State Construction Engineering. Saudi Aramco also had the largest profits of all firms in 2023, with over USD 159 billion, well above second and third placed Apple (USD 99.8 billion) and Microsoft (USD 72.7 billion).

In terms of assets, the top five companies are financial SOEs: the Industrial & Commercial Bank of China, the China Construction Bank, the Agricultural Bank of China, Fannie Mae (United States), and the Bank of China. In terms of employment, the largest SOEs are China National Petroleum (over 1 million employees), State Grid (870 000), and China Post Group (752 000).

Eighty-six of the 126 SOEs in the list are Chinese-owned companies. They employ a total of 16 564 500 people, make nearly USD 8.3 trillion in revenue and over USD 355 billion in profits, and have USD 35.6 trillion in assets. Seventy-nine of these SOEs are not listed on a stock exchange. Chinese SOEs operate in all types of industries, with many of them in metals, engineering and construction, and mining and crude oil production, but also in other sectors such as automotives, real estate, shipping, and transportation and logistics. (Annex B)

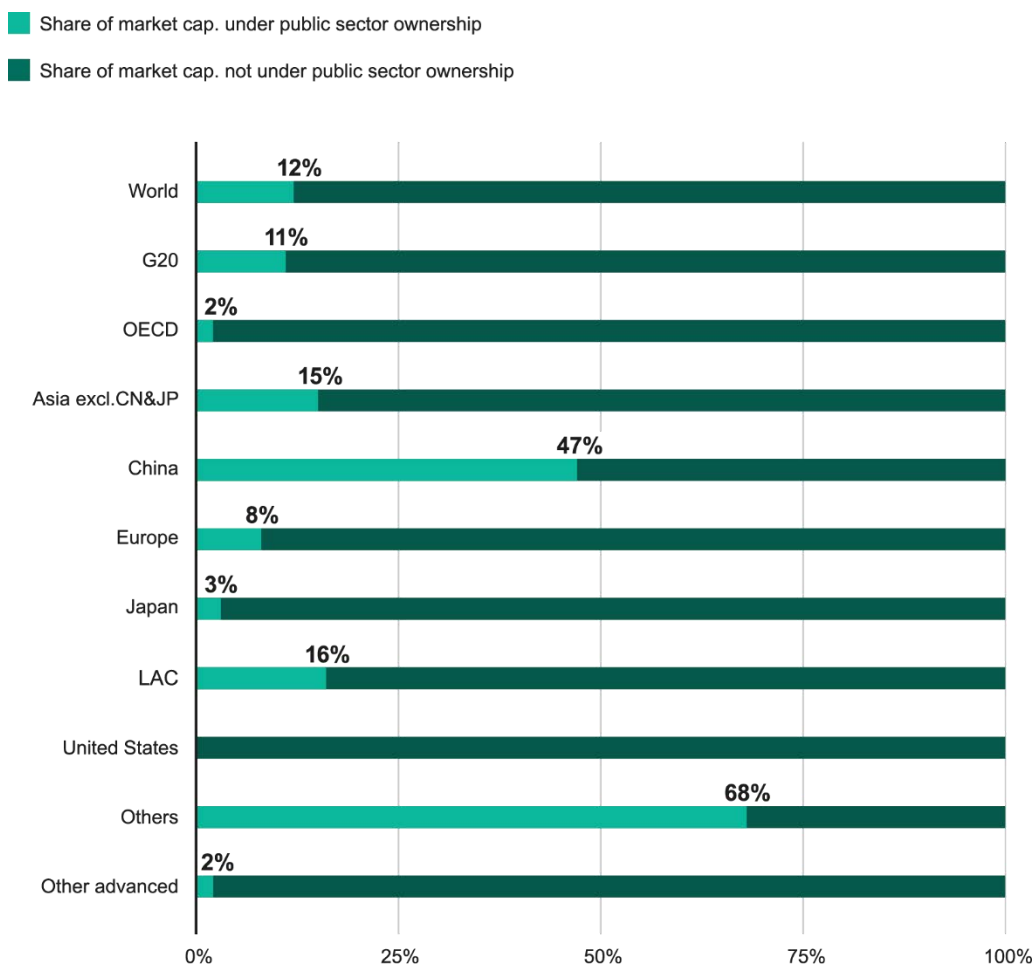
Source: Fortune, Global 500, consulted in January 2024.

Figure 1.1. Public sector ownership by market, end of 2023



Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Figure 1.2. Public sector ownership in listed companies, end of 2023



Note: Asia excl. CN&JP = Asia excluding China and Japan. LAC = Latin America and the Caribbean. The public sector refers to direct ownership by central governments, local governments, public pension funds, SOEs and sovereign wealth funds (SWFs), hence the data presented in this section do not correspond strictly to the definition of SOEs as put forward in the SOE Guidelines.

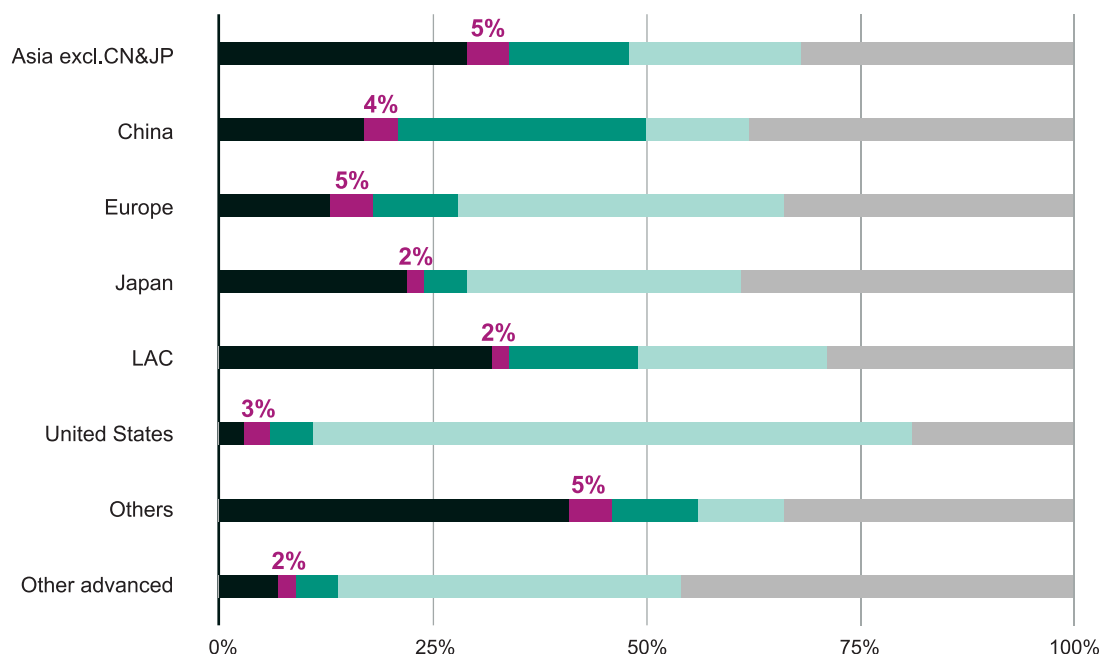
Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Listed SOEs have, by definition, mixed ownership, where the state is one owner besides other types of owners such as institutional investors. Listed SOEs are therefore exposed to the influence of non-state investors which can have implications for strategic decision-making while counterbalancing the interests of the state. Figure 1.3 shows the ownership structure of listed companies. A general trend across regions is that institutional investors' ownership is significantly higher in listed companies with 25% or less of public sector ownership. For example, in Asia (excluding China and Japan) institutional investors own 20% of the equity in companies with 25% or less of public sector ownership, compared to 12% in companies with more than 25% of public sector ownership.

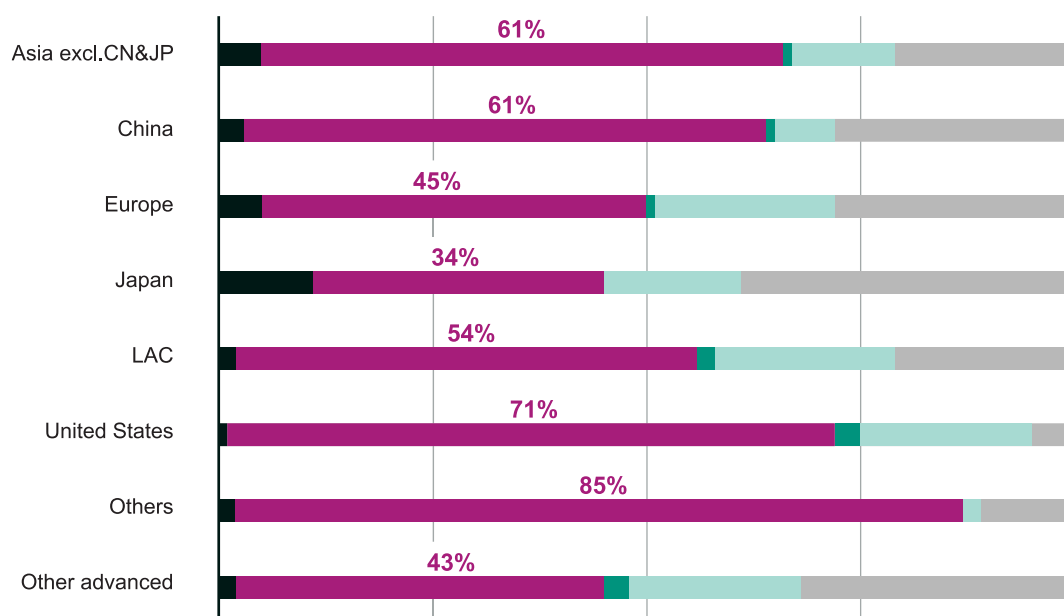
Figure 1.3. Investors' public equity holdings, 2023

Corporate Public sector Strategic individuals Institutional investors Other free-float

Companies with less than 25% of public sector ownership



Companies with more than 25% of public sector ownership

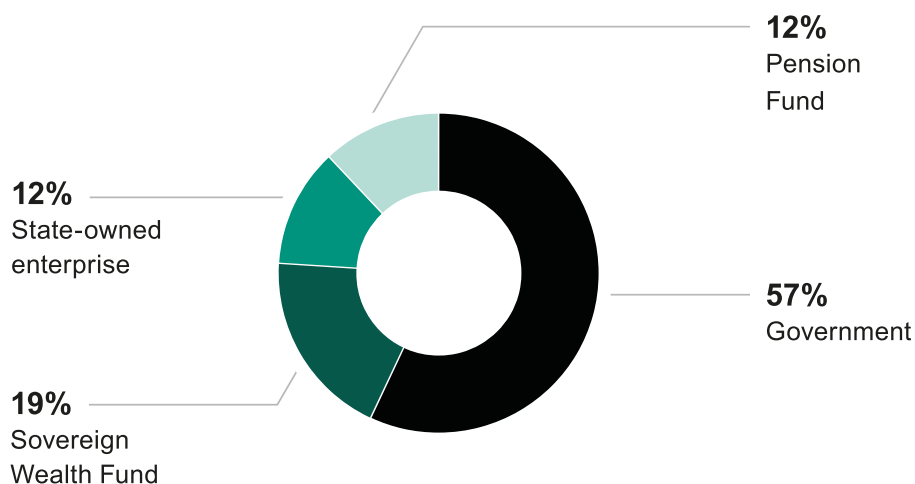


Note: Asia excl. CN&JP = Asia excluding China and Japan. LAC = Latin America and the Caribbean. The public sector refers to direct ownership by central governments, local governments, public pension funds, SOEs and sovereign wealth funds (SWFs), hence the data presented in this section do not correspond strictly to the definition of SOEs as put forward in the SOE Guidelines. "Other free float" comprises retail investors and institutional investors that do not require to disclose their holdings.

Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Public sector investments in listed companies reached USD 11.7 trillion at the end of 2023. This includes investments by central and regional governments, public pension funds, SOEs and sovereign wealth funds (SWFs). Figure 1.4 shows that governments own the largest share of equity among all types of public sector investors.

Figure 1.4. Public sector investments in global equity markets, end of 2023

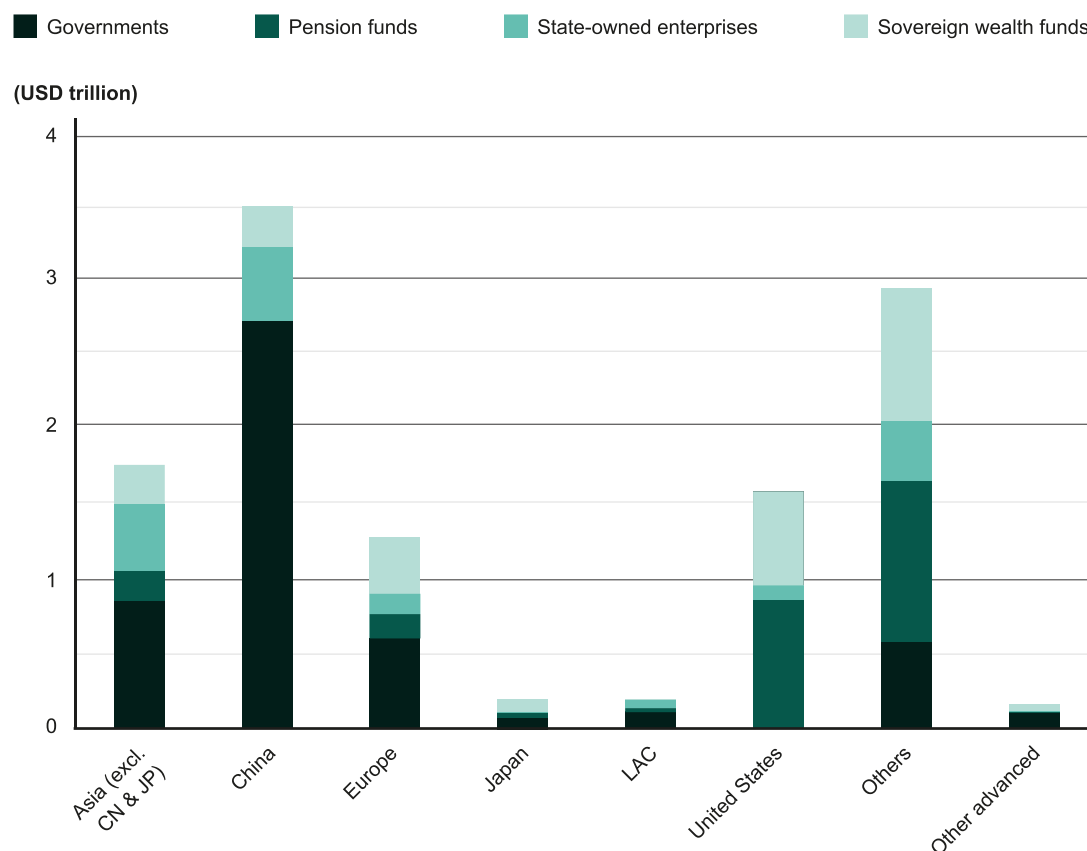


Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Levels of public sector ownership vary between regions (Figure 1.5). In China, where the level is the highest, the public sector invested USD 3.5 trillion in equity markets in 2023, of which 78% was by governments (which includes the local public sector as well as the non-domestic public sector). In Asia (exc. China and Japan) and the group “others”, public sector ownership of listed equity reached nearly USD 1.8 trillion and USD 3 trillion, respectively. Governments account for 77% of that amount in “others”. In Europe, public sector investment is lower at USD 1.3 trillion, half of which is by governments and 30% by SWFs. In the United States, total public sector investment is around USD 1.6 trillion, most of which by public pension funds and foreign-owned SWFs.

Looking at the regional origin of public sector ownership, Figure 1.6 shows that China accounts for 33% of the global total, followed by “others” and Europe. Most of those investments originate from the government, followed by SWFs and SOEs. The latter play a prominent role in Asia (excluding China and Japan), China, and Latin America (LAC) (Figure 1.7). In contrast, pension funds account for the bulk of investments in the United States and “other advanced” markets. Markets with significant public sector involvement in listed companies are typically those where the domestic public sector plays a prominent role in both the economy and capital markets.

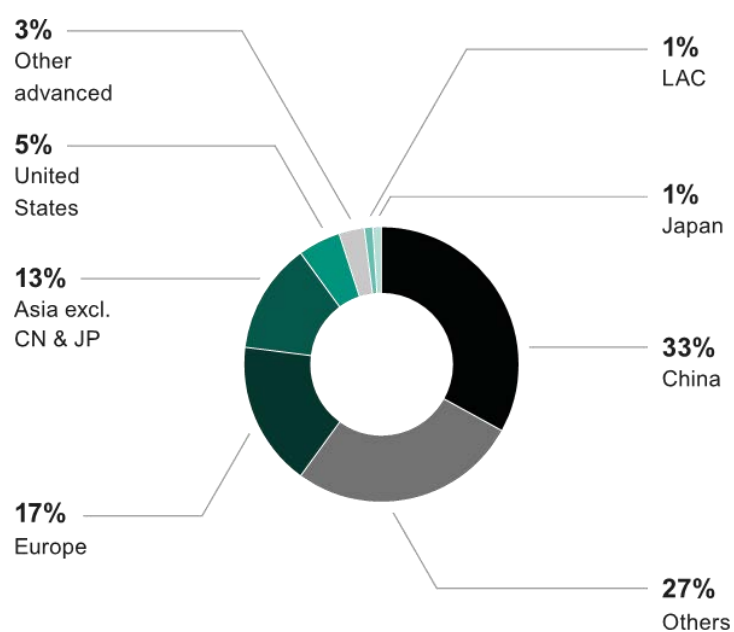
Figure 1.5. Public sector ownership by region, 2023



Note: Data as of end-2023.

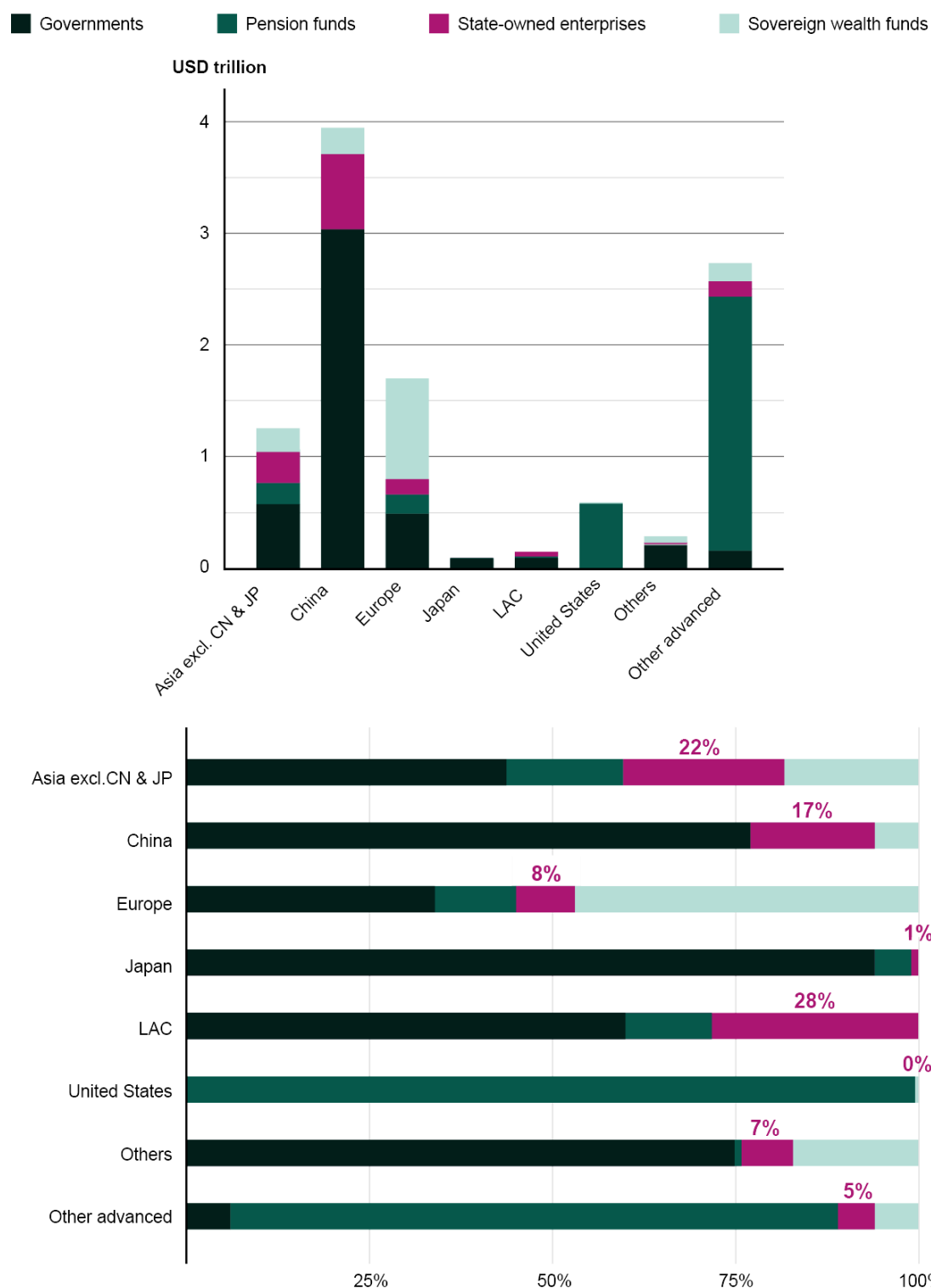
Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Figure 1.6. Regional origin of public sector ownership, end of 2023



Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

Figure 1.7. Regional origin of public sector funds by category of investor, end of 2023



Source: OECD Capital Market Series dataset, FactSet, LSEG, Bloomberg.

1.3. SOE rationales and policies

The rationale for state ownership of enterprises varies among countries and industries. It can typically be said to comprise a mix of social, economic, and strategic interests. Examples include public policy objectives, regional and sustainable development, the supply of public goods and services, as well as the existence of so-called “natural” monopolies where competition is not deemed feasible (OECD, 2024^[1]). For example, in some economies the rationales for SOE ownership are linked to the need to remedy market failures and provide goods and services for which there is no likely private supplier (OECD, 2021^[3]). In contingency contexts such as economic and financial crises or the global Covid-19 pandemic, various governments have taken stakes in debt distressed firms (e.g. car manufacturers, financial institutions, and aviation) in the public interest, for example to ensure financial stability and preserve jobs and economic activity. However, many soon after divested those assets and established safeguards to ensure that short term interventions did not turn into longer term structural support (OECD, 2020^[4]; 2021^[5]). In other cases, countries have tried to use state ownership to advance national development strategies, foster the growth of certain industries and stimulate structural transformation (Kyunghoon and Sumner, 2021^[6]), albeit with varying levels of success (OECD, 2015^[7]). Chapter 5 on Sustainability and state ownership provides an analysis of how SOE policies are used around the world to advance sustainability commitments, including concerning climate change.

Privatisation rationales are also important. The privatisation of an SOE will typically be justified by the fact that the company no longer falls within the rationale for state ownership. Common rationales for privatisation include: (1) the need for government intervention is no longer present (e.g. the government intervened because of a market failure and that market failure has been corrected); (2) raising revenue for the national treasury either to reduce debt or to raise expenditure; (3) improving economic or sectoral economic performance; (4) enhancing the efficiency of the individual SOE; (5) developing capital markets; (6) diversifying corporate ownership and/or attracting outside investment; (7) attracting a strategic or foreign investor; and (8) opening up markets for competition and improving service delivery (OECD, 2019^[8]).

The mix of economic and public interests can lead to unique governance challenges for SOEs that require specific corporate governance frameworks and mechanisms. For example, proximity to government makes them particularly at risk of undue political interference, weak accountability and integrity, and self-serving behaviour by corporate insiders, among others (OECD, 2024^[1]). The distance between the politicians and civil servants who oversee SOEs, the SOE management, and the general public who is the intended ultimate beneficiary, can lead to specific agency problems because citizens cannot exit their investments like shareholders can; there is a lack of consensus among citizens on the objectives of the government; and there are weaker mechanisms for oversight of accountability (Milhaupt and Pargendler, 2017^[9]).

Addressing these challenges requires robust ownership policies that provide the market and the public with a clear understanding of the goals and priorities of state ownership (Box 1.3). These ownership policies can take the form of a high-level policy document describing the general justifications and rationales for ownership of SOEs as well as the ownership arrangements and the institutional mechanisms through which the state exercises its shareholding responsibilities in individual enterprises (see Section 1.4) (OECD, 2021^[3]).

Despite the importance of ownership policies, this report finds that 47% of the 49 jurisdictions for which information is available have yet to introduce an overarching SOE policy (Table 1.2). Furthermore, only nine jurisdictions report that they review and update their policy regularly, including Costa Rica, Estonia, Finland, Germany, Italy, Latvia, Norway, Sweden, and Switzerland (OECD, 2024^[10]). This is important as ownership policies should include mechanisms for their periodic review, considering evolving ownership rationales.

Table 1.2. Overarching ownership policies

Status	Jurisdictions	Total: 49*
Yes	Austria, Belgium, Bulgaria, Chile, China, Colombia, Costa Rica, Czechia, Estonia, Finland, France, Germany, Indonesia, Italy, Latvia, Lithuania, Netherlands, Norway, Peru, Philippines, Portugal, Romania, Sweden, Switzerland, Thailand, Ukraine.	26
No	Argentina, Australia, Azerbaijan, Brazil, Croatia, Greece, Hungary, Iceland, India, Ireland, Japan, Luxembourg, Malaysia, Mexico, Morocco, New Zealand, Slovak Republic, South Africa, Spain, Türkiye, United Kingdom, Viet Nam	23

Note: Austria and the Slovak Republic declare to have partially developed a policy. Information obtained from the latest edition of the OECD Product Market Regulation (PMR) indicators for 24 jurisdictions. When a jurisdiction responded that it had introduced a policy, but the PMR information indicates otherwise, the PMR information is prioritised. This is the case of Croatia, Greece, Iceland, Ireland, and New Zealand. *Total includes data for one jurisdiction that is not included in disaggregate.

Source: OECD Working Party on State Ownership and Privatisation Practices and OECD PMR database 2023.

Box 1.3. What the SOE Guidelines say about ownership policies

Chapter I in the SOE Guidelines notes that the state exercises ownership of SOEs in the interest of the general public and that it should carefully evaluate and disclose the rationales that justify such ownership and subject these to a recurrent review. Addressing this requires that the government:

- Develops an ownership policy defining rationales and goals, the roles of the state and shareholders in the governance of SOEs, how the policy is to be implemented, and the roles and responsibilities of the government offices involved.
- Establishes appropriate procedures of accountability to relevant representative bodies and disclosure to the public.
- Defines, publicly discloses, and recurrently reviews the rationales of ownership and public policy objectives of individual SOEs or groups of SOEs.

Examples of state ownership policies

Under a mandate by Parliament, the Swedish government has established a clear ownership policy to manage SOEs actively and professionally with long-term value creation as an overall objective. The policy refers to the legal frameworks governing ownership and the attributes of the Government Offices in charge of SOE supervision, including the designation of the Ministry of Enterprise and Innovation as the main SOE management agency. It also establishes guidelines for the functions, nomination, and composition of the boards of directors of SOEs, financial targets, public policy assignments (when relevant), policy targets, etc. Under its principles for corporate governance of SOEs, the policy also includes sustainable value creation and strategic targets, in particular sustainable business, requirements of labour law conditions in purchasing, international guidelines on responsible business conduct, and considerations of the 2030 Agenda.

Norway also offers a good example in setting state ownership policy. Its approach to ownership policy is based on four key features:

- Categorisation: SOEs are divided into two categories: those where the state's goal is the highest possible return over time in a sustainable manner (SOEs that primarily compete with other enterprises), and those where the state has various public policy goals (SOEs that do not compete with other enterprises).

- **Active ownership:** The state actively exercises its ownership role through several mechanisms, including setting expectations for the companies, appointing board members, and engaging with stakeholders.
- **Responsible ownership:** The state adheres to the key elements of the framework for the exercise of ownership, including generally recognised principles and standards for corporate governance.
- **Expectations:** Defining clear expectations of SOEs with respect to social, environmental and financial factors.

Source: Government Offices of Sweden (2020^[11]). *State Ownership Policy and principles for state-owned enterprises 2020*, and Government of Norway (2022^[12]). *New report to the Storting on state ownership*.

The SOE Guidelines note that an ownership policy should, among other things, define the overall rationales and goals for state ownership (OECD, 2024^[1]). Different jurisdictions use explicit or implicit rationales in relevant policy or legal documents (Figure 1.8). Explicit rationales directly put forward the state's interest in owning specific SOEs or portfolios of SOEs. They are reflected in specific legislation, government decisions, resolutions or decrees, government statements or some combination of these (OECD, 2018^[13]). Of the 58 jurisdictions for which information is available, 52% have explicit rationales for ownership policies (30 jurisdictions) (Table 1.3).

Implicit rationales may be derived from the overall legislative and policy framework, including from company and public administration law and sectoral policies, and/or from legislation creating individual (statutory) SOEs, SOE articles of association, and contracts between the SOE and relevant shareholder agencies (OECD, 2018^[13]). This is the case of 40% of jurisdictions (23). Nine per cent of jurisdictions (5) do not have formal ownership criteria.

The OECD Indicators of Product Market Regulation (PMR) reveal that from another sample of 45 jurisdictions, 76% produce a high-level policy document that clearly states the rationale for the government holding ownership rights in *each* commercial SOEs (Table 1.4).

Table 1.3. Rationales for state ownership

Status	Jurisdictions	Total: 58*
Explicit	Austria, Bulgaria, Canada, China, Costa Rica, Croatia, Czechia, Denmark, Estonia, Finland, France, Germany, Hungary, Iceland, Indonesia, Israel, Korea, Latvia, Lithuania, Netherlands, New Zealand, Norway, Philippines, Poland, Portugal, Romania, Slovenia, Sweden, Switzerland, Thailand.	30
Implicit	Argentina, Australia, Azerbaijan, Belgium, Brazil, Chile, Colombia, Greece, India, Ireland, Italy, Japan, Kazakhstan, Malaysia, Mexico, Morocco, Peru, Saudi Arabia, Slovak Republic, Tunisia, Ukraine, Viet Nam.	23
No rationale stated	Luxembourg, South Africa, Spain, Türkiye, United Kingdom.	5

Note: *Total includes data for one jurisdiction that is not included in disaggregate.

Source: OECD Working Party on State Ownership and Privatisation Practices and OECD PMR database 2023.

Table 1.4. Rationale for holding ownership rights in individual commercial SOEs

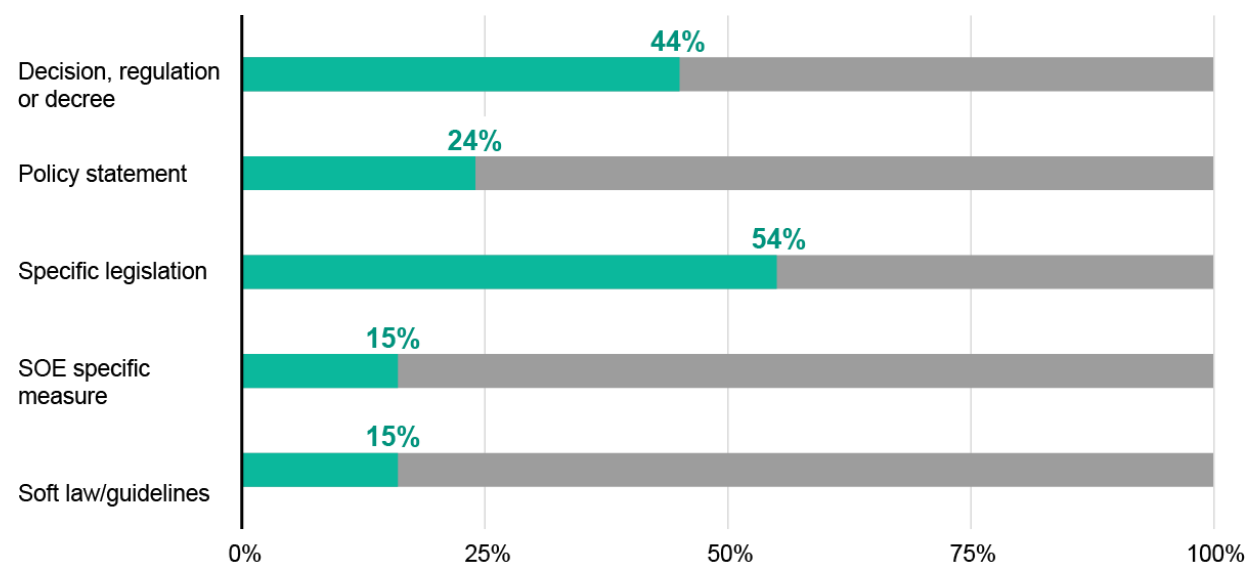
PMR question	Answer	Jurisdictions	Total: 45*
Is there a high-level policy document that clearly states the rationale for government holding ownership rights in each commercial SOE?	Yes, and it is publicly available.	Austria, Belgium, Bulgaria, Canada, Costa Rica, Croatia, Czechia, Colombia, Denmark, Estonia, Finland, France, Germany, Hungary, Iceland, Indonesia, Israel, Italy, Korea, Latvia, Lithuania, Mexico, Netherlands, New Zealand, Norway, Peru, Poland, Portugal, Slovenia, Sweden, Switzerland.	32
	Yes, but it is not publicly	Chile, Greece	2

PMR question	Answer	Jurisdictions	Total: 45*
	available.		
	No.	Australia, Brazil, Ireland, Japan, Luxembourg, Slovak Republic, South Africa, Spain, Türkiye, United Kingdom.	11

Note: * Total includes data for two jurisdictions that are not included in disaggregate.

Source: OECD PMR database 2023.

Figure 1.8. Sources of ownership rationales



Note: Based on a total of 58 jurisdictions where the rationale is explicit or implicit. More than one source of ownership rationale may exist per jurisdiction. The category "Decisions, regulation or decree" refers to a set of legal documents that are presently enforced and do not constitute voluntary measures.

Source: OECD Working Party on State Ownership and Privatisation Practices.

1.4. Ownership arrangements of SOEs

The state exercises its shareholding responsibilities in SOEs through a diverse range of institutional arrangements (OECD, 2020^[14]). These range from more centralised to less centralised structures, influenced by historical legacies, levels of institutional development, and political frameworks. Various jurisdictions have sought to enhance the centralisation or co-ordination of ownership arrangements over time.

The ownership entity is typically the part of the state responsible for the ownership or co-ordination of, or the exercise of ownership rights in, or control over, the SOEs. An "ownership entity" can be understood to mean either a single state ownership agency, a co-ordinating agency, a government ministry, or another public entity responsible for exercising state ownership (Figure 1.9). Ownership entities can moreover be organised into corporatised state-owned holding companies (SOHCs). An ownership entity will typically be organised separately from policy making and regulatory functions, and separately from the governing bodies of SOEs.

The state ownership entity

The SOE Guidelines establish that the state should act as an informed and active owner, ensuring that the governance of SOEs is carried out in a transparent and accountable manner, with a high degree of

professionalism and effectiveness. The SOE Guidelines note in particular that the exercise of ownership rights should be clearly identified within the state administration and should be centralised in a single ownership entity, or, if this is not possible, relevant ownership functions should be carried out under the oversight of a co-ordinating body with a clear mandate to act on a whole-of-government basis (OECD, 2024^[11]). Box 1.4 provides details on the importance of a centralised or well co-ordinated function.

Box 1.4. Centralisation or co-ordination of the ownership function

The SOE Guidelines note that it is critical for the ownership function within the state administration to be clearly identified, whether it is located in a central ministry such as the finance or economy ministries, in a separate administrative or corporate entity, or within a specific sector ministry. The ownership function of SOEs is the entity that exercises the power, responsibility, or steering ability to appoint boards of directors; set and monitor objectives; and/or vote on the company shares on behalf of the government.

Centralisation can be an effective way to clearly separate the exercise of the ownership function from other potentially conflicting activities performed by the state, particularly market regulation and industrial policy. It can also be a helpful way to pool together expertise and more effectively monitor portfolio performance.

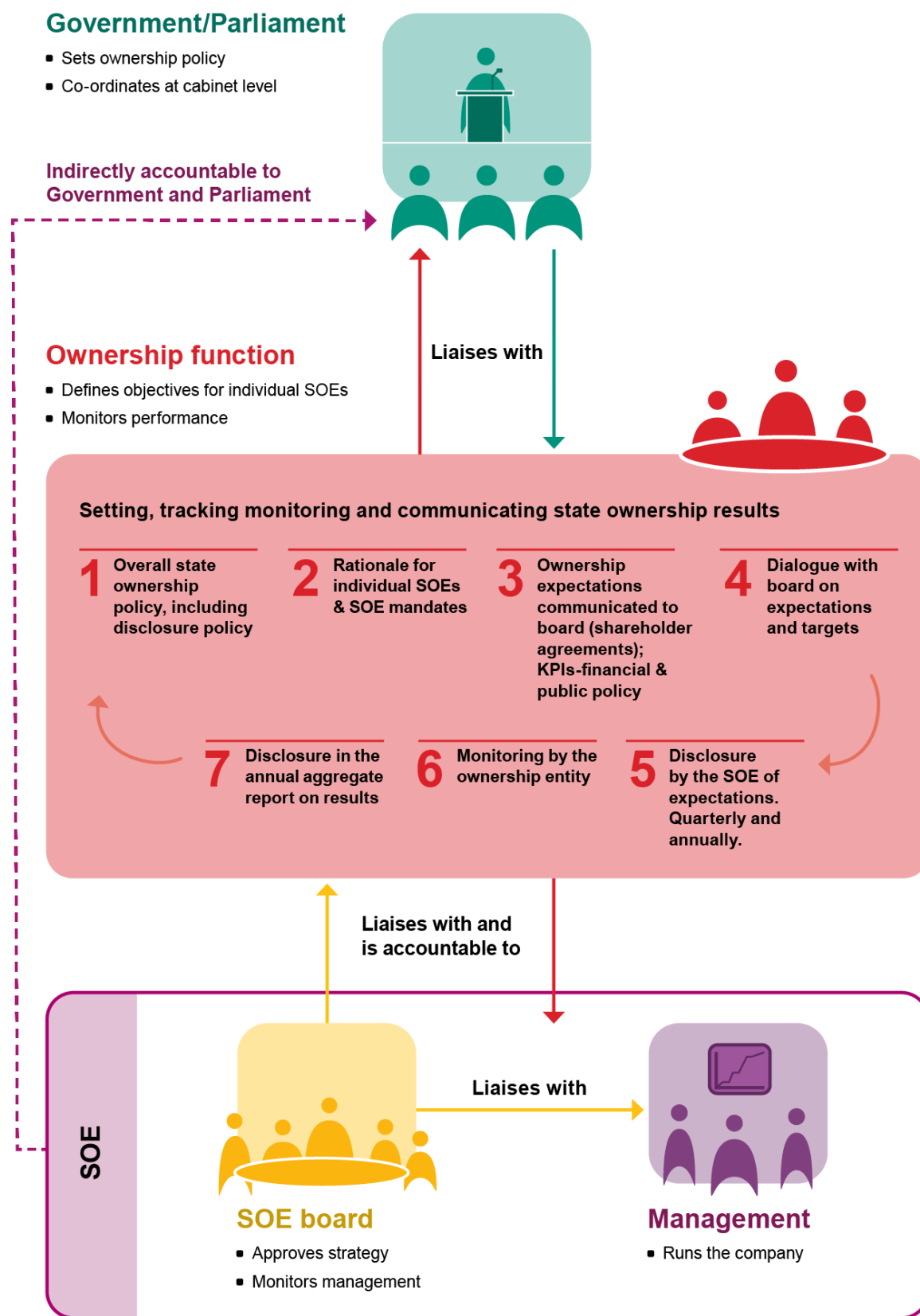
A centralised ownership model is characterised by one central decision-making body acting as shareholder in the majority or certain categories of SOEs. Its role includes setting the state's rationale and objective as an owner for each SOE, nominating directors, setting targets and tracking and evaluating SOEs' performance, and exercising shareholder rights, such as voting at the general meeting. The ownership entity is also responsible for setting and monitoring broad mandates and expectations for SOEs based on its ownership policy, co-ordinating (when relevant) its decisions with other government stakeholders, and defining applicable frameworks and important matters relating to the governance of SOEs.

If the ownership function is not centralised, governments should establish a strong co-ordinating entity overseeing the different administrative departments or corporate entities carrying out ownership functions.

Exercising ownership rights through state-owned holding companies (SOHCs) is another form of centralisation and, depending on its own corporate governance arrangements and legal form, can permit a separation of the state's ownership, policy and regulatory functions.

Source: OECD (2024^[11]), *OECD Guidelines on Corporate Governance of State-Owned Enterprises 2024*, <https://doi.org/10.1787/18a24f43-en>.

Figure 1.9. Organising the state ownership function (fully-owned SOEs)



Ownership models

It is often difficult to categorise existing organisational structures into a rigid model. No two state ownership models are the same, and no one jurisdiction strictly applies one single ownership model without exceptions. Nevertheless, ownership models can be broadly classified into one or more of the following types (OECD, 2020^[14]):

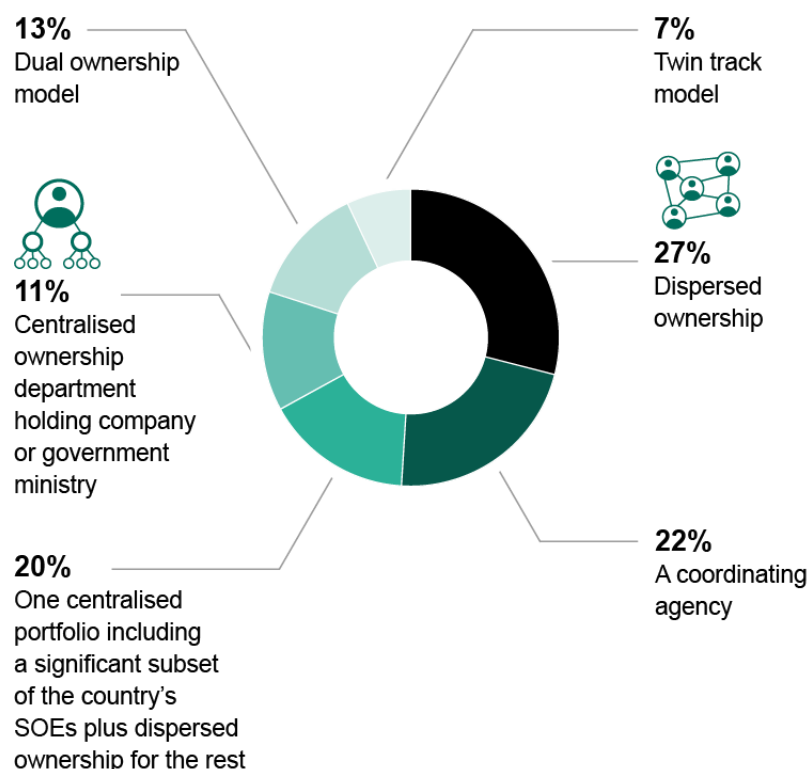
- **Centralised model:** One central decision-making body undertakes the mission of shareholder in all companies and organisations controlled or held, directly or indirectly, by the state. Financial targets, operational and technical issues, and performance monitoring are all the responsibility of the central body. While there are different ways of appointing board members, essential input usually comes from the central body. The institutional arrangements may vary considerably across jurisdictions, ranging from governmental departments, state agencies, to corporatised holdings where the state is the shareholder.
- **Co-ordinating agency model:** Operates in an advisory capacity to other shareholding ministries on technical and operational issues and often their most important mandate is to monitor SOE performance. This model consists of a department with non-trivial powers over SOEs, but where ownership rights are formally exercised by other ministries or departments. In cases where the role of these central agencies is more limited and the autonomy of line-ministries retained, this model could potentially lead to considerable overlap with the decentralised model.
- **Dual ownership model:** Two ministries or other high-level public departments share ownership in each individual SOE. Usually, one ministry sets financial objectives (typically the ministry of finance), and another ministry (typically a sectorial one) develops and formulates policy priorities. If established, with well-articulated responsibilities, the dual model could strike a balance between a model in which numerous and contradictory ownership objectives result in a “passive conduct” of the ownership function and a model that allows for excessive intervention by the state.
- **Twin track model:** The twin track model is a unique offshoot of centralisation but within simultaneously established “ownership systems”. Two or more different government institutions exercise exclusive ownership functions on their respective portfolios of SOEs. There are two SOE ownership units operating simultaneously for separate sets of SOEs based on their designations.
- **Dispersed model:** No single institution or state actor is responsible for the ownership function. The ownership of each SOE is conducted by one line-ministry or other government institution. Various institutions are typically involved. In this case, SOEs could often be publicly perceived as an extension of the ministerial powers of the ownership ministries.

While there is a continuing trend towards centralisation in state ownership arrangements, which is consistent with the recommendations of the SOE Guidelines, it is important to note that the dispersed ownership model remains the second most popular model after the centralised one. A breakdown of jurisdictions’ application of these models is provided in Figure 1.10 and Table 1.5, which show that 53% of jurisdictions (29 out of 55) have adopted a centralised or a co-ordinated model, up from 41% in 2021 (OECD, 2021^[3]). Eleven per cent of jurisdictions (6 jurisdictions) have a centralised ownership department, holding company or ministry performing the ownership role, 20% (11 jurisdictions) have a centralised portfolio with ownership responsibilities over a significant subset of the state’s SOE portfolio, and 22% (12 jurisdictions) have a co-ordinating entity (e.g. a department or agency). Twenty-seven per cent (15 out of 55) have a dispersed model, an increase from 17% in 2021. This increase is the result of some jurisdictions stepping back from good practice and of the inclusion of new jurisdictions.

As noted in Box 1.4, state-owned holding companies (SOHCs) are an increasingly popular form of centralisation of the ownership function. Depending on their own corporate governance arrangements and legal form, SOHCs can permit a separation of the state’s ownership, policy and regulatory functions. In some contexts, the indirect exercise of ownership via SOHCs can ensure arm’s length separation from

other government functions, thereby shielding SOE activities from undue political or day-to-day interference. The mission of many SOHCs is to act as an owner-representative and to manage the state's holdings as an active asset manager or investment company, with the aim of sustainably growing shareholder value through long-term and active ownership. However, SOHCs may not be suitable in all contexts, especially if their governance is vulnerable to undue political interference or other irregular practices (OECD, 2024^[1]). Table 1.6 gives examples of jurisdictions applying this model.

Figure 1.10. Application of ownership models



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 1.5. Ownership models

	Model	Jurisdictions	Total:55
Centralised or co-ordinated models.	One centralised ownership department holding company or government ministry, exclusively performing the role of ownership.	Israel, Italy, Korea, Peru, Slovenia, Sweden.	6
	One centralised portfolio including a significant subset of the jurisdiction's SOEs plus dispersed ownership for the rest.	Austria, Azerbaijan, Chile, Colombia, Finland, France, Iceland, Netherlands, Norway, Portugal, South Africa.	11
	A co-ordinating department with non-trivial powers over SOEs formally held by other ministries (and institutions).	Bulgaria, Costa Rica, Estonia, India, Latvia, Lithuania, Morocco, New Zealand, Philippines, Romania, United Kingdom, Viet Nam.	12

Model	Jurisdictions	Total:55
"Dual ownership": two ministries or other high-level public institutions jointly exercise the ownership.	Australia, Brazil, Czechia, Greece, Indonesia, Switzerland, Thailand.	7
Twin track model.	Belgium, China, Malaysia Türkiye.	4
"Dispersed ownership": a large number of government ministries or other high-level public institutions.	Argentina, Canada, Croatia, Denmark, Germany, Hungary, Ireland, Japan, Kazakhstan, Luxembourg, Mexico, Poland, Slovak Republic, Ukraine, United States.	15

Source: OECD Working Party on State Ownership and Privatisation Practices and OECD PMR database 2023.

Table 1.6. Examples of state-owned holding companies and their legal forms

Jurisdiction	State-Owned Holding Company	Shareholding Ministry	Legal Status
Austria	Österreichische Beteiligungs AG (ÖBAG)	Ministry of Finance	Joint Stock Company
Azerbaijan	Azerbaijan Investment Holding (AIH)	NA	Public Legal Entity
Bulgaria	Bulgarian Energy Holding EAD (BEH) Holding BDZ EAD (the Railway Holding Company) Terem - holding EAD State consolidation company EAD Bulgarian W&S holding EAD National company Industrial zones EAD	NA	Holding BDZ EAD (Under a special law, not formally considered a company)
Colombia	Grupo Bicentenario S.A.S.	Ministry of Finance	Public Stock Company
Finland	Solidium	Ownership steering department of the Prime Minister's office	Limited Liability Company
Greece	Hellenic Corporation of Assets and Participations SA	Ministry of Finance	Public Limited Company
Kazakhstan	Samruk Kazyna	Ministry of Finance	Joint Stock Company
Malaysia	Khazanah Nasional	Ministry of Finance	Public Limited Company
Peru	Fondo Nacional de Financiamiento de la actividad Empresarial del Estado (FONAFE)	Ministry of Finance	Statutory corporation
Portugal	PARPÚBLICA, Participações Públicas, SGPS, SA,	Ministry of Finance	Holding company
Singapore	Temasek Holdings	Ministry of Finance	Commercial investment company
Slovenia	Slovenian Sovereign Holding	Ministry of Finance	Public Limited Company
Spain	Sociedad Estatal de Participaciones Industriales (State Industrial Holding Company)	Ministry of Finance and Administration	Public Law Entity
Viet Nam	State Capital Investment Corporation	Ministry of Finance	Joint Stock Company

Note: Information updated in 2024. For Azerbaijan, the AIH is technically not a holding company exercising ownership rights but rather a co-ordination entity.

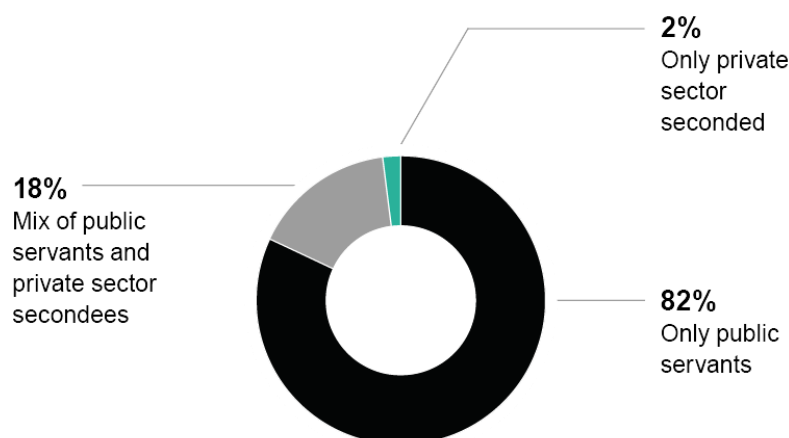
Source: OECD (2022^[15]), State-Owned Holding Companies.

Requisite capacities of the ownership entity: staffing and funding

The SOE Guidelines establish that the ownership entity should have the capacity, personnel, and competencies to effectively carry out its duties and be held accountable to the relevant representative bodies. The ownership entity should, where applicable, enjoy a certain degree of flexibility vis-à-vis its responsible ministry in the way it organises itself and takes decisions with regards to procedures and processes. The ownership entity should also enjoy a certain degree of budgetary autonomy that can allow flexibility in recruiting, remunerating and retaining the necessary expertise, for instance through fixed-term contracts or secondments from the private sector (OECD, 2024^[11]). Among 51 jurisdictions, only 9 (18%)

have a mix of public servants and private sector secondees as staff of their ownership entities. Eighty per cent employ public servants only (Figure 1.11 and Table 1.7). Furthermore, ownership entities receive dividend income as a source of revenue in only in 12 jurisdictions (23%), and in 2 jurisdictions (Austria and Portugal), ownership entities are corporatised into holdings and are thus financed through the dividends of their portfolio companies. (Figure 1.12 and Table 1.8). In 77% (39) of jurisdictions, state ownership entities are funded only from the government budget.

Figure 1.11. Staff composition of ownership entities



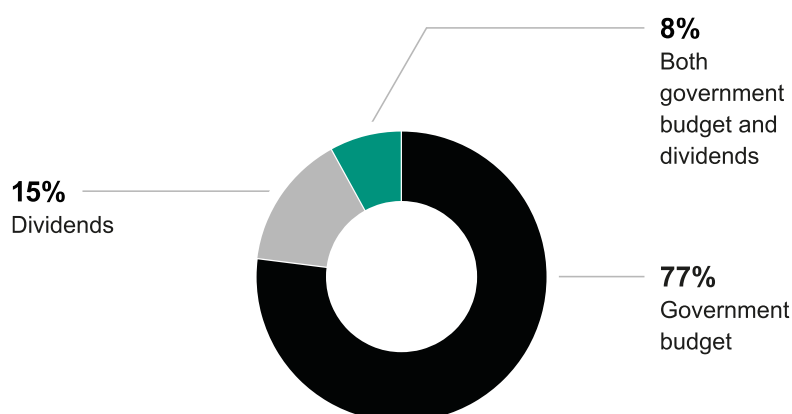
Source: OECD Working Party on State Ownership and Privatisation Practice.

Table 1.7. Staff composition of ownership entities

Staff composition	Jurisdictions	Total: 51
Public servants	Argentina, Australia, Azerbaijan, Belgium, Brazil, Bulgaria, Canada, Chile, China, Colombia, Costa Rica, Croatia, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, India, Indonesia, Ireland, Israel, Italy, Korea, Latvia, Lithuania, Mexico, Netherlands, New Zealand, Norway, Philippines, Romania, South Africa, Sweden, Switzerland, Thailand, Türkiye, Ukraine, United States, Viet Nam.	41
Private sector secondees	Peru.	1
Mix of public servants and private sector secondees	Austria, Czechia, Japan, Kazakhstan, Malaysia, Morocco, Portugal, Slovak Republic, United Kingdom.	9

Source: OECD Working Party on State Ownership and Privatisation Practices.

Figure 1.12. Funding sources of the ownership entity



Source: Data gathered from the OECD Working Party on State Ownership and Privatisation Practices, which has been subject to a verification procedure in 2024.

Table 1.8. Funding mechanisms of SOE ownership functions

Funding mechanism	Jurisdictions	Total: 51
Government budget	Argentina, Australia, Azerbaijan, Brazil, Canada, Chile, China, Colombia, Costa Rica, Croatia, Czechia, Estonia, Finland, France, Germany, Greece, Iceland, India, Indonesia, Ireland, Israel, Italy, Japan, Korea, Latvia, Lithuania, Mexico, Netherlands, New Zealand, Norway, Philippines, South Africa, Sweden, Switzerland, Türkiye, Ukraine, United Kingdom, United States, Viet Nam.	39
Dividends	Belgium, Bulgaria, Kazakhstan, Malaysia, Morocco, Peru, Slovak Republic.	7
Both government budget and dividends	Austria, Hungary, Portugal, Romania, Thailand.	5

Source: OECD Working Party on State Ownership and Privatisation Practices.

Aggregate reporting practices

Aggregate reporting is a one-stop-shop for information, published on an annual basis, on the financial and non-financial performance of a significant share of the economically important SOE portfolio of a jurisdiction. Reporting provides the full picture of the performance of the SOE portfolio for the reporting period, compares it with past performance, and can include “forward looking” elements such as targets or forecasts. Reporting is not purely compliance driven. In fact, reporting should provide the “bigger picture” on critical contextual and non-financial information that supports an informed reading of financial information. Information should be of high quality, comparable, concise and accessible enough to give stakeholders a meaningful understanding of the key issues and over time (OECD, 2022^[16]) (Box 1.5).

The coverage and depth of aggregate reporting varies across jurisdictions. Reporting should, at the minimum, cover three main pillars: (1) overview of the composition, performance and value of the sector; (2) financial reporting in aggregate and across individual SOEs/by sector; and (3) non-financial reporting in aggregate and across individual SOEs/by sector on thematic areas. Key financial performance indicators such as return on equity and equity/assets ratio, dividend policy, share of employment, and portfolio value are common elements. Among other areas, the report should cover the achievement of public policy objectives, the nomination, composition, qualifications and remuneration of boards and executives, and detailed reporting on individual state-owned enterprises or by sector. Moreover, while non-financial reporting has traditionally focused on governance, there is a trend to move towards more robust reporting on social and environmental issues and risk management. An emerging area of good practice is to evaluate

how individual SOEs perform against financial and non-financial targets set by the state and to disclose non-commercial assistance (OECD, 2022^[16]).

Table 1.9 shows that 64% of jurisdictions (34 out of 53) produce aggregate reports, with 38% (20) producing them for all SOEs and 26% (14) for a defined portfolio. Only 8% (4) of jurisdictions produce ad hoc reports or regular reports to parliament, 13% publish an online directory instead of an aggregate report, and 15% (8) do not produce aggregate reports but an online inventory of financial and (sometimes) non-financial information (Figure 1.13).

Ad hoc reports take various forms and can serve to inform the parliament and the public about the achievements, performance and financial position of SOEs at the end of each reporting year. Although they are not always presented in the same format as an annual aggregate report, with the audience being primarily representative bodies responsible for ensuring accountability of the ownership function, they can still be a valuable source of transparency, information disclosure and accountability. Such reports can be a useful starting point to developing more sophisticated forms of annual aggregate reporting (OECD, 2022^[16]).

The scope and nature of online inventories vary from one jurisdiction to the other, but they tend to be focused on financial information and quantitative data on the SOE sector rather than providing an assessment of the achievement of state ownership objectives. The advantage of an online inventory is that it can regroup information from disparate sources and can be regularly updated to ensure timely information. More sophisticated portals have features that allow users to interact with the data, making it searchable and downloadable either in aggregate or disaggregate format (i.e. by sector, ownership entity or enterprise). In other cases, the online inventory offers a broader overview with general data on the sector and distribution, employment data, board composition, and economic and financial indicators. Best practice would be to couple the online inventory, based on robust data, and a narrative annual aggregate report to ensure the accompanying analysis provides the “bigger picture” on critical information (OECD, 2022^[16]).

Box 1.5. Chile’s aggregate reporting through [Empresasestatales.cl](https://empresasestatales.cl)

The Chilean Ministry of Finance recently launched a website that contains centralised information about Chilean SOEs. The website publishes aggregate reporting on the financial and non-financial performance of SOEs (decentralised and under the supervision of the ownership entity SEP) as well as information on the goals of the government’s ownership policy, regulations and practices regarding the financing and governance of SOEs. In doing so, the Ministry of Finance aims to enhance transparency and disclosure practices in the SOE sector, as well as to keep taxpayers and civil society informed about the role of the state as a shareholder.

Source: Government of Chile (2024^[17]), Empresas Estatales, <https://empresasestatales.cl>

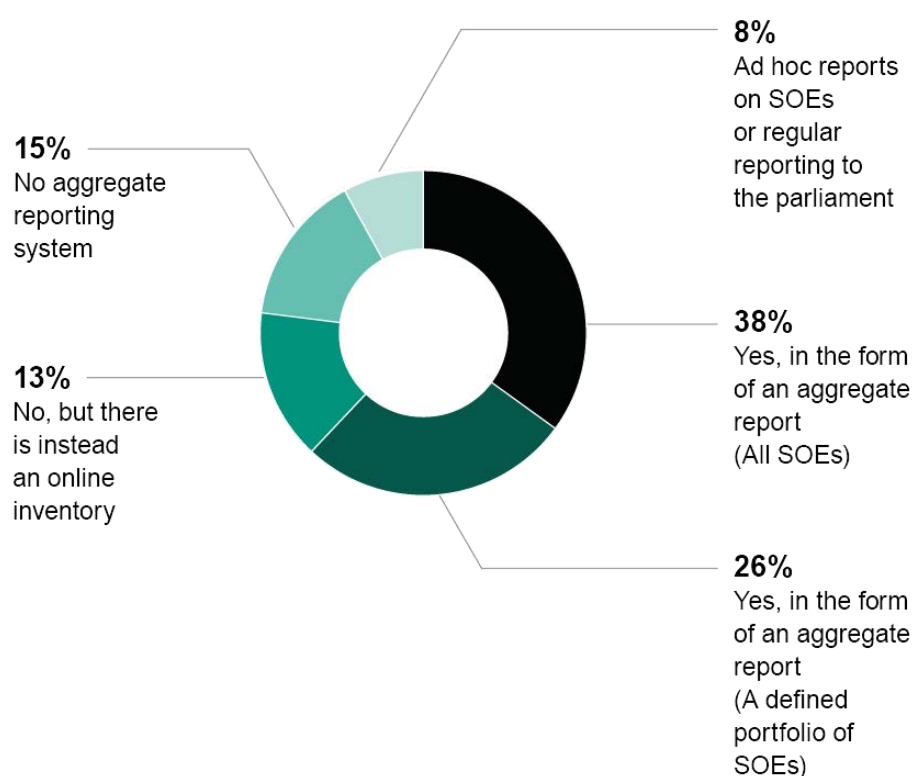
Table 1.10 gives an overview of the types of information that different jurisdictions make available. It shows that 16 out of 43 jurisdictions for which there is information available (37%) divulge a full range of information (e.g. on the state ownership policy, financial and non-financial performance, employment). Table 1.11 shows that virtually all jurisdictions for which information is available (34 of 35) disclose SOE information to the public.

Table 1.9. Aggregate reporting by state ownership entities

Does the state ownership entity produce an aggregate report on SOE financial and non-financial performance?

Status		Jurisdictions	Total: 53
Yes, in the form of an aggregate report.	All SOEs.	Austria, Bulgaria, Chile, Colombia, Costa Rica, Estonia, Finland, Germany, India, Indonesia, Israel, Japan, Latvia, Lithuania, Netherlands, New Zealand, Norway, Sweden, Switzerland, Türkiye.	20
	A defined portfolio of SOEs.	Azerbaijan, Croatia, France, Hungary, Ireland, Kazakhstan, Morocco, Peru, Portugal, Romania, Slovenia, Spain, Thailand, Viet Nam.	14
Ad hoc reports on SOEs or regular reporting to the parliament.		Denmark, Greece, Italy, Poland.	4
No, but there is an online inventory instead.		Australia, Brazil, Czechia, Korea, Luxembourg, Philippines, Ukraine.	7
No aggregate reporting system.		Argentina, Belgium, Canada, Malaysia, Mexico, Slovak Republic, United Kingdom, United States.	8

Source: OECD Working Party on State Ownership and Privatisation Practices.

Figure 1.13. National approaches to aggregate reporting

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 1.10. Aggregate reporting material disclosure areas

What information is included in the aggregate report?

Jurisdiction	Implementation of the state ownership policy	Financial performance	Non-financial performance	Total employment in SOEs	Implementation of public policy objectives	SOE board composition and/or remuneration	Reporting on individual SOEs
Australia	x	x	x	x	x	x	x
Austria		x	x	x	x		x
Brazil	x	x	x	x		x	x
Bulgaria		x	x	x	x	x	x
Chile	x	x	x	x		x	x
Colombia	x	x	x	x	x	x	x
Costa Rica	x	x	x	x	x	x	x
Croatia		x	x	x		x	x
Czechia	x	x	x	x		x	x
Denmark	x	x	x	x	x	x	x
Estonia	x	x	x	x		x	x
Finland	x	x	x	x	x	x	x
France	x	x	x	x		x	x
Germany		x		x		x	x
Greece	x	x	x	x	x	x	x
Hungary	x	x		x		x	x
Iceland	x	x	x	x		x	x
India	x	x		x			
Indonesia	x	x	x	x		x	x
Ireland		x	x	x		x	x
Israel		x	x				x
Italy		x		x		x	
Japan	x	x					x
Kazakhstan		x		x			
Korea	x	x	x	x	x	x	x
Latvia	x	x	x	x	x	x	x
Lithuania	x	x	x	x	x	x	x
Luxembourg					x	x	x
Netherlands	x	x	x	x	x	x	x
New Zealand		x					
Norway	x	x	x	x	x	x	x
Philippines	x	x	x		x		x
Peru		x	x	x	x	x	x
Portugal		x	x				
Romania	x	x		x	x	x	x
Slovenia	x	x	x	x	x	x	x
Spain	x	x	x	x	x	x	x
Sweden	x	x	x	x	x	x	x
Switzerland	x	x	x	x	x	x	x
Thailand		x	x				x
Türkiye	x	x	x	x	x	x	x
Ukraine		x	x			x	x
Viet Nam		x		x		x	
Total: 43	28	42	33	35	22	34	37

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 1.11. Public availability of aggregate reporting

To whom is the information made available?

Jurisdiction	Sectoral ministries	Parliament	General public
Australia	x	x	x
Austria		x	
Brazil	x	x	x
Bulgaria	x	x	x
Chile	x	x	x
Colombia	x	x	x
Costa Rica			x
Croatia	x	x	x
Czechia	x	x	x
Denmark		x	x
Estonia	x	x	x
Finland	x	x	x
France	x	x	x
Germany	x	x	x
Greece	x		x
Hungary	x	x	x
Ireland	x		x
Israel	x	x	x
Italy	x	x	x
Korea			x
Latvia	x	x	x
Lithuania	x	x	x
Netherlands	x	x	x
Norway			x
Peru	x	x	x
Philippines	x	x	x
Portugal			x
Romania	x	x	x
Slovenia	x	x	x
Spain	x	x	x
Sweden		x	x
Switzerland	x	x	x
Thailand	x		x
Türkiye		x	x
Ukraine	x		x
Total: 35	27	27	34

Source: OECD Working Party on State Ownership and Privatisation Practices.

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2 Ensuring a level playing field

Where SOEs engage in economic activities, those activities must be carried out in a way that ensures fair competition in the marketplace. While there is consensus on this objective in principle, obtaining a level playing field is more complicated in practice. SOEs are often subject to differing legal, regulatory and policy frameworks than their private sector peers due to their corporate forms or they may operate with special privileges or protections due in part to the nature of their public policy activities. This chapter highlights trends in the treatment of SOEs compared to commonly accepted corporate norms, in their funding and financing, and in the disclosure of ownership and control structures.

2.1. Key messages

Although SOEs are usually treated similarly to non-SOEs in terms of regulations and taxation, in practice SOEs often benefit from special advantages not provided to other firms.

Incorporation under ordinary company law helps to ensure competitive neutrality by exposing SOEs to the same corporate norms as other market participants. When SOEs are established under statutory laws, exemptions from legal and regulatory requirements and other types of corporate norms may grant them special rights, privileges or protections. This chapter shows that:

- 80% of jurisdictions endow SOEs with similar or equal regulatory treatment as other firms, yet 36% grant at least some of their SOEs special tax treatment. Exceptions are made for certain enterprises if they are a natural monopoly, operate in reserved markets, or pursue public service obligations (PSOs).
- 18% of 45 jurisdictions do not apply insolvency rules consistently across commercial SOEs as for private sector firms.
- Public procurement rules apply fairly consistently across the jurisdictions surveyed. Only a few jurisdictions allow commercial SOEs to benefit from more favourable treatment than those available to private sector firms as bidders in public procurement.
- Contractual and contingent liabilities are underreported by SOEs, with 38% of jurisdictions not requiring SOEs to report this information. This may affect non-state equity owners and other stakeholders by reducing their ability to assess risks.

The fulfilment of public service obligations by SOEs (as well as other enterprises) should be recognised and compensated adequately. This chapter finds that:

- 45% of jurisdictions require all or most SOEs to undergo structural separation, or at least accounting separation between the activities that relate to PSOs and those that relate to non-PSO economic activities. 21% do not require separation.
- 74% of jurisdictions report that the state provides commercial SOEs with adequate compensation for fulfilling their PSOs as outlined in relevant legal documents.
- 48% of jurisdictions report that the disclosure requirements regarding state support specifically covers subsidies or state guarantees.
- 74% of jurisdictions report that their SOEs may benefit from indirect financial support in the shape of, inter alia, state guarantees on commercial debt.

SOEs may also serve as an important source of government revenue through dividend payouts. However, dividend policy practices vary a lot ranging from minimum share of net profit to general guidelines linked to optimal capital structure, and one-third of jurisdictions do not issue dividend policy guidance to SOEs.

Lastly, only 39% of jurisdictions report that SOEs are not required to disclose their ownership and/or control structures, including the existence of shareholding agreements, golden shares or veto rights, which facilitates better transparency and accountability towards shareholders and stakeholders.

2.2. SOEs in the marketplace

The SOE Guidelines establish that the legal, regulatory and policy framework for SOEs should ensure a level playing field and fair competition in the marketplace when SOEs engage in economic activities (OECD, 2024^[1]). Central to the SOE Guidelines is the delineation between the ownership function of the state and other roles that may influence market dynamics, such as regulation and policy making. Moreover, they emphasise the importance of ensuring that stakeholders, including competitors, have access to

efficient avenues for redress. Additionally, the SOE Guidelines advocate a legal structure for SOEs that permits the initiation of insolvency proceedings and the assertion of creditor claims. Furthermore, in cases where SOEs undertake public service obligations (PSOs), transparency is paramount. These obligations should be clearly and specifically identified to facilitate accurate cost and revenue attribution and to avoid the risk of over or under compensation. Importantly, to support fair competition, SOEs should not be utilised to subsidise or grant advantages to other commercial undertakings.

In 2021, the OECD adopted a *Recommendation on Competitive Neutrality*. The Recommendation establishes a set of principles to ensure that governments' actions are competitively neutral and that all enterprises face a level playing field, irrespective of factors such as the enterprises' ownership, location or legal form. A Competitive Neutrality Toolkit supports the implementation of the principles set out in the OECD Recommendation providing a set of good practices, based on examples from international experience, to support public officials in identifying and reducing distortions to competition due to state intervention. (OECD, 2024^[2]). The concept of competitive neutrality is relevant for SOEs as it is a fundamental principle of competition law and policy that firms should compete on merits and should not benefit from undue advantages, for example due to their ownership or nationality. Competitive neutrality foresees equal treatment of all market players and posits a market environment where no enterprise is at an undue advantage or disadvantage compared to other enterprises (OECD, 2023^[3]). There is widespread consensus among OECD members to uphold these principles, and in practice competitive neutrality may be at risk in situations where legal and regulatory treatment differs between SOEs and other firms, due to their corporate form or other special rights, privileges or protections.

2.3. Corporate forms of SOEs

SOEs incorporated under ordinary company law typically receive comparable or identical regulatory, legal, and tax treatment as private enterprises. Incorporation under ordinary company - such as Joint Stock Company (JSC) or Limited Liability Company (LLC) - helps to ensure competitive neutrality by exposing SOEs to the same corporate norms as other market participants. When SOEs are established through statutory laws, exemptions from legal, regulatory and other requirements may grant them special rights, privileges or protections. The uneven application of corporate norms, or provisions, on market participants can be a source of competitive advantage (or disadvantage).

2.3.1. Regulatory treatment

Generally, most incorporated SOEs are subject to the same regulatory regimes as private peers. Exceptions may be found in the case of SOEs performing public interest activities. Regulatory advantages could take the form of exemptions from competition rules which may be laid out in specific provisions of market regulations that apply to sectors where SOEs operate (often in sectors with natural monopoly characteristics, such as in the network industries, utilities or in postal services). Some regulatory advantages can take the form of lower regulatory compliance (e.g. incumbents exempted from new and stricter requirements or lax oversight) which usually lowers the cost of doing business, whereas other regulatory advantages (e.g. licensing or authorisations) may be in the form of preferential treatment for public undertakings (OECD, 2012^[4]).

Eighty per cent of jurisdictions (43 out of 54) subject SOEs to a similar or equal regulatory treatment as other businesses (Table 2.1). However, there are also a few exemptions: Seventeen jurisdictions apply different regulatory treatment where SOEs operate in natural monopolies and reserved markets. Eleven jurisdictions allow exemptions in instances where public service obligations are pursued by an SOE. Fourteen jurisdictions allow for other types of exemptions, which can take the form of differentiated application of competition law to certain types of activities or through other types of preferential regulatory treatment. In all cases, when derogations apply, they should apply to all current or potential market

participants and the rationale and conditions should be made transparent and clearly established to ensure competitive neutrality (OECD, 2021^[5]).

Table 2.1. Regulatory treatment of SOEs

Jurisdiction	Subject to similar or equal regulatory treatment as private enterprises	Exemptions for natural monopolies, reserved markets	Exemptions for public service obligations	Other type of exemptions
Argentina	x	x		x
Australia	x	x		
Austria	x			
Azerbaijan	x	x		
Belgium	x			
Brazil	x			
Bulgaria	x			
Canada		x		
Chile	x			
Colombia	x	x		x
Costa Rica		x		
Croatia	x			
Czechia	x			
Denmark	x			
Estonia	x			
Finland	x			
France	x			
Germany	x			
Greece	x			
Hungary	x			
Iceland	x			
India		x	x	x
Indonesia		x	x	x
Ireland	x			
Israel	x			
Italy	x			
Japan	x			
Korea	x	x		
Latvia	x			
Lithuania	x			
Malaysia		x	x	x
Mexico				x
Morocco	x			
Netherlands	x			
New Zealand	x			
Norway	x			
Peru	x			
Philippines		x	x	x
Poland	x			
Portugal	x			
Romania	x			
Saudi Arabia		x	x	x
Slovak Republic	x			
Slovenia	x			

Jurisdiction	Subject to similar or equal regulatory treatment as private enterprises	Exemptions for natural monopolies, reserved markets	Exemptions for public service obligations	Other type of exemptions
South Africa	x	x	x	x
Spain	x			
Sweden	x			
Switzerland	x	x	x	x
Thailand		x	x	x
Tunisia		x	x	x
Ukraine	x	x	x	x
United Kingdom	x			
United States			x	x
Viet Nam	x			
Total: 54	43	17	11	14

Source: OECD (2021^[6]), COVID-19 emergency government support and ensuring a level playing field on the road to recovery, <https://doi.org/10.1787/1e5a04de-en>; and OECD (2012^[7]), Competitive Neutrality: Maintaining a Level Playing Field between Public and Private Business, <https://doi.org/10.1787/9789264178953-en>.

2.3.2. Tax treatment

The SOE Guidelines establish that the state should ensure tax neutrality to prevent undue discrimination between SOEs and their competitors. This applies to a range of direct or indirect tax regimes including corporate/income taxes, value-added taxes, property taxes, registration and other special taxes. It also applies to tax compliance, as there should be no expectation that SOEs may benefit from their near-government status to run up tax arrears or be subject to lenient enforcement of tax rules (OECD, 2024^[1]).

SOEs incorporated under company law are for the most part subject to direct taxes in the form of corporate income taxation, and indirect taxes such as value-added tax (VAT). Some exemptions may apply to specific categories of SOEs which may be carrying out non-commercial objectives and which may be exempt from tax on income derived from such obligations in addition to being exempt from paying VAT or charging VAT on these transactions (OECD, 2012^[4]). For example, jurisdictions employing tax tools to advance low carbon transition objectives may grant differentiated tax treatment to support climate related public policy objectives (He, Jing and Chen, 2023^[8]). Competitive neutrality can be ensured if differentiated tax treatment applies to all current or potential market participants, not just SOEs.

Statutory corporations may be exempt from certain taxes if specified by their statutory laws. And in some cases, categories of SOEs may be disadvantaged by different tax treatment, such as not benefitting from tax write-offs or refunds that would apply to private enterprises (OECD, 2012^[4]).

As shown in Table 2.2, the applicability of tax regimes varies across jurisdictions. In 60% (33 out of 55) SOEs are subject to the same tax treatment as private enterprises and in 27% they are subject to a largely similar tax treatment. Thirty-six per cent grant at least some of their SOEs special tax treatment. Often, more extensive differences in tax treatments exist where SOEs operate under their own statutory framework and are thus not subject to company law or other applicable tax laws.

Table 2.2. Tax treatment of SOEs in comparison to private enterprises

Jurisdiction	Subject to the same tax treatment as private enterprises	Subject to largely similar tax treatment as private enterprises	Different treatment or exceptions
Argentina	x		x
Australia	x		
Austria		x	
Azerbaijan	x		
Belgium	x		
Brazil	x		x
Bulgaria	x		
Canada		x	x
Chile		x	x
Colombia		x	x
Costa Rica		x	
Croatia		x	
Czechia	x		
Denmark	x		
Estonia	x		
Finland	x		
Germany	x		
Greece	x		
Hungary	x		
Iceland		x	x
India			x
Indonesia		x	
Ireland	x		
Israel	x		
Italy	x		
Japan	x		
Kazakhstan		x	x
Korea	x		
Latvia	x		
Lithuania		x	x
Malaysia			x
Mexico	x		x
Morocco	x		
Netherlands	x		
New Zealand	x		
Norway	x		
Peru	x		
Philippines		x	
Poland		x	x
Portugal	x		
Romania	x		
Saudi Arabia			x
Slovak Republic	x		
Slovenia	x		
South Africa		x	x
Spain	x		
Sweden	x		
Switzerland		x	x

Jurisdiction	Subject to the same tax treatment as private enterprises	Subject to largely similar tax treatment as private enterprises	Different treatment or exceptions
Thailand			x
Tunisia			x
Türkiye	x		
Ukraine		x	x
United Kingdom			x
United States			x
Viet Nam	x		
Total: 55	33	15	20

Source: OECD (2021^[6]), COVID-19 emergency government support and ensuring a level playing field on the road to recovery, <https://doi.org/10.1787/5b0fd8cd-en>; and OECD (OECD, 2012^[7]), Competitive Neutrality: Maintaining a Level Playing Field between Public and Private Business, <https://doi.org/10.1787/9789264178953-en>.

2.3.3. Insolvency rules

The SOE Guidelines establish that the legal forms of SOEs should allow them to initiate insolvency procedures and for creditors to press their claims. SOEs should also be subject to bankruptcy and insolvency rules equivalent to those for comparable competing private enterprises (OECD, 2024^[11]).

In practice, while many SOEs are formally subject to bankruptcy law, their creditors cannot initiate bankruptcy or administration procedures. SOEs may face differences in legal treatment regarding insolvency if legislation exempts SOEs' assets from being taken by execution of a judgement, debt or insolvency. Moreover, even if not formally exempted by insolvency legislation, they may benefit from lower bankruptcy risks than private enterprises if they benefit from softer budget constraints and lower financial discipline offset by state support in the form of state aids, lending, equity injections/bail outs, and protection from competition (OECD, 2024^[12]).

OECD Product Market Regulation (PMR) indicators suggest that over 82% of 45 jurisdictions apply the same insolvency rules to commercial SOEs than to private enterprises. Bulgaria, Canada, Mexico and Portugal allow for exceptions across some of their commercial SOEs, while Brazil, Costa Rica, and Korea have different insolvency rules for SOEs. In Costa Rica, for example, the insolvency process is subject to legislative review as SOEs are created through statutory laws. Table 2.3 offers a detailed breakdown.

Table 2.3. Applicability of insolvency rules

Do the insolvency rules that apply to private enterprises also apply to commercial SOEs?

Answer	Jurisdictions	Total: 45*
Yes (all or most commercial SOEs).	Austria, Australia, Belgium, Chile, Croatia, Colombia, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Indonesia, Ireland, Israel, Italy, Japan, Latvia, Lithuania, Luxembourg, New Zealand, Netherlands, Norway, Peru, Poland, Slovak Republic, Slovenia, South Africa, Spain, Sweden, Switzerland, Türkiye, United Kingdom.	37
Yes (some commercial SOEs).	Bulgaria, Canada, Mexico, Portugal.	4
No.	Brazil, Costa Rica, Korea.	4

Note: * Total includes data for two jurisdictions that are not included in disaggregate.

Source: OECD PMR database 2023.

2.3.4. Competition law

Almost all OECD economies ensure that competition law – including antitrust law and merger control - applies holistically across SOEs undertaking economic activities. Although laws preventing anti-competitive behaviour of firms are designed to correct unfair advantages or disadvantages within the market, exceptions from such laws can exist for SOEs that are not incorporated as LLC or JSC, or for companies charged with delivering public service obligations. (Table 2.4) Recent OECD studies point to the fact that while SOEs' economic activities may be subject to competition law, SOEs may enjoy more favourable treatment in merger control or antitrust enforcement (OECD, 2024^[2]).

Table 2.4. Applicability of competition law to commercial SOEs

Are commercial SOEs subject to an exclusion/exemption from the application of the competition law in specific sectors when performing commercial activities potentially in competition with private enterprises?

Answer	Jurisdictions	Total: 45*
Yes (in some sectors).	Costa Rica	1
No.	Australia, Austria, Belgium, Brazil, Bulgaria, Canada, Chile, Colombia, Croatia, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, Indonesia, Ireland, Israel, Italy, Japan, Korea, Latvia, Lithuania, Luxembourg, Mexico, Netherlands, New Zealand, Norway, Peru, Poland, Portugal, Slovak Republic, Slovenia, South Africa, Spain, Sweden, Switzerland, Türkiye, United Kingdom.	44

Note: * Total includes data for two jurisdictions that are not included in disaggregate.

Source: OECD PMR database 2023.

2.3.5. Public procurement and other types of favourable treatment

The SOE Guidelines establish that when SOEs engage in public procurement, whether as bidder or procurer, the procedures should be open, competitive, based on fair and objective selection criteria, promote supplier diversity and be safeguarded by appropriate standards of integrity and transparency (OECD, 2024^[1]). Increased transparency of public procurement conditions and practices can help to ensure all potential suppliers can take part in public tenders, and all bidders are treated in an equitable manner.

Table 2.5. Public procurement and other types of favourable treatment

Jurisdiction	Can commercial SOEs benefit from more favourable treatment as bidders in public procurement?	Can commercial SOEs benefit from more favourable treatment for energy inputs (i.e. can they obtain gas and electricity at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment for water inputs (i.e. can they obtain water at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment for other types of inputs (i.e. can they obtain other inputs at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment when competing for access to public land?
Australia	no	no	no	no	no
Austria	no	no	no	no	no
Belgium	no	no	No information	no	No information
Brazil	no	no	no	no	no
Bulgaria	no	no	no	no	no
Canada	no	no	no	no	no

Jurisdiction	Can commercial SOEs benefit from more favourable treatment as bidders in public procurement?	Can commercial SOEs benefit from more favourable treatment for energy inputs (i.e. can they obtain gas and electricity at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment for water inputs (i.e. can they obtain water at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment for other types of inputs (i.e. can they obtain other inputs at subsidised prices)?	Can commercial SOEs benefit from more favourable treatment when competing for access to public land?
Chile	no	no	no	no	no
Colombia	no	no	no	no	no
Costa Rica	yes (in some sectors)	no	no	no	yes (in all or most sectors)
Croatia	no	no	no	no	no
Czechia	no	no	no	no	no
Denmark	no	no	no	no	no
Estonia	yes (in some sectors)	no	no	no	no
Finland	no	no	no	no	no
France	no	no	no	no	no
Germany	no	no	no	no	no
Greece	no	no	no	no	no
Hungary	no	no	no	no	no
Iceland	no	no	no	no	no
Indonesia	no	no	no	no	no
Ireland	no	no	no	no	no
Israel	no	no	no	no	no
Italy	no	no	no	no	no
Japan	no	no	no	no	no
Korea	no	no	no	no	no
Latvia	no	no	no	no	no
Lithuania	no	no	no	no	no
Luxembourg	no	no	no	no	no
Mexico	no	yes (in all or most sectors)	yes (in some sectors)	yes (in all or most sectors)	yes (in all or most sectors)
New Zealand	no	no	no	no	no
Netherlands	no	no	no	no	no
Norway	no	no	no	no	no
Peru	yes (in some sectors)	no	no	no	no
Poland	no	no	no	no	no
Portugal	no	no	no	no	no
Slovak Republic	no	no	no	no	no
Slovenia	no	no	no	no	no
South Africa	no	no	no	no	no
Spain	no	no	no	no	no
Sweden	no	no	no	no	no
Switzerland	no	no	no	no	no
Türkiye	no	no	no	no	no
United Kingdom	no	no	no	no	no
United States	no	no	no	no	no
Total: 45*	No: 42	No: 44	No: 43	No: 44	No: 42

Note: *Total includes data for one jurisdiction that is not included in disaggregate.

Source: OECD PMR database 2023.

As shown in Table 2.5, nearly all 45 jurisdictions for which information is available do not grant benefits and favourable treatment to SOEs participating as bidders in public procurement processes. Costa Rica, Estonia and Peru are exceptions. In Costa Rica, Article 3 of Law N.9986 establishes an exception from the ordinary procurement process for contracts between public entities. These are registered through the electronic procurement platform and must be backed by a reasoned convenience analysis. In the case of Estonia, state authorities can grant direct contracts to SOEs, so-called in-house contracts, though these must be concluded under market conditions.

Other types of favourable treatment

The SOE Guidelines note that SOEs should not receive or provide any in-kind inputs such as real estate, goods or services, but also access to data and information resources, or infrastructure at prices or conditions more favourable than those available to privately-owned competitors operating at arm's length in accordance with commercial considerations. Some exceptions may be required in the fulfilment of public service obligations.

While recent OECD research examining the impact of state support measures in industrial sectors point to concerns in this area (OECD, 2023^[9]), most jurisdictions report that SOEs are rarely provided favourable treatment to obtain access to resources such as energy, water or land.

2.3.6. Public-private partnerships and contractual obligations

As recommended in the SOE Guidelines, when SOEs engage in joint projects such as public-private partnerships (PPPs), the contracting parties should ensure that contractual rights and obligations are upheld, and disputes addressed in a timely and objective manner. PPPs should be adequately disclosed, especially if the partnership entails transfers of risks, resources, and financial rewards (OECD, 2024^[1]).

Thirty-eight per cent of jurisdictions (16 out of 42) do not require SOEs to disclose contractual or contingent liabilities (Table 2.6). While not all jurisdictions surveyed engage in PPPs with SOEs, some choose to disclose contractual or contingent liabilities that may arise from PPPs via a national register. Jurisdictions that implement a publicly accessible national register or where a ministry issues a report to share such information do not require SOEs to share this information in their annual reports or on their websites. Some jurisdictions require contractual information to be disclosed by the SOE itself. For example, the UK requires disclosures on contractual or contingent liabilities to be made in aggregate. SOEs that implement International Financial Reporting Standards (IFRS) disclose contractual liabilities if they are assessed as financially and materially significant.

Table 2.6. Disclosure of contractual and contingent liabilities

Are SOEs required to disclose information on related contractual or contingent liabilities for PPPs?

Answer	Jurisdictions	Total: 42
Yes.	Australia, Brazil, Canada, Estonia, Finland, Germany, Greece, Ireland, Italy, Latvia, Lithuania, New Zealand, Norway, Portugal, Romania, Slovak Republic, Slovenia, Spain, Sweden, Switzerland, United Kingdom.	21
Yes, via a national register.	Bulgaria, Czechia, Hungary, Poland.	4
Yes, via the ministry.	Croatia.	1
No.	Austria, Azerbaijan, Belgium, Chile, Colombia, Costa Rica, Israel, Korea, Luxembourg, Netherlands, Peru, Philippines, Thailand, Türkiye, Ukraine, Viet Nam.	16

Source: OECD Working Party on State Ownership and Privatisation Practices.

2.4. Financing of public service obligations

Apart from engaging in commercial activities, SOEs (as other economic operators) may fulfil public service obligations (PSOs) which, in certain circumstances, warrants compensation (see Box 1.1 for a definition of PSOs). Among 44 jurisdictions, only in Canada does the state not ask commercial SOEs to provide services that fall under a PSO (Table 2.7).

Table 2.7. SOEs tasked with PSOs

Are there any commercial SOEs that – besides providing commercial services – also provide services that fall under a public service obligation?

Answer	Jurisdictions	Total: 44*
Yes.	Australia, Austria, Belgium, Brazil, Bulgaria, Chile, Colombia, Costa Rica, Croatia, Czechia, Denmark, Estonia, Finland, France, Greece, Hungary, Iceland, Indonesia, Ireland, Israel, Italy, Japan, Korea, Lithuania, Latvia, Luxembourg, Mexico, Netherlands, New Zealand, Norway, Peru, Poland, Portugal, Slovak Republic, Slovenia, Spain, South Africa, Sweden, Switzerland, Türkiye, United Kingdom.	43
No.	Canada.	1

Note: * Total includes data for two jurisdictions that are not included in disaggregate.

Source: OECD PMR database 2023.

The reporting of PSOs and the structural separation between PSOs and other objectives that are commercial in nature is a function of the legal framework applicable to a given SOE. Requirements regarding the disclosure of PSOs may be specified in policy, laws and acts that relate to the provision of public services, such as postal services acts or energy acts regulating electricity, oil, and gas sectors, or be specified in the statutory laws of SOEs. The nature of the reporting obligation mostly depends on the SOE legal form and laws on the service carried out.

Forty-five per cent of jurisdictions (20 out of 44) require all or most SOEs to ensure structural separation or, at least, accounting separation between the activities undertaken by SOEs to comply with the PSO and the activities undertaken to provide commercial services (Table 2.8). Thirty-four per cent of jurisdictions require structural or accounting separation between PSOs and commercial activities for some of their SOEs, while 21% do not require any structural and/or accounting separation.

Table 2.8. Legal obligation to separate accounts

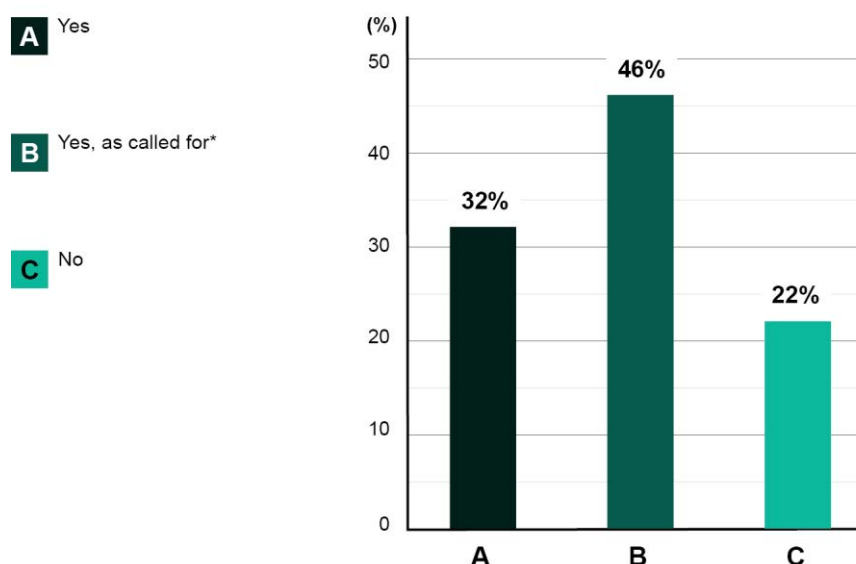
Are there clear legal obligations in place to ensure structural separation or, at least, accounting separation between the activities of SOEs undertaken to comply with the PSO and the activities undertaken to provide commercial services?

Answer	Jurisdictions	Total: 44*
Yes (all or most commercial SOEs).	Austria, Brazil, Bulgaria, Estonia, Finland, France, Greece, Hungary, Iceland, Indonesia, Ireland, Italy, Korea, Lithuania, Norway, Slovak Republic, Slovenia, Spain, Sweden, Switzerland.	20
Yes (some commercial SOEs).	Belgium, Colombia, Croatia, Czechia, Denmark, Japan, Latvia, Luxembourg, Netherlands, Peru, Poland, Portugal, United Kingdom.	15
No.	Australia, Canada, Chile, Costa Rica, Israel, Mexico, New Zealand, Türkiye, South Africa.	9

Notes: In Korea, SOEs gradually introduced accounting separation. In Sweden, public service obligations are either compensated by the state budget or via cross-subsidisation; this is not always fully funded in every single year. * Total includes data for two jurisdictions that are not included in disaggregate.

Source: OECD PMR database 2023.

Figure 2.1. Nature of separation of SOE accounts



Note: *The category “As called for” refers to responses where the separation of accounts depends on specific circumstances, such as when state aid rules apply.

Source: OECD Working Party on State Ownership and Privatisation Practices.

There are also transparency requirements that lead SOEs to engage in some degree of accounting separation. For example, EU Commission Directive 2006/111/EC requires the separation of accounts between different activities, costs, and revenues where an undertaking may be provided with public funds. Figure 2.1 illustrates the jurisdictions where SOEs must separate accounts, showing that 46% do so only under certain circumstances or only for certain SOEs. Sub-chapter 3.2 on reporting and disclosure practices of SOEs further discusses transparency practices surrounding the monitoring of PSOs.

Where a separation of accounts is required, compensating SOEs for their fulfilment of PSOs should, in theory, be simple and transparent. In 74% of jurisdictions (32 out of 43), the state provides commercial SOEs with adequate compensation for fulfilling their PSOs as outlined in relevant legal or regulatory provisions (Table 2.9). The remaining 26% do not grant commercial SOEs adequate compensation. It should be noted, though, that compensation practices are not fully comparable across countries, as they may range from direct transfers, capital grants, reimbursements (ex-post and ex-ante), and budget appropriations, to state aids/subsidies. Some countries report that they do not compensate commercial SOEs and may allow SOEs to cross-subsidise from profit-making to loss-making activities, or allow for an indirect compensation expressed as a lower rate-of-return on their investment. The various mechanisms to compensate for a PSO may not necessarily follow a legally pre-defined procedure, but should avoid both over-compensation and under-compensation, and be based on objective and transparent criteria.

Table 2.9. Compensation of PSOs

Are there requirements in place to provide commercial SOEs with adequate compensation for fulfilling their public service obligations?

Answer	Jurisdictions	Total: 43*
Yes	Austria, Belgium, Bulgaria, Canada, Chile, Denmark, Estonia, Finland, France, Greece, Hungary, Iceland, Indonesia, Ireland, Italy, Japan, Korea, Latvia, Lithuania, Luxembourg, Netherlands, New Zealand, Norway, Peru, Portugal, Slovak Republic, Slovenia, Spain, Sweden, Türkiye, United Kingdom.	32
No	Australia, Brazil, Colombia, Costa Rica, Croatia, Czechia, Israel, Mexico, Poland, Switzerland, South Africa.	11

Note: Chile is assessed as not providing commercial SOEs with compensation for its PSOs in the PMR database. However, there are two examples where compensation is required in the law: Televisión Nacional de Chile's organic law (Law N°19.132, <https://bcn.cl/2k3nr>), establishes a compensation system in articles 35 to 37. Empresa Nacional de Petróleo's organic law (Decreto con Fuerza de Ley N°1 de 1986, <https://bcn.cl/3gkb1>), article 9 paragraph 2, also contains a compensation system. * Total includes data for one jurisdiction that is not included in disaggregate.

Source: OECD PMR database 2023.

2.5. Funding and financing of SOEs

According to the SOE Guidelines, SOEs' economic activities should not benefit from or include granting any direct or indirect financial support that confers an advantage over private competitors, such as preferential debt or equity financing. Further, the state should pay attention to its ownership practices of state-owned financial institutions, which should not confer advantages inconsistent with market conditions. For example, state-owned financial institutions should not confer below-market lending or financing. If SOEs receive ad-hoc state support due to a crisis or emergency, such support should be in alignment with the principle of competitive neutrality (OECD, 2024^[1]).

Nonetheless, SOEs in practice sometimes benefit from preferential access to equity and debt financing, including below-market borrowing rates, which may be inaccessible to private sector competitors. Additionally, governments at times provide financial assistance to SOEs in cases where these enterprises struggle to generate adequate returns on their investments (Box 2.1).

Box 2.1. OECD work on access to financing support: trends and highlights

A recent OECD Trade Policy Paper addressed the role of government support in industrial sectors. State support measures include government grants, corporate tax concessions (especially common in high-tech sectors), debt and equity financing provided on below-market terms, and subsidised energy inputs (especially common in heavy industries). It highlights that SOEs are not only relatively large recipients of state support but can also be providers of support. The analysis has found enterprises with at least 25% government ownership to have received two to three times more support relative to their size than competitors with less government ownership. This increases ten times when looking only at government grants and below-market borrowings.

Source: OECD (2023^[9]), “Government support in industrial sectors: A synthesis report”, OECD Trade Policy Papers 270, <https://doi.org/10.1787/1d28d299-en>

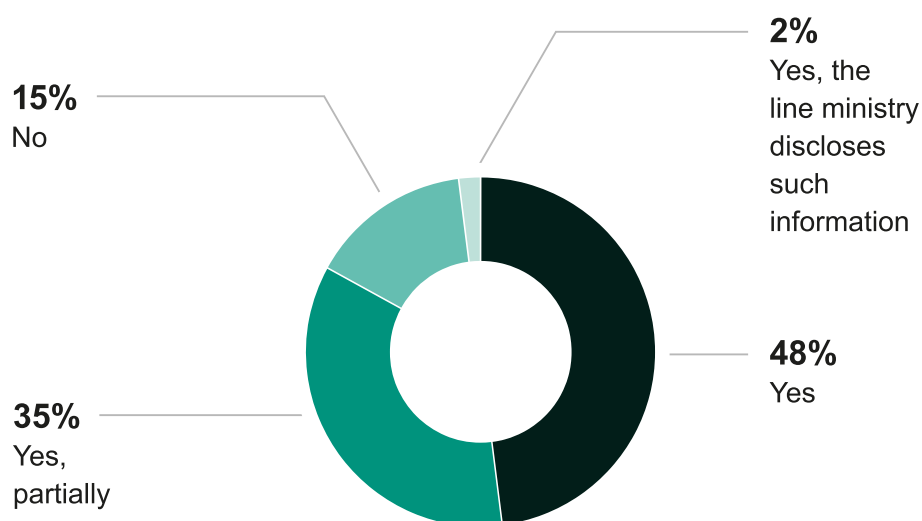
2.5.1. SOEs access to debt and equity financing

Table 2.10 provides a breakdown of the types of financing and funding arrangements available to SOEs. In 74% of jurisdictions (31 of 42), SOEs may be granted state guarantees on commercial debt. It is not possible to determine whether these are referring to explicit or implicit guarantees. In addition, 40% of jurisdictions allow preferential terms on commercial debt for SOEs, and in only 14% are there mechanisms in place to avoid preferential debt for SOEs.

As Figure 2.2 shows, in almost half of jurisdictions the disclosure requirement regarding state support covers specific types of support such as subsidies or state guarantees (when they amount to support). Thirty-five per cent of jurisdictions (17 out of 48) only require the disclosure of either guarantees or subsidies, but not necessarily both, or allow a partial disclosure whereby some SOEs may be excluded from making certain disclosures on state support measures.

Disclosure requirements on certain types of government assistance, such as grants, tend to only apply to SOEs that implement International Financial Reporting Standards (IFRS) and disclose such information as part of their financial statements. Furthermore, in EU member states, state aid is further subject to approval by the EU Commission under the Rules on State Aid.¹ However, in such instances, the line ministry tends to disclose such information rather than the SOE itself.

Figure 2.2. Disclosure of state guarantees and/or subsidies



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 2.10. Overview of funding and financing arrangements of SOEs

Jurisdiction	State guarantees on commercial debt possible	Preferential terms on commercial debt considered likely	Mechanisms in place to avoid preferential credits	Rate-of-return targets in place	Dividend guidelines or targets in place
Argentina	x				
Australia			x	x	x
Azerbaijan	x				
Brazil	x				
Canada	x	x		x	
Chile	x	x	x	x	
China	x	x			
Colombia	x				
Costa Rica	x				
Croatia	x				
Estonia		x	x	x	
Finland				x	x
Greece	x				
Iceland	x				x
India	x	x			
Indonesia	x	x			
Ireland				x	x
Israel	x	x			x
Italy		x			
Japan	x				
Kazakhstan	x	x			
Korea	x				
Latvia	x			x	
Lithuania					x
Malaysia	x	x		x	x
Mexico	x	x			
Morocco	x				

Jurisdiction	State guarantees on commercial debt possible	Preferential terms on commercial debt considered likely	Mechanisms in place to avoid preferential credits	Rate-of-return targets in place	Dividend guidelines or targets in place
Netherlands	x	x		x	x
New Zealand				x	x
Norway				x	x
Peru	x		x	x	x
Philippines	x				x
Poland	x				x
Portugal	x				
Slovenia	x				x
South Africa	x	x			x
Sweden		x		x	x
Switzerland				x	x
Thailand	x	x			
Tunisia	x	x			
Ukraine	x	x	x		x
United Kingdom			x	x	x
Total: 42	31	17	6	15	19

Note: No mark represents no response, not non-existence of guarantees and preferential terms. In Chile, the Constitution states that the state can own enterprises only when permitted by law, and in compliance with the regulations applicable for the private sector. There is also a prohibition for the state and for SOEs (including financial SOEs) to provide credit to other SOEs. One of the objectives behind this public policy is precisely to avoid preferential access to credits by SOEs.

Source: OECD Working Party on State Ownership and Privatisation Practices.

2.5.2. Dividend policies and reporting of dividend payouts

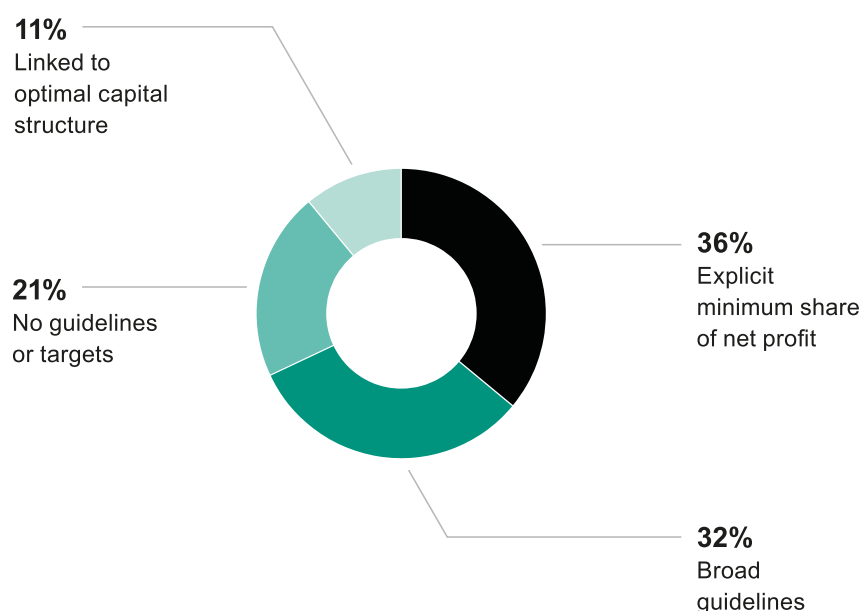
In jurisdictions with profitable SOEs, dividends can accumulate to represent a significant amount of government revenues. Nevertheless, it is important to note that excessive dividend rents may hinder SOEs from performing efficiently and sustainably (OECD/World Bank, 2024^[10]).

National practices for setting dividend policies can be classified into three categories:

- **Policy linked to optimal capital structure:** a model where the state's dividend expectations, communicated via established guidelines, are explicitly linked to the achievement of an optimal capital structure as measured by the maintenance of a target credit rating. The optimal capital structure is thus achieved if a target credit rating for the SOE has been obtained. This type of dividend policy is easier to implement for jurisdictions where the SOE portfolio is small, and thus an individual approach to determining the optimal capital structure is feasible.
- **Policy based on broad guidelines:** a model that relies on broad guidelines that are applicable across all SOEs which pay out dividends. Such guidelines may encompass expectations on the minimum share of profits to be allocated to company reserves before dividends are paid out, or contingencies on the achievement of strategic objectives must be met before dividends are distributed.
- **Policy based on minimum share of net profit:** this model sets an explicit minimum share of the net profit of the SOE that should be paid out as dividends. Such net profit targets may be changed depending on the enterprise's financial position and operational and strategic goals. They may also vary across the SOE portfolio, with some SOEs directed to distribute a higher share of net profit than others.

Within the sample of jurisdictions surveyed, 21% do not implement any guidelines to define SOE dividend policies, and a third adopt broad guidelines (Figure 2.3). A predominant reason for this appears to be the heterogeneity of SOEs, and the interaction of dividend policies with the objectives of each enterprise.

Figure 2.3. Typology of dividend policies implemented by SOEs and disclosure



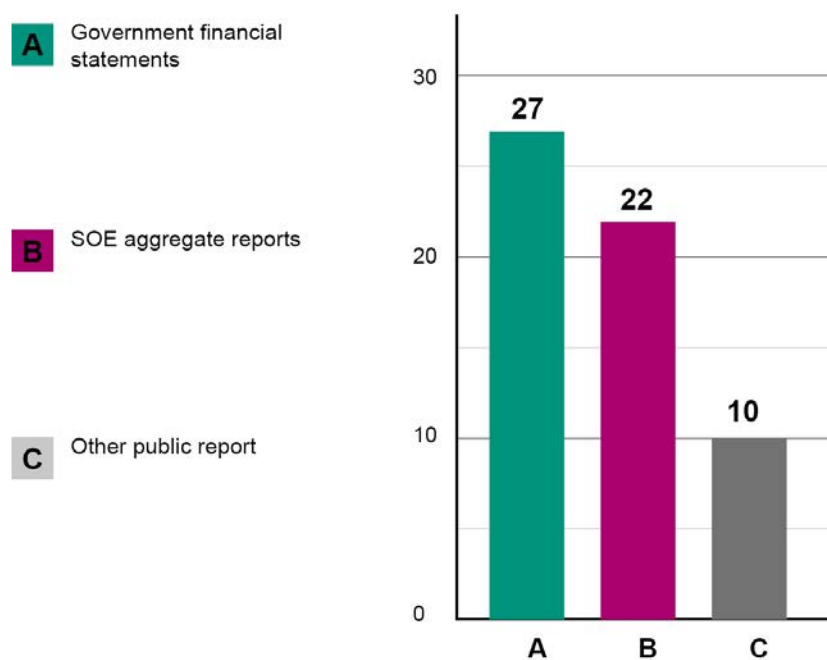
Note: Costa Rica is excluded from this figure as SOEs are not expected to make profits and pay dividends

Source: (OECD/World Bank, 2024^[10]).

Only three jurisdictions (Australia, New Zealand and Sweden) implement a dividend policy linked to optimal capital structure. Australia and New Zealand have a system where a target credit rating for the respective SOE is to be maintained. In Australia, the Commonwealth Government Business Enterprise Guidelines (GBE Guidelines) expect that SOEs add to shareholder value in their operations. Accordingly, SOEs are expected to aim for and achieve a principal financial target.

In terms of public disclosure of SOE dividends, Table 2.11 and Figure 2.4 show that all but two jurisdictions disclose dividends through government financial statements. Seventy-six per cent (22 of 29) include this information in aggregate reports and 34% in other types of reports, such as government financial statements.

Figure 2.4. Disclosure practices of dividends



Note: This figure does not include Costa Rica. More than one answer is possible.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 2.11. Disclosure of dividends

How does the state disclose dividends from SOEs in public reporting?

Jurisdiction	Government financial statements	SOE aggregate reports	Other public report
Australia	x		x
Austria	x	x	
Azerbaijan	x		
Brazil	x	x	x
Bulgaria	x		x
Chile		x	x
Colombia		x	
Costa Rica	x	x	
Croatia	x		
Estonia	x	x	x
Finland	x	x	
India	x	x	
Ireland	x	x	
Israel	x	x	x
Italy	x		
Kazakhstan	x		
Latvia	x	x	x
Lithuania	x	x	
Netherlands	x	x	
New Zealand	x	x	x
Norway	x	x	

Jurisdiction	Government financial statements	SOE aggregate reports	Other public report
Peru	x	x	x
Romania	x	x	
Slovak Republic	x	x	
Sweden	x	x	
Switzerland	x	x	
Türkiye	x	x	x
United Kingdom	x		
Uzbekistan	x	x	
Total: 29	27	22	10

Source: OECD Working Party on State Ownership and Privatisation Practices.

2.6. Equitable treatment of shareholders and other investors

Equal treatment of shareholders and other investors is underpinned by the protection and facilitation of all shareholders' rights. Equal access to information should be ensured through disclosures that SOEs may make, including relating to ownership and control structures, such as golden shares and veto or other special rights.

As detailed in the SOE Guidelines, ownership, control and voting structures of SOEs should be transparent so that all shareholders have a clear understanding of their share of cash-flow and voting rights. It should also be clear who retains legal ownership of the state's shares and where the responsibility for exercising the state's ownership rights is located, including in complex corporate group structures.

Table 2.12. Disclosure requirement on control structures

Are SOEs required to disclose information about the control structures in SOEs?

Answer	Jurisdictions	Total: 44
Yes, SOEs are required to disclose this information.	Australia, Brazil, Canada, Costa Rica, Czechia, Estonia, Germany, Ireland, Israel, Italy, Korea, Latvia, Lithuania, New Zealand, Portugal, Slovenia, Viet Nam.	17
Yes, some SOEs are required to disclose this information.	Azerbaijan, Bulgaria, Chile, Colombia, Croatia, France, Romania, Spain, Sweden, Ukraine.	10
SOEs do not disclose this information, but their governing legislature details control structures, or such information is published on the company register.	Austria, Finland, Luxembourg, Netherlands, Norway, Peru, Poland, United Kingdom, United States.	9
No.	Belgium, Greece, Hungary, Philippines, Slovak Republic, Switzerland, Thailand, Türkiye.	8

Note: As discussed in OECD (OECD, 2023^[11]), not all SOEs are compliant with the disclosure requirement. In Ukraine, only SOEs that are JSCs are required to disclose information on control structures.

Source: OECD Working Party on State Ownership and Privatisation Practices.

In 39% of the jurisdictions surveyed (17 out of 44), information on control structures must be disclosed (Table 2.12). In 23% of jurisdictions, disclosure requirements regarding control structures apply only to a sub-set of listed and large SOEs. Another 20% do not require SOEs to disclose information relating to their ownership or control structures, but publish such information in the company register, or include ownership specifications in their founding legislature and charter documents. Eighteen per cent of jurisdictions are not required to make any disclosures regarding control structures, such as through shareholder agreements.

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Note

¹ The Treaty on the European Union generally prohibits state aid unless it is justified by reasons of general economic development.

3

Disclosure, transparency and accountability of SOEs

Transparency around material matters, both financial and non-financial, is essential to promote the accountability of SOEs towards shareholders and stakeholders and enables the state to act as an informed owner. This requires subjecting SOEs to the same high-quality accounting, disclosure, compliance and auditing standards as listed companies. This chapter analyses these areas and includes a focus on a benchmarking exercise of national disclosure and reporting practices against international best practices.

3.1. Key messages

A sound disclosure of material financial and non-financial information ensures that SOEs are accountable towards shareholders and stakeholders and improves the state's ability to act as an informed shareholder. Furthermore, annual external auditing of SOEs adds an important level of assurance to disclosure. Strong and complete disclosure frameworks tend to apply to some SOEs, typically those that are listed or held at the central government level. Key findings in this chapter include:

- 52% of jurisdictions require SOEs to disclose both commercial and non-commercial objectives. This is important to foster transparency and accountability towards both investors and stakeholders.
- 55% of jurisdictions have disclosure requirements for non-listed SOEs on par with those for listed companies while 43% consider them weaker.
- While 89% of jurisdictions report that SOEs should disclose information on related party transactions, the majority only requires it for listed and large SOEs. In some cases, certain shareholding relationships between SOEs, or state institutions and SOEs, are not recognised as related party transactions.
- While most jurisdictions are developing laws and regulations that will bear on sustainability-related disclosures, 67% report that at least some of their SOEs must already disclose information on employees and key stakeholders.

Requirements to disclose material risks and risk management systems exist primarily for listed and large SOEs. Eighty six percent of jurisdictions require at least some of their SOEs to report on material risks and the risk management strategies in place, and the SOEs that apply the IFRS are required to also disclose off-balance sheet assets and liabilities as a note in their financial reporting.

Lastly, external auditing practices vary between jurisdictions. In 51% of jurisdictions, SOEs are subject to an independent external audit by a qualified auditor. In 34% of jurisdictions only certain SOEs are subject to external audits and in 15% audits are performed by the country's Supreme Audit Institution (SAI). SAIs are involved in a variety of ways, often relating to the public policy objectives carried out by SOEs.

3.2. Reporting and disclosure practices of SOEs

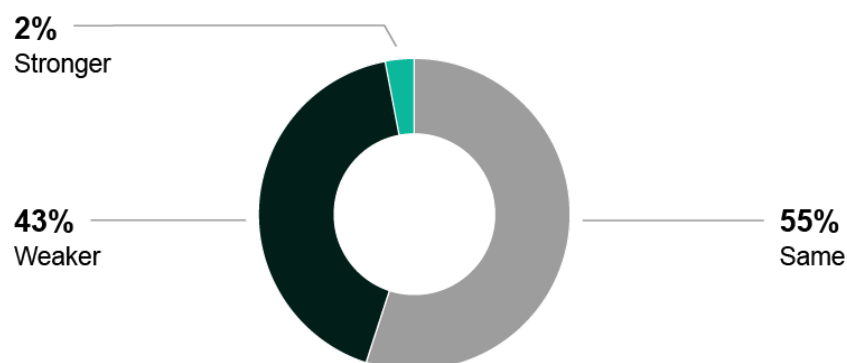
The SOE Guidelines recommend that SOEs should implement high standards of transparency and disclosure in material matters of the enterprise. For large or listed SOEs, or those motivated primarily by public policy objectives, this entails reporting and disclosure in line with high-quality, internationally recognised accounting and disclosure standards, or national accounting standards which are consistent (OECD, 2024^[1]).

Several jurisdictions require SOEs to disclose a wide variety of financial and non-financial information such as the pursuit of commercial and non-commercial objectives, the separation of accounts related to those objectives, information about control structures, board remuneration, material risk factors and management systems, and the granting of support such as state guarantees or subsidies (Table A.B.2 in Annex B provides a detailed breakdown by country).

Several categories of disclosure apply only to larger SOEs or to SOEs that are corporatised. For instance, listed SOEs generally provide a comprehensive range of disclosure information to meet the continuous reporting obligations mandated by stock exchanges or corporate governance codes. Various jurisdictions also require robust disclosure standards for non-listed SOEs. Figure 3.1 shows that 55% of jurisdictions have the same disclosure requirements for non-listed SOEs as for listed SOEs, and 43% have weaker

disclosure requirements. Figure 3.2 summarises the overall trends in various financial and non-financial disclosure items.

Figure 3.1. Comparing the disclosure requirements of non-listed SOEs with those of listed companies



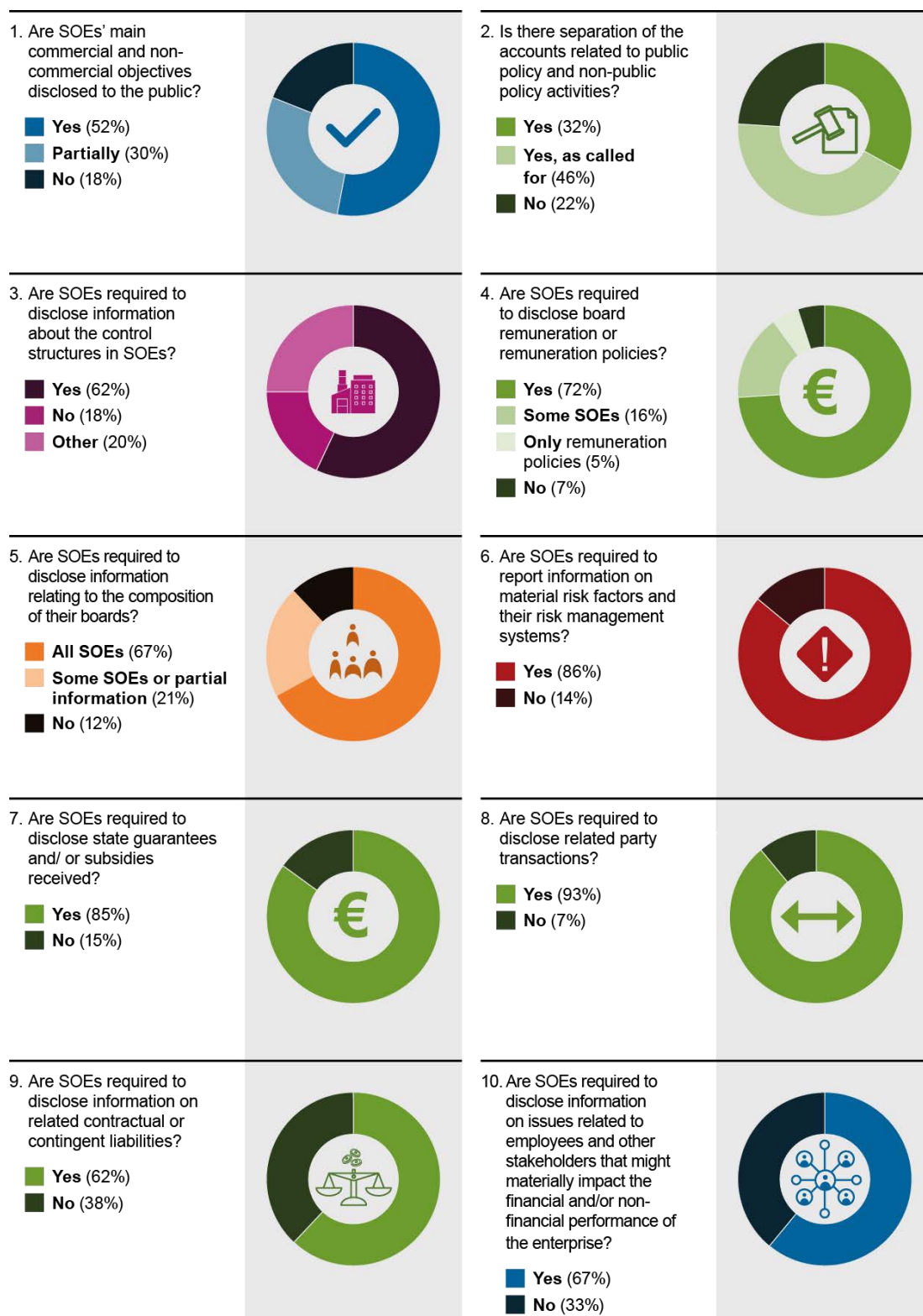
Source: OECD Working Party on State Ownership and Privatisation Practices.

A recent analysis of the disclosure and transparency practices of SOEs and the responsibilities of SOE boards undertaken by the OECD and the European Commission provides important insights in this area (OECD-EU, 2023^[2]). The report benchmarks jurisdictions against the SOE Guidelines in those areas, covering all EU Member States and several OECD member countries (Australia, Canada, Chile, Colombia, Costa Rica, Israel, Korea, New Zealand, Norway, Switzerland, Türkiye, United Kingdom), and non-member economies (Brazil, Philippines, Ukraine). Table 3.1 summarises the results in four categories (a more detailed explanation of the assessment procedure and methodology is provided in Annex A):

- Category 1 represents full alignment across all SOEs owned at the central level of government that are economically significant.
- Category 2 denotes an alignment of national practices with best practices across the SOE portfolio, where best practice disclosure requirements only apply to those SOEs that are listed or belong to a selected portfolio.
- Category 3 means that a disclosure practice deviates from best practice in a material way.
- Category 4 suggests that a given disclosure practice is missing.

The results show good alignment with best practices (category 2) for 6 of the 12 indicators, namely financial and non-financial reporting and disclosure, remuneration, board member qualifications, independence and selection process, material risk and risk management, disclosure for related party transactions, and external audits. The other six indicators reveal significant departure from best practices (category 3).

Figure 3.2. Trends in financial and non-financial reporting of SOEs



Note: For chart 2, the category “Yes, as called for” refers to responses where the separation of accounts depends on specific circumstances, such as when state aid rules apply.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Concerning the areas deviating from best practices and presenting policy challenges, the benchmarking exercise shows that:

- **SOE objectives and their fulfilment.** There is a lack of standardisation in the disclosure of activities that result from non-commercial objectives. There are no high-level requirements that necessitate the disclosure of public service obligations (PSOs) to the wider public. Typically, there are practices in place that require SOEs to report to the relevant state authority, but not as part of their annual reports.
- **Separation of accounts related to public service obligations.** In EU Member States, separate accounts on commercial and public service obligations should be maintained, in line with applicable EU State Aid requirements. However, some EU Member States as well as non-EU economies only require the separation of accounts in certain instances, typically depending on the type of funding arrangements involved in carrying out a given public service obligation.
- **Governance, ownership and voting structure of the enterprise.** Countries tend to disclose information about the ownership structures in SOEs, such as the shares owned by the state. However, the information disclosed seldom covers control mechanisms such as powers of veto over key corporate decisions established through legislation or corporate bylaws.
- **State guarantees and / or subsidies.** National practices on the disclosure of state guarantees vary significantly across jurisdictions. State guarantees tend to be underreported by SOEs, though sometimes the disclosure of this type of indirect financial support is made by the state authority. Disclosure of subsidies (when provided) tends to be only required for a small pool of large and/or listed SOEs that report according to the IFRS.
- **Disclosure of issues related to employees and stakeholders.** Most guidance regarding the disclosure of stakeholder relations, employees, as well as social and environmental impact tend to be voluntary in nature. Therefore, practices on disclosure of such information differ across SOEs.
- **Aggregate reporting.** The SOE Guidelines recommend that the ownership entity publishes an aggregate report with information on all economically significant SOEs, as discussed in chapter 1. In practice, a growing number of jurisdictions implement aggregate reporting with full or partial coverage on SOEs.

This chapter presents a selection of disclosure, reporting and accountability practices and explores them in greater detail.

Table 3.1. Comparative heatmap: disclosure practices

Jurisdiction	Financial and non-financial reporting and disclosure	SOE objectives and their fulfilment	Separation of accounts related to public service obligations	Governance, ownership and voting structure of the enterprise	Remuneration of board members and key executives	Board member qualifications, independence, selection process	Material risk factors and their risk management systems	Guarantees and / or subsidies	Disclosure requirements for transactions with related parties	Disclosure of issues related to employees and stakeholders	External audits by an independent auditor	Aggregate reporting
Australia	Cat1	Cat1	Cat4	Cat1	Cat1	Cat1	Cat1	Cat2	Cat1	Cat1	Cat4	Cat2
Austria	Cat3	Cat3	Cat3	Cat3	Cat2	Cat3	Cat2	Cat3	Cat3	Cat2	Cat1	Cat1
Belgium	Cat1	Cat1	Cat3	Cat4	Cat1	Cat3	Cat2	Cat4	Cat1	Cat3	Cat2	Cat4
Bulgaria	Cat2	Cat3	Cat2	Cat2	Cat2	Cat3	Cat2	Cat1	Cat2	Cat2	Cat2	Cat2
Brazil	Cat2	Cat3	Cat3	Cat2	Cat1	Cat1	Cat1	Cat1	Cat1	Cat2	Cat1	Cat2
Canada	Cat3	Cat3	Cat3	Cat3	Cat2	Cat2	Cat1	Cat1	Cat1	Cat3	Cat3	Cat4
Chile	Cat1	Cat3	Cat4	Cat1	Cat1	Cat3	Cat1	Cat1	Cat1	Cat1	Cat1	Cat1
Colombia	Cat2	Cat3	Cat3	Cat2	Cat3	Cat1	Cat2	Cat4	Cat4	Cat3	Cat2	Cat1
Costa Rica	Cat2	Cat1	Cat3	Cat2	Cat3	Cat2	Cat1	Cat4	Cat2	Cat3	Cat2	Cat1
Croatia	Cat3	Cat4	Cat1	Cat2	Cat2	Cat1	Cat2	Cat3	Cat2	Cat2	Cat2	Cat2
Czechia	Cat1	Cat1	Cat4	Cat1	Cat2	Cat1	Cat4	Cat2	Cat2	Cat4	Cat2	Cat3
Denmark	Cat1	Cat1	Cat3	Cat2	Cat2	Cat2	Cat2	Cat2	Cat2	Cat3	Cat2	Cat2
Estonia	Cat3	Cat1	Cat1	Cat3	Cat1	Cat3	Cat2	Cat1	Cat3	Cat1	Cat1	Cat1
Finland	Cat2	Cat1	Cat2	Cat3	Cat1	Cat1	Cat1	Cat3	Cat1	Cat1	Cat1	Cat1
France	Cat2	Cat3	Cat2	Cat3	Cat2	Cat3	Cat2	Cat3	Cat1	Cat2	Cat2	Cat1
Germany	Cat2	Cat2	Cat1	Cat3	Cat1	Cat2	Cat2	Cat2	Cat1	Cat1	Cat1	Cat1
Greece	Cat1	Cat2	Cat1	NA	Cat2	Cat1	Cat1	Cat3	Cat1	Cat3	Cat1	Cat2
Hungary	Cat2	Cat1	Cat1	Cat3	Cat1	Cat2	Cat2	Cat3	Cat2	Cat4	Cat1	Cat4
Ireland	Cat1	Cat2	Cat2	Cat3	Cat1	Cat1	Cat1	Cat1	Cat1	Cat3	Cat1	Cat2
Israel	Cat2	Cat4	Cat3	Cat2	Cat2	Cat3	Cat1	Cat1	Cat1	Cat1	Cat1	Cat1
Italy	Cat1	Cat2	Cat1	Cat1	Cat1	Cat1	Cat2	Cat1	Cat1	Cat3	Cat2	Cat3
Korea	Cat1	Cat2	Cat1	Cat1	Cat2	Cat1	Cat1	Cat1	Cat2	Cat1	Cat1	Cat2
Latvia	Cat2	Cat1	Cat2	Cat1	Cat3	Cat1	Cat2	Cat1	Cat1	Cat3	Cat2	Cat1
Lithuania	Cat1	Cat1	Cat1	Cat3	Cat3	Cat3	Cat1	Cat1	Cat3	Cat2	Cat1	Cat1

Jurisdiction	Financial and non-financial reporting and disclosure	SOE objectives and their fulfilment	Separation of accounts related to public service obligations	Governance, ownership and voting structure of the enterprise	Remuneration of board members and key executives	Board member qualifications, independence, selection process	Material risk factors and their risk management systems	Guarantees and / or subsidies	Disclosure requirements for transactions with related parties	Disclosure of issues related to employees and stakeholders	External audits by an independent auditor	Aggregate reporting
Luxembourg	Cat2	Cat2	Cat2	Cat3	Cat3	Cat2	Cat3	Cat4	Cat2	Cat2	Cat2	Cat2
Netherlands	Cat1	Cat3	Cat4	Cat2	Cat1	Cat1	Cat2	Cat4	Cat2	Cat3	Cat2	Cat1
Norway	Cat2	Cat2	Cat2	Cat2	Cat1	Cat1	Cat2	Cat2	Cat1	Cat2	Cat1	Cat1
New Zealand	Cat1	Cat1	Cat1	Cat1	Cat1	Cat2	Cat2	Cat1	Cat2	Cat2	Cat2	Cat2
Philippines	Cat3	Cat3	Cat3	Cat4	Cat1	Cat1	Cat2	Cat2	Cat2	Cat2	Cat3	Cat2
Poland	Cat1	Cat4	NA	Cat3	Cat4	Cat3	Cat2	Cat3	Cat2	Cat2	Cat2	Cat4
Portugal	Cat1	Cat1	Cat1	Cat3	Cat3	Cat3	Cat2	Cat1	Cat1	Cat2	Cat2	Cat2
Romania	Cat3	Cat2	Cat3	Cat3	Cat1	Cat2	Cat2	Cat3	Cat1	Cat2	Cat2	Cat2
Slovak Republic	Cat3	Cat3	Cat2	Cat3	Cat3	Cat3	Cat2	Cat1	Cat2	Cat4	Cat2	Cat4
Slovenia	Cat3	Cat2	Cat3	Cat2	Cat1	Cat2	Cat1	Cat1	Cat1	Cat2	Cat2	Cat1
Spain	Cat2	Cat4	Cat3	Cat2	Cat1	Cat2	Cat2	Cat1	Cat2	Cat2	Cat1	Cat1
Sweden	Cat1	Cat1	Cat2	Cat2	Cat1	Cat1	Cat1	Cat1	Cat1	Cat1	Cat1	Cat1
Switzerland	Cat3	Cat1	Cat3	Cat2	Cat1	Cat1	Cat2	Cat2	Cat1	Cat2	Cat2	Cat1
Türkiye	Cat3	Cat3	Cat3	Cat3	Cat2	Cat2	Cat4	Cat1	Cat4	Cat4	Cat1	Cat1
Ukraine	Cat2	Cat3	Cat3	Cat2	Cat2	Cat2	Cat3	Cat3	Cat1	Cat3	Cat2	Cat3
United Kingdom	Cat2	Cat1	Cat4	Cat3	Cat1	Cat3	Cat1	Cat1	Cat1	Cat2	Cat3	Cat4
Average	Cat2	Cat3	Cat3	Cat3	Cat2	Cat2	Cat2	Cat3	Cat2	Cat3	Cat2	Cat3

Note: OECD member countries Iceland, Japan, Mexico and the United States did not participate in the data gathering exercise. Green/Cat1: Full alignment for all SOEs; Yellow/Cat2: Alignment for some SOEs; Orange/Cat3: No alignment; Purple/Cat4: Practice is missing.

Source: OECD Working Party on State Ownership and Privatisation Practices.

3.2.1. Disclosure of SOE objectives

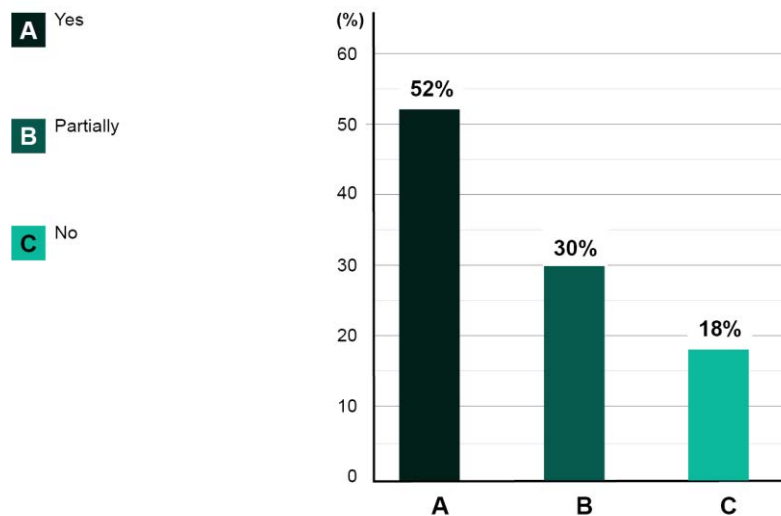
Best practice calls for a clear statement to the public of enterprise objectives and their fulfilment, including mandates given by the state. According to the SOE Guidelines, a limited set of basic overall objectives should be identified together with information about how the enterprise manages trade-offs between potentially conflicting objectives. The fulfilment of such objectives should be disclosed by SOEs through key performance indicators (OECD, 2024^[1]).

Overall, jurisdictions surveyed generally require a limited form of disclosure of SOEs' objectives. In 52% of jurisdictions (23 of 44) the main commercial objectives and PSOs are disclosed to the public, while 30% only require a partial form of disclosure¹ (Figure 3.3 and Table 3.2). Eighteen per cent do not require SOEs to report information regarding the achievement of objectives.

Partial disclosure can mean that disclosure requirements are limited to large or listed SOEs, or that jurisdictions do not clarify how SOE objectives are identified and whether all objectives are subject to disclosure. Partial disclosure also includes jurisdictions where information regarding PSOs is reported to the state ownership entity, which then publishes the information. In Belgium and Switzerland, for example, SOEs prepare reports that are submitted to a relevant authority or a ministry (for certain SOEs this is substituted by a parliamentary hearing), but these are in most instances not disclosed to the public.² In Korea and the Philippines, objectives are made available through a web portal rather than through SOEs' individual reporting.³

Figure 3.3. The disclosure of SOE objectives

Are SOEs' main commercial and non-commercial objectives disclosed to the public?



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 3.2. Disclosure of main commercial and non-commercial objectives

Are SOEs' main commercial and non-commercial objectives disclosed to the public?

Answer	Jurisdictions	Total:
		44
Yes.	Australia, Belgium, Brazil, Colombia, Costa Rica, Czechia, Denmark, Estonia, Finland, Germany, Hungary, Korea, Latvia, Lithuania, Luxembourg, New Zealand, Norway, Philippines, Portugal, Slovenia, Sweden, Türkiye, United Kingdom.	23
Yes, partially.	Austria, Azerbaijan, Bulgaria, France, Greece, Ireland, Italy, Netherlands, Peru, Romania, Switzerland, Ukraine, Viet Nam.	13
No.	Canada, Chile, Croatia, Israel, Poland, Slovak Republic, Thailand, Spain.	8

Note: The category "Yes, partially" includes jurisdictions where disclosure requirements are limited to large or listed SOEs or jurisdictions that do not clarify how SOE objectives are identified and whether all objectives are subject to disclosure. Partial disclosure also includes reporting of information regarding PSOs to the state ownership entity, which then publishes the information.

Source: OECD Working Party on State Ownership and Privatisation Practices.

3.2.2. Disclosure of material transactions with related parties

The SOE Guidelines establish that transactions between the state and its SOEs should occur on market consistent terms. In the case of state ownership, "related parties" tend to be weakly defined, and thus material transactions between one SOE and another, or between subsidiaries of SOEs, might not be captured by the disclosure of "related party transactions". Those SOEs that compile financial reports under the IFRS are required to disclose financially material transactions between related parties in accordance with International Accounting Standards (IAS24) and/or other relevant local standards. In EU countries disclosures are further regulated by the EU Shareholder Rights Directive 2017/828 (OECD, 2023^[3]).

In 89% of responding jurisdictions (40 out of 45 jurisdictions) SOEs disclose information on related party transactions, but this requirement often only applies to listed and large SOEs (Table 3.3). Since the intricate ownership and shareholding relationships between SOEs and the state and other SOEs often bypass the definition of "related parties" commonly adopted, gaps in reported information may exist. For example, in Austria, shareholding relationships of SOEs with other LLCs are published on the national company register, but transactions between them are undisclosed by the SOE itself.

Table 3.3. Disclosure requirement on related party transactions

Do SOEs have to disclose transactions with related parties?

Answer	Jurisdictions	Total:
		45
Yes.	Australia, Belgium, Brazil, Canada, Chile, Estonia, Finland, France, Germany, Greece, Ireland, Israel, Italy, Latvia, Lithuania, New Zealand, Portugal, Romania, Slovenia, Spain, Sweden, Switzerland, Thailand, Ukraine, United Kingdom and Viet Nam.	26
Only some SOEs*.	Azerbaijan, Bulgaria, Colombia, Costa Rica, Croatia, Korea, Luxembourg, Netherlands, Norway, Peru, Philippines, Poland, Slovak Republic, United States.	14
Only in certain instances**.	Austria, Hungary.	2
No.	Czechia, Denmark, Türkiye.	3

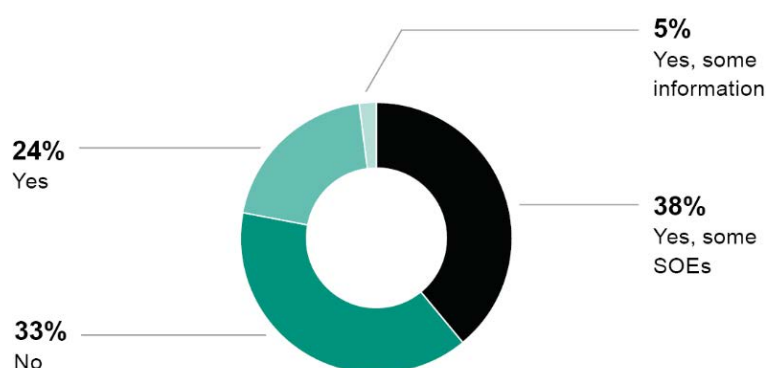
Note: *This category includes listed and large SOEs or SOEs that report under the IFRS. **This category includes jurisdictions where transactions between SOEs or subsidiaries of SOEs may not fall under the definition of "related party transaction".

Source: OECD Working Party on State Ownership and Privatisation Practices.

3.2.3. Disclosure of matters related to employees and stakeholders

While states encourage SOEs to disclose sustainability-related information, reporting obligations tend to be voluntary. Sustainability information covers various areas, including climate and the environment, social responsibility, governance, employment, and stakeholder relations. Chapter 5 includes a focus on sustainability-related issues, including the disclosure of greenhouse gas emissions by SOEs. Concerning disclosure of information on employees and key stakeholders, 67% of jurisdictions (28 out of 42) report that at least some of their SOEs must disclose information in this area. Some of these jurisdictions choose to only disclose information on selected topics, or only require listed or large companies to disclose such information (Figure 3.4, where Table 3.4 provides a detailed breakdown).

Figure 3.4. Disclosure requirement on matters related to employees and other stakeholders



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 3.4. Disclosure requirement on matters related to employees and other stakeholders

Are SOEs required to disclose information on matters related to employees and other stakeholders that might materially impact the financial and/or non-financial performance of the enterprise? *

Answer	Jurisdictions	Total: 42
Yes, all SOEs.	Australia, Bulgaria, Chile, Germany, Finland, Israel, Italy, New Zealand, Sweden, Switzerland.	10
Yes, some SOEs.	Austria, Brazil, Croatia, Estonia, France, Ireland, Korea, Lithuania, Netherlands, Norway, Philippines, Poland, Portugal, Romania, Slovenia, Ukraine.	16
Yes, some information is disclosed.	Costa Rica, Peru.	2
No.	Azerbaijan, Belgium, Canada, Colombia, Czechia, Greece, Hungary, Latvia, Luxembourg, Slovak Republic, Thailand, Türkiye, United Kingdom, Viet Nam.	14

Note: *For example, do disclosure requirements encompass information on management/employee relations, relations with creditors, suppliers and local communities, and environmental impact?

Source: OECD Working Party on State Ownership and Privatisation Practices.

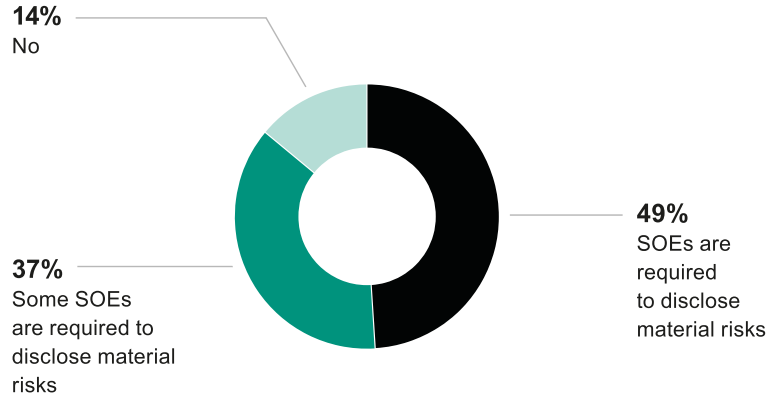
3.2.4. Disclosure of material risks and their management

A sound, integrated risk management system allows SOEs to identify, manage and report on material foreseeable risks and measures taken to manage them. It is a core responsibility of the board of SOEs to oversee the management of risks. Disclosure of material risks and risk management strategies provide an important opportunity for SOEs to provide assurance to shareholders and investors of the adequacy of an

SOE's risk management system, and an accurate representation of its financial situation, performance and potential for long-term value creation.

Generally, listed and large SOEs are subject to reporting requirements on material risk factors and their management. Figure 3.5 shows that 86% of jurisdictions (38 out of 44) require at least some of their SOEs to report on material risks and on their risk management strategies, and SOEs that apply the IFRS are required to also disclose off-balance sheet assets and liabilities as a note to their financial reports (Table 3.5 provides a detailed breakdown of information). The remaining 14% do not require SOEs to disclose material risks. Box 3.1 details Lithuania's approach to corruption risk assessments in SOEs.

Figure 3.5. Disclosure requirement on material risk factors and their management



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 3.5. Disclosure requirement on material risk factors and their management

Are SOEs required to report information on material risk factors and their management?

Answer	Jurisdictions	Total: 44
All SOEs report information.	Australia, Brazil, Canada, Chile, Colombia, Costa Rica, Finland, France, Germany, Greece, Ireland, Israel, Korea, Latvia, Lithuania, Netherlands, Slovak Republic, Slovenia, Spain, Sweden, United Kingdom.	21
Some SOEs report information*.	Austria, Azerbaijan, Belgium, Bulgaria, Croatia, Estonia, Italy, Luxembourg, New Zealand, Norway, Peru, Philippines, Poland, Portugal, Romania**, Ukraine, United States.	17
No.	Czechia, Hungary, Switzerland, Thailand, Türkiye, Viet Nam.	6

Note: *The category includes jurisdictions where only financial sector SOEs are required to disclose material risks, as well as jurisdictions where only large and listed SOEs are required to disclose. **As discussed in OECD (2023^[4]), not all SOEs are compliant with the disclosure requirement.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Box 3.1. Disclosure of SOEs' internal anti-corruption management systems in Lithuania

The Lithuanian Governance Co-ordination Centre (GCC) regularly draws up aggregate reports on SOEs held at the central level, and since 2019, also on SOEs held at the municipal level. These reports present information across the entire portfolio of SOEs allowing to evaluate their performance.

Since 2017, the GCC publishes a Good Governance Index, which assesses the quality of the governance of SOEs. In 2021, corruption prevention was among the biggest shortcomings in SOE governance. To address this challenge, SOEs are required to determine every three years their level of resilience to corruption. The methodology is defined by the government, and the results of the evaluation must be disclosed on the website of the SOE or shareholding entity.

Pursuant to the Guidelines for Ensuring Transparency of State-Owned Enterprises, Lithuania's aggregate reports include information on the implementation of some SOEs' internal anti-corruption management systems, including information on:

- Whether the SOE has implemented an anti-corruption management system
- Whether an internal audit has been carried out
- Whether preparations have been made for certification in accordance with the standard ISO 37001:2017 "Anti-Bribery Management Systems. Requirements and Guidelines for Use".

Source: Governance Co-ordination Centre (2023^[5]), *Annual aggregate report 2022/2023*. https://governance.lt/wp-content/uploads/2023/11/VKC-VVI-Metine-Ataskaita_2023_EN_.pdf. Further information was provided by the Lithuanian authorities.

3.3. Independent external audit of SOE financial statements

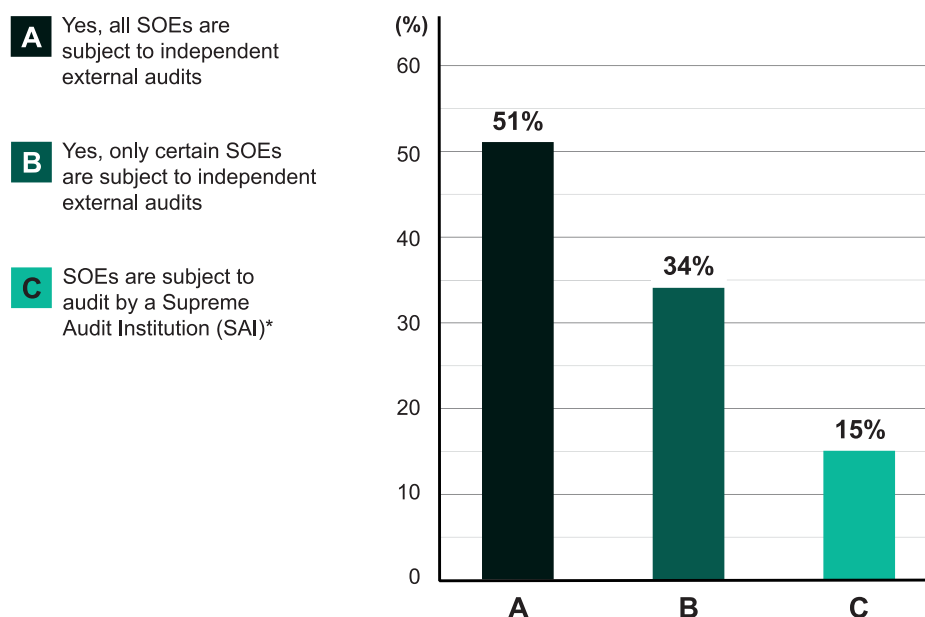
The SOE Guidelines recommend that SOEs' financial statements should be subject to an annual independent external audit conducted by a qualified auditor in accordance with internationally recognised auditing, ethical and independence standards. Specific state control procedures should not be a substitute for an external independent audit in SOEs (OECD, 2024^[1]) (see section 4.10 in chapter 4 on the composition and responsibilities of SOE boards for a discussion of internal audit and control processes).

Fifty-one percent of all jurisdictions (21 out of 41 jurisdictions) require SOEs to conduct external independent audits (Figure 3.6). In 34% of jurisdictions only SOEs classified as large or listed SOEs are subject to independent external audits. In 15% of all responding jurisdictions, most of which are OECD member countries, audits of SOEs are performed by the Supreme Audit Institution (SAI).⁴

The role of state audit and SAIs may depend on the extent to which SOEs are performing non-commercial activities, and practices differ on a case-by-case basis across jurisdictions. In New Zealand, for example, the SAI manages audits based on an allocation system or tender process through which independent auditors are selected. Appointed auditors come from a pool of audit service providers, which includes the Auditor General, chartered accountancy firms, and a range of medium-sized and smaller audit firms. Box 3.2 provides information on the safeguards implemented by New Zealand and its annual auditing process for SOEs.

Figure 3.6 External audit requirements for SOEs

Are all SOEs subject to an independent external audit?



Note: In Canada, the SAI may choose not to be the auditor of an SOE. In Azerbaijan, Brazil, Chile, Colombia, Costa Rica, Croatia, Denmark, Estonia, Finland, Greece, Israel, Korea, Latvia, Luxembourg, Netherlands, Portugal, Romania, Slovak Republic, Sweden and Switzerland, the SAI may audit SOEs on an-hoc basis, though it is not responsible for conducting the annual financial audit.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Trust in audited information can be increased by establishing safeguards around auditor independence, for example through the selection and rotation of auditors. This is mandated practice in the EU, especially for public interest entities (Table 3.6). Such processes ensure that no relations exist between the auditor and large shareholders or the upper management of an SOE being audited. Most non-EU establish rotation requirements for the external auditor through arms-length bodies or ministries.

Box 3.2. Safeguards surrounding New Zealand's annual audit of SOEs

Roles of the Auditor-General

In New Zealand, the Auditor-General has two key roles with respect to the corporate governance of SOEs.

- It issues good practice advice to SOE boards about the management of conflicts of interests and the Cabinet Office Manual sets out requirements for the management of ministers' conflicts of interests.
- It is the statutory auditor of all SOEs and their subsidiaries, and is responsible for the annual audit and other aspects of the Auditor-General's mandate provided for by the Public Audit Act 2001.

Process for conducting the annual audit of SOEs

Each SOE and its subsidiary SOEs are considered public entities, with the Auditor-General appointed as their auditor. The Auditor-General holds the position of an Officer of Parliament, and the duties and obligations are outlined in the Public Audit Act 2001.

For the annual financial audits of SOEs, the Auditor-General appoints auditors using an allocation system, though occasionally a tender process may be employed. These appointed auditors are selected from a pool of audit service providers, including the Auditor-General's own unit, Audit New Zealand, as well as the four major chartered accountancy firms, and various medium-sized and smaller audit firms.

The Auditor-General establishes auditing standards that impose limitations on appointed auditors. These standards dictate that an appointed auditor may not conduct the same audit for more than six cumulative years and must abstain from any involvement with the audited organisation until two consecutive annual audits have passed. Moreover, appointed auditors are prohibited from having personal or financial connections with the audited organisation and from providing non-assurance services such as conducting valuations.

Source: Public Audit Act 2001 (2023^[6]) and information provided by the competent authorities of New Zealand in 2022/2023.

Table 3.6. Requirements surrounding the selection and rotation of independent auditors

What are the requirements concerning the selection and rotation of independent auditors?

Answer	Jurisdictions	Total: 38
Regulations and oversight of selection of external auditors are set by an arm's-length public body / responsible ministry or agency. Rotation of auditors is mandated after some years.	Australia, Bulgaria, Chile, Costa Rica, Ireland, Israel, Lithuania, New Zealand, Peru, Poland, Türkiye, United Kingdom.	12
Criteria for the selection of external auditors is an internal matter to the SOE. Rotation of auditors is mandated after some years.	Austria, Belgium, Brazil, Croatia, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Italy, Luxembourg, Netherlands, Norway, Portugal, Romania, Slovakia, Slovenia, Sweden, Switzerland.	22
Criteria for the selection of external auditors is an internal matter to the SOE. Rotation of auditors is not mandated.	Canada, Colombia, Latvia, Spain.	4

Note: For EU Member States, as far as Public Interest Entities are concerned, an obligation to rotate externally after 10 years derives directly from EU law - for internal rotation after five years. Member States may be able to extend the 10-year maximum duration of an audit engagement through public tendering or joint audits. Under Swiss law, the person who is leading/conducting the audit must be rotated and not the auditing enterprise.

Source: OECD Working Party on State Ownership and Privatisation Practices.

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- OECD (2023), *OECD Corporate Governance Factbook 2023*, OECD Publishing, <https://doi.org/10.1787/6d912314-en>. [3]
- OECD (2023), *OECD Review of the Corporate Governance of State-Owned Enterprises in Romania*, OECD Publishing, Paris, <https://doi.org/10.1787/fabf20a8-en>. [4]

OECD-EU (2023), *Monitoring Implementation of Chapters VI and VII of the OECD Guidelines on Corporate Governance of SOEs*. [2]

Notes

¹ Partial disclosure can mean that disclosure requirements are limited to large or listed SOEs, or that jurisdictions do not clarify how SOE objectives are identified and whether all objectives are subject to disclosure.

² SOEs report on an annual basis to the line ministries/the Ministry of Finance about the fulfilment of their strategic objectives. These reports reflect the perspective of the SOEs and are not available to the public. They serve as preliminary dataset for the ownership entity to elaborate the reports on the fulfilment of the strategic objectives, which are publicly available.

³ Chapter 2.4 includes an analysis of national practices on the financing of SOE public service obligations. It explains the importance of accurate identification and disclosure of activities that relate to non-commercial objectives for maintaining a level playing field between SOEs and non-SOEs.

⁴ Supreme Audit Institutions (SAIs) are the main public sector audit organisation in a country. Their principal task is to examine whether public funds are spent economically, efficiently and effectively in compliance with existing rules and regulations.

4

Composition and responsibilities of SOE Boards

Boards of directors play a crucial role in ensuring strategic oversight of SOEs. Boards are generally responsible for acting in the best interest of the SOE and its shareholders. Unclear ownership arrangements and weak governance frameworks can expose SOE boards to undue influence, posing challenges to their autonomy. This chapter addresses key areas for SOE boards, including legal frameworks, executive remuneration, board composition, independence, committee mandates, the role of the chair, board evaluation processes, and the internal audit function of SOEs. The analysis is enriched by benchmarking national practices against international standards.

4.1. Key messages

Competent SOE boards ensure that the interests of the company and its shareholders are effectively considered in the strategic decision-making of the enterprise, while taking into account the interests of stakeholders. Legal frameworks empower boards to be diverse and perform autonomously. For example:

- 93% of jurisdictions firmly establish in the law the mandates and duties of care of board members.
- 67% of jurisdictions grant SOE boards full responsibility and autonomy to define the strategy of the enterprise.
- 58% of jurisdictions pursue gender targets for SOE boards. A common practice is to recommend that at least one-third of board seats be filled by members of one gender.

Although legal frameworks for SOE boards are well-established, specific practices can be improved, including on board member appointments, board composition, and performance evaluations. Specifically:

- Remuneration in SOEs pursuing public policy objectives (PPOs) could be aligned with that in other SOEs. For example, CEO remuneration in commercially oriented SOEs is twice that of SOEs pursuing PPOs on average in the jurisdictions surveyed. Disclosure could also be improved as most SOEs choose to divulge remuneration of board members on aggregate instead of individually.
- Just 2 out of 41 jurisdictions align their definition of independence of board members with a best practice definition.
- 25% of jurisdictions do not ban elected politicians from serving on SOE boards. Politicians on SOE boards in a position to materially influence the operating conditions of the SOE may compromise the board's objectivity and independence.
- In 25% of jurisdictions, the functions and mandates of SOE committees are solely governed and disclosed through board charters. Specialised committees support the work of the board, particularly with respect to audit, risk management, and remuneration.
- While their roles should be distinct, in 15% of jurisdictions it is allowed and common for the chair to also be the CEO.
- The activities of the board are evaluated as a whole (as opposed to individual evaluations of directors) in 68% of jurisdictions, and only 31% place a focus on evaluating the chair of the board.

In line with best practices, 77% of jurisdictions require large or listed SOEs to have an internal audit function reporting to the board or its audit committee. However, for some jurisdictions the internal audit functions are outsourced to the internal audit departments of the state or of the respective line ministry.

4.2. The mandate and functions of SOEs boards

The SOE Guidelines call for the boards of directors of SOEs to bear the ultimate responsibility for the enterprise and its performance (Box 4.1). This responsibility should be anchored in the law, regulations, and policies to ensure boards act in the best interest of the enterprise and its shareholders. They should be provided with a clear mandate and responsibility for setting the strategy of the enterprise (OECD, 2024^[1]).

SOEs in the jurisdictions surveyed closely align with the best practice of formalising the mandates, liabilities, and accountability of SOE boards in legislation. In 93% (38 of 41), the mandates of SOE boards are enshrined in law and well understood by supervisory board members. Furthermore, 67% (27 of 40) grant full responsibility and autonomy to the boards of SOEs to define the strategy of the enterprise (Figure 4.1). In 13% of jurisdictions, SOE boards are not empowered to set strategies for the company

autonomously. In the remaining 20%, SOE boards may set strategies but these are subject to shareholder approval.

Box 4.1. SOE boards as defined in the SOE Guidelines

The governing bodies of SOEs

Board structures and procedures vary both within and among jurisdictions. Some jurisdictions have two-tier boards that separate the supervisory (non-executive) and management function into different bodies. Such systems typically have a “supervisory board” composed of non-executive board members, in some cases including employee representatives, and a “management board” composed entirely of executives. Other jurisdictions have “unitary” boards, which bring together executive directors and non-executive directors.

Supervisory board and management board

The SOE Guidelines do not advocate for any particular board structure, recognising that both systems can facilitate the achievement of the outcomes-oriented recommendations, and intend to apply to whatever “board” structure is charged with the functions of governing the enterprise and monitoring management. In the typical two-tier system, found in some jurisdictions, “board” as used in the SOE Guidelines refers to the “supervisory board” while “key executives” refers to the “management board”. To ensure comparability of information, this specification is also considered in this chapter.

Source: OECD (2024^[11]), OECD Guidelines on Corporate Governance of State-Owned Enterprises, OECD.

It is also best practice to encourage boards of directors to perform a wide range of activities allowing them to fulfil their functions through an appropriate corporate governance framework that is equally applicable to listed and unlisted SOEs. This analysis finds that boards in jurisdictions surveyed often perform strategy-setting and monitoring tasks, including the monitoring of top management. Aspects that are less common, but considered best practice, include decisions regarding CEO appointment and dismissal.

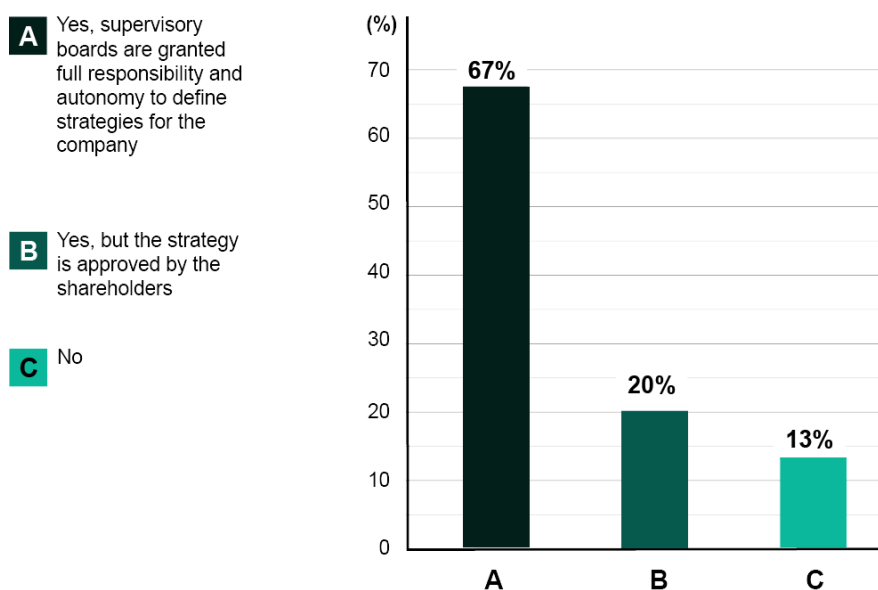
In terms of typical components of a thorough corporate governance framework, out of 42 jurisdictions:

- All expect SOE boards to formulate, approve, review and monitor the corporate strategy for SOEs.
- 86% (36) expect SOE boards to monitor the effectiveness of the company’s governance practices and the performance of the top management.
- 74% (31) expect SOE boards to decide on executive board/CEO remuneration.
- 86% of jurisdictions (36) expect SOE boards to ensure the integrity of accounting and financial reporting and systems of control including for risk.
- 81% (34) expect SOE boards to apply high ethical standards including a code of corporate ethics.

Overall, 44% of jurisdictions report that their SOE corporate governance framework incorporates all elements outlined above.

Figure 4.1. The responsibility and autonomy of boards

Are SOE boards of directors granted full responsibility and autonomy to define – in accordance with the objectives defined by the government – strategies for the enterprise?



Source: OECD Working Party on State Ownership and Privatisation Practices.

Although corporate governance frameworks for SOEs typically outline a broad spectrum of responsibilities for their boards, one aspect often overlooked is the empowerment of SOE boards in the selection and removal of CEOs. Sixty seven per cent of jurisdictions expect SOE boards to appoint the CEO and to make decisions on CEO dismissal. For the remaining jurisdictions, CEO appointments and dismissal tends to be formally retained by the respective line ministry or the office of the head of government. Table A.B.4 in Annex B provides a detailed account of CEO appointment procedures across various jurisdictions.

4.2.1. Areas of improvement for SOE board practices

A benchmarking exercise undertaken by the OECD and the European Commission in 2022-23 sheds further light on national practices surrounding SOE boards. As noted in chapter 3, the exercise classifies jurisdictions into categories: Category 1 corresponds to full alignment with best practice across all economically significant SOEs owned at the central level.¹ Category 2 denotes an alignment for those SOEs that are listed or belong to a selected portfolio. Category 3 means practices deviating from best practice in a material way. Category 4 suggests that a given practice is missing. A more detailed explanation of the assessment procedure and methodology is provided in Annex A.

The outcomes of the exercise highlight the following:

- **Board member independence.** The definition of “independence” of board members varies widely across jurisdictions. When compared to a benchmark definition developed by the OECD, jurisdictions often missed the inclusion of limits on the term of independent board members. Limits on the term of any continuous appointments and limits on the possible number of reappointments are mechanisms to evaluate and maintain the effectiveness of board performance and independence (OECD, 2024^[1]).
- **The role of the chair.** Best practice calls for the chair to act as a liaison between the ownership entity and the SOE. Around half of the jurisdictions reported that both the chair and the CEO act

as the point of contact between the SOE and its ownership entity, or - and perhaps less in line with the spirit of the SOE Guidelines, that the CEO serves as the primary point of contact instead of the chair.

- **Board evaluation procedures.** Practices regarding board evaluations and their consequences vary widely across jurisdictions. While best practices remain largely unexplored, the benchmarking assessment highlights the preference for a thorough, structured evaluation process linking outcomes to future board and management developments. Presently, jurisdictions surveyed exhibit diverse practices, with only a few mandating performance improvement plans following the publication of evaluation results.

Table 4.1 summarises the results of the exercise in the form of a “heatmap.” It shows that policies around board structure are aligned with best practices for all significant SOEs and that policies on board nominations, safeguards on conflicts of interest, employee representation, board committees, and internal audit reporting lines to the board audit committee are also well aligned with best practices for listed or portfolios of SOEs. However, practices on the definition of objectives, minimum numbers of independent directors, the primary point of contact between SOEs and the state, and board performance evaluation diverge from best practices. Those areas are analysed in detail in the next sections.

Table 4.1. Comparative heatmap: SOE boards of directors

Jurisdiction	Board structure	Definition of objectives	Board nominations	Minimum number of independent directors	Conflicts of interest safeguards	Primary point of contact between state and board	Employee representation	Specialised board committees	Performance evaluation	Oversight of Internal audit function
Australia	Cat1	Cat2	Cat3	Cat2	Cat2	Cat1	NA	Cat1	Cat3	Cat1
Austria	Cat2	Cat2	Cat1	Cat3	Cat1	Cat2	Cat2	Cat1	Cat4	Cat3
Belgium	Cat1	Cat2	Cat3	Cat2	Cat3	Cat1	NA	Cat2	Cat4	Cat1
Bulgaria	Cat1	Cat3	Cat2	Cat2	Cat2	Cat3	NA	Cat1	Cat3	Cat1
Brazil	Cat1	Cat3	Cat3	Cat2	Cat2	Cat1	Cat2	Cat1	Cat3	Cat2
Canada	Cat1	Cat3	Cat3	Cat4	Cat2	Cat1	NA	Cat3	Cat3	Cat3
Chile	Cat1	Cat1	Cat2	Cat3	Cat1	Cat2	Cat3	Cat3	Cat3	Cat2
Colombia	Cat1	Cat2	Cat2	Cat3	Cat2	Cat3	NA	Cat2	Cat2	Cat1
Costa Rica	Cat1	Cat1	Cat1	Cat3	NA	Cat2	NA	Cat3	Cat3	Cat3
Croatia	Cat1	Cat4	Cat3	Cat2	Cat2	Cat1	Cat3	Cat1	Cat4	Cat3
Czechia	Cat2	Cat4	Cat3	Cat4	Cat2	Cat3	Cat2	Cat1	Cat3	Cat4
Denmark	Cat1	Cat1	Cat2	Cat1	Cat2	Cat1	Cat2	Cat4	Cat4	Cat2
Estonia	Cat1	Cat1	Cat2	Cat4	Cat1	Cat3	NA	Cat1	Cat3	Cat2
Finland	Cat1	Cat1	Cat1	Cat1	Cat2	Cat2	NA	Cat3	Cat3	Cat1
France	Cat1	Cat2	Cat2	Cat3	Cat2	Cat4	Cat1	Cat2	Cat3	Cat1
Germany	Cat1	Cat2	Cat1	Cat2	Cat2	Cat2	Cat2	Cat1	Cat4	Cat1
Greece	Cat1	Cat3	Cat2	Cat1	Cat2	Cat4	Cat1	Cat1	Cat3	Cat1
Hungary	Cat1	Cat3	Cat3	Cat2	Cat2	Cat3	Cat3	Cat3	Cat3	Cat3
Ireland	Cat1	Cat1	Cat1	Cat3	Cat1	Cat1	Cat2	Cat2	Cat4	Cat1
Israel	Cat1	Cat2	Cat2	Cat2	Cat2	Cat1	Cat3	Cat1	Cat4	Cat1
Italy	Cat1	Cat1	Cat1	Cat3	Cat1	Cat3	NA	Cat2	Cat3	Cat1
Korea	Cat1	Cat2	Cat1	Cat3	Cat1	Cat1	Cat1	Cat1	Cat4	Cat1
Latvia	Cat1	Cat2	Cat2	Cat3	Cat2	Cat2	NA	Cat2	Cat3	Cat3

Jurisdiction	Board structure	Definition of objectives	Board nominations	Minimum number of independent directors	Conflicts of interest safeguards	Primary point of contact between state and board	Employee representation	Specialised board committees	Performance evaluation	Oversight of Internal audit function
Lithuania	Cat2	Cat2	Cat1	Cat2	Cat2	Cat1	Cat2	Cat2	Cat3	Cat2
Luxembourg	Cat1	Cat3	Cat2	Cat4	Cat2	Cat1	Cat3	Cat3	Cat3	Cat3
Netherlands	Cat2	Cat2	Cat1	Cat2	Cat2	Cat2	NA	Cat2	Cat3	Cat1
Norway	Cat1	Cat1	Cat1	Cat2	Cat2	Cat1	Cat1	Cat1	NA	Cat1
New Zealand	Cat1	Cat1	Cat1	Cat2	Cat1	Cat2	NA	Cat2	Cat2	Cat3
Philippines	Cat2	Cat3	Cat3	Cat3	Cat3	Cat4	NA	Cat1	Cat3	Cat2
Poland	Cat1	Cat3	Cat1	Cat3	Cat2	Cat2	Cat3	Cat2	Cat3	Cat1
Portugal	Cat1	Cat2	Cat2	Cat3	Cat2	Cat1	NA	Cat3	Cat3	Cat1
Romania	Cat1	Cat3	Cat3	Cat2	Cat2	Cat4	NA	Cat1	Cat2	Cat1
Slovak Republic	Cat1	Cat3	Cat3	Cat4	Cat2	Cat4	Cat3	Cat2	Cat3	Cat2
Slovenia	Cat1	Cat2	Cat1	Cat2	Cat2	Cat2	Cat2	Cat2	Cat3	Cat2
Spain	Cat1	Cat2	Cat2	Cat2	Cat2	Cat3	Cat2	Cat2	Cat3	Cat2
Sweden	Cat1	Cat1	Cat1	Cat2	Cat2	Cat1	Cat2	Cat1	Cat2	Cat2
Switzerland	Cat1	Cat1	Cat1	Cat3	Cat2	Cat1	Cat2	Cat3	Cat4	Cat3
Türkiye	Cat1	Cat4	Cat3	Cat4	Cat2	Cat4	NA	Cat4	Cat4	Cat4
Ukraine	Cat1	Cat4	Cat3	Cat2	Cat3	Cat2	NA	Cat3	Cat3	Cat3
United Kingdom	Cat2	Cat2	Cat2	Cat2	Cat2	Cat1	NA	Cat1	Cat3	Cat1
Average	Cat1	Cat3	Cat2	Cat3	Cat2	Cat3	Cat2	Cat2	Cat3	Cat2

Note: OECD member countries Iceland, Japan, Mexico and the United States did not participate in the data gathering exercise. Green/Cat1: Full alignment for all SOEs; Yellow/Cat.2: Alignment for some SOEs; Orange/Cat3: No alignment; Purple/Cat4: Practice is missing.

Source: OECD Working Party on State Ownership and Privatisation Practices.

4.3. Remuneration of board members and key executives

The remuneration of boards and executive management presents important challenges for the ownership of SOEs, and it straddles the spheres of corporate and public sector governance. While remuneration schemes falling below market levels may hamper the recruitment of qualified candidates, remuneration levels perceived as being too high can cause a public backlash (OECD, 2022^[2]).

The SOE Guidelines note that one of the prime responsibilities of the ownership entity is establishing a clear and transparent overarching remuneration policy for SOE boards that fosters the long- and medium-term interest of the enterprise and can attract and motivate qualified professionals. In addition, the SOE Guidelines note that SOE boards should align executive remuneration levels with the longer-term interest of the enterprise and its shareholders. It is also important that SOEs ensure high levels of transparency regarding the remuneration of board members and key executives, preferably on a disaggregated basis. Failure to provide adequate information to the public could result in negative perceptions and be perceived as lacking accountability (OECD, 2024^[1]).

A 2022 OECD report on remuneration practices across 36 countries notes that in jurisdictions where SOEs are mainly commercial, board remuneration is either proposed by remuneration committees of SOEs or set by the central ownership or co-ordinating body based on private sector benchmarks. In contrast, in countries with “policy oriented” SOEs (including those operating under monopoly situations), or with a majority of SOEs of “strategic interest”, remuneration tends to either be set by law or based on public sector wage grids (OECD, 2022^[2]).

In terms of the remuneration of board members, levels can vary according to the size of SOEs and their sector of operation. On average, board members of commercially oriented SOEs tend to receive higher fees than those of public policy oriented SOEs (i.e. SOEs pursuing PSOs). However, aggregate SOE board remuneration levels seem to stand significantly below those of private companies, which has reportedly hampered the recruitment of competent board members in several countries (OECD, 2022^[2]).

Variable remuneration components are seldomly granted to supervisory board members (or non-executive directors) of SOEs. Only 17% of jurisdictions (6 out of 36) report including performance-related components. The main rationale behind the lack of variable remuneration is that it may compromise the independence of supervisory board members by aligning their interests with those of executive management.

Concerning the remuneration of key executives, the average remuneration of CEOs in commercially oriented SOEs is twice that of public policy oriented SOEs, except in jurisdictions where levels are regulated by law. In many countries, the disparity between remuneration levels of CEOs of large SOEs and small SOEs is also significant. Furthermore, in contexts of political or fiscal constraint, remuneration is generally prescribed by law or by separate government decision, with levels below the average of SOEs in other countries and lower than market levels in the domestic economy. On the other hand, in countries where remuneration is set at the full discretion of the board, levels are generally higher – sometimes explicitly based on private sector benchmarks (OECD, 2022^[2]).

Furthermore, while 68% of jurisdictions (28 out of 41) empower SOE boards to decide on the executive boards’ remuneration as well as the CEO’s remuneration, only 44% (15 of 34) decide remuneration levels through remuneration committees (Table 4.2).

Table 4.2. Remuneration committees in SOEs

Are remuneration levels for key executives set by remuneration committees?

Answer	Jurisdictions	Total: 34
Yes.	Austria, Belgium, Brazil, Finland, France, Greece, Ireland, Japan, Korea, Mexico, New Zealand, Norway, Sweden, Switzerland, United Kingdom.	15
On an ad-hoc basis.	Colombia, Costa Rica, Germany, Hungary, Latvia, Lithuania, Slovenia.	7
No.	Australia, Azerbaijan, Bulgaria, Chile, Croatia, Czechia, Estonia, Israel, Philippines, Romania, Slovak Republic, United States.	12

Source: OECD (2022^[2]) *Remuneration of Boards of Directors and Executive Management in State-Owned Enterprises*, <https://doi.org/10.1787/80d6dc04-en>.

When it comes to the disclosure of remuneration of SOE board members and key executives, 93% of jurisdictions (40 of 43) require SOEs to engage in some form of disclosure (see Table A.B.2 in Annex B). However, practices differ widely across jurisdictions. Some SOE reports present remuneration as ranges, rates or on aggregate. For example, SOEs in Costa Rica and Lithuania only report board remuneration policies, without specifying the total amount of remuneration. Czechia and Poland do not require SOEs to disclose remuneration levels or remuneration policies.

4.4. Board composition, size, and diversity

The SOE Guidelines note that the state should ensure that the boards of SOEs have the necessary authority, competencies, and objectivity to carry out their functions of strategic guidance, risk management oversight and monitoring of management. They should act with and promote integrity and be held accountable for their actions. To encourage board responsibility and in order for boards to function effectively, the organisation of boards of directors should be consistent with best practices developed for listed companies. They should be limited in size, comprising only the number of directors necessary to ensure their effective functioning. All board members, including any public officials, should be nominated or appointed based on qualifications relevant to the enterprise's sector of activity and business profile and have equivalent legal responsibilities. Furthermore, they should be diverse in their composition, as diversity in gender, age and geographical, professional and educational backgrounds equip boards with the right conditions to reach objective and independent judgements (OECD, 2024^[1]).

A common diversity practice is to aim for a gender target in SOE boards, which has been reported by 58% of the responding jurisdictions (28 out of 48 jurisdictions) (Figure 4.2). Several OECD member countries and non-member economies have introduced gender targets to improve the gender balance on SOE boards with a threshold of at least a third of members being of the less-represented gender. While gender targets are often non-binding, they set trackable goals that can be monitored across time. Box 4.2 explains Australia's gender balance policy in detail.

50% of jurisdictions establish a formal or informal requirement on skills and expertise, most commonly for board positions that require specific technical expertise in auditing and risk management. Forty per cent require that board members do not engage in more than a few board memberships at the same time, which ensures that board members have sufficient time to fully devote their attention to their board duties. Table 4.4 highlights in detail the various constraints and guidelines that shape board diversity in responding jurisdictions.

Box 4.2. Gender balance on Australian Government Boards

On 1 July 2016, the Australian Government committed to a target for women to hold 50% of government board positions. In addition, there is a target for men and women to each hold at least 40% of positions on individual boards. The percentage of women taking up board positions increased from 42.7% in 2017 to 51.6% in 2023 (see table below).

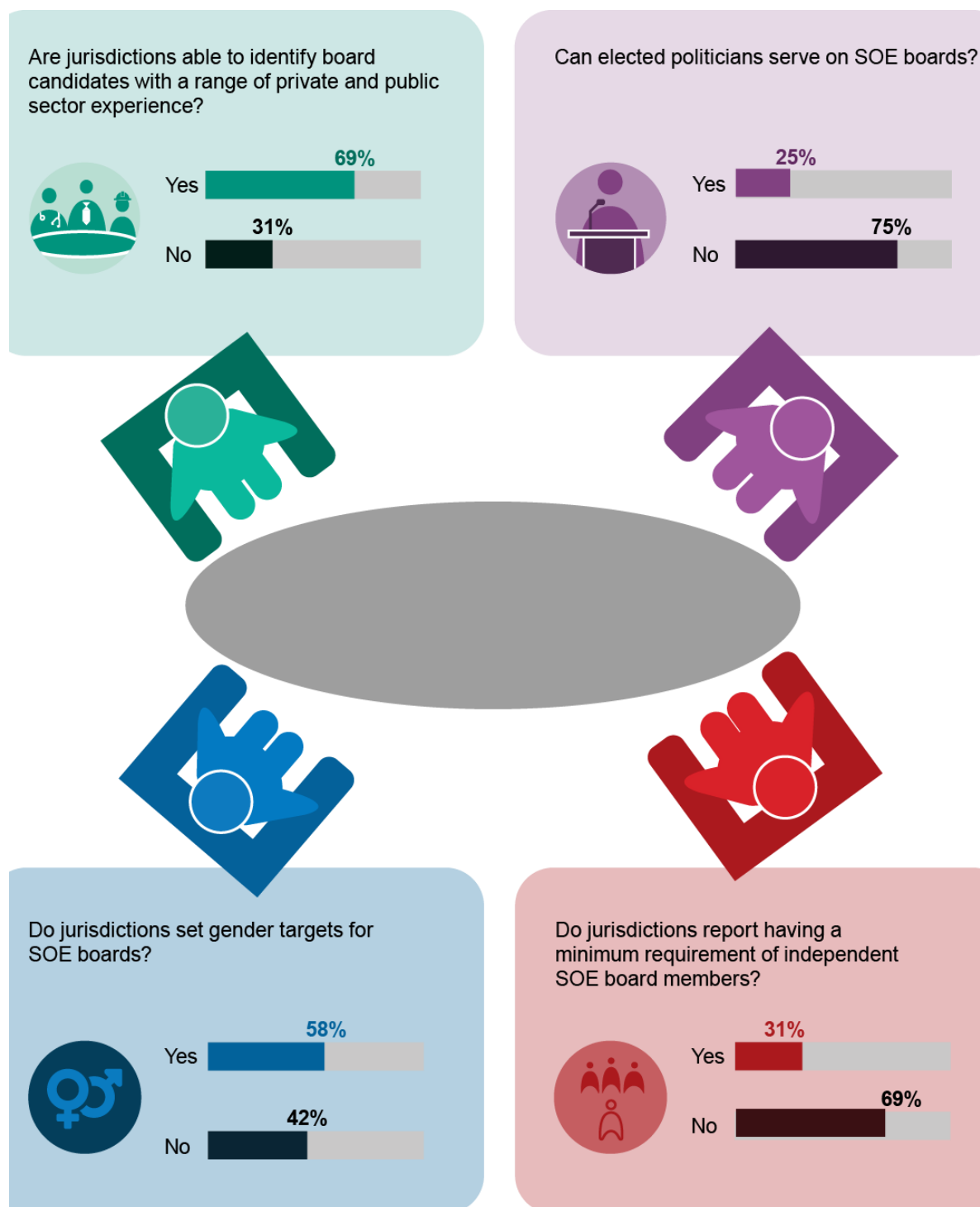
Since the policy came into effect, the Department of the Prime Minister and Cabinet has published annual reports tracking gender balance and providing an analysis of the composition of Australian Government Boards, which includes SOEs held at the central level. Similar targets have been set at the state level. For example, the Queensland Women's Strategy sets a 50% gender target specifically for SOE boards.

Table 4.3. Gender balance on Australian Government Boards

Year	Number of boards	Number of reportable positions filled	Number of reportable positions filled by women	Percentage of reportable positions filled by women
2023	344	2 208	1 139	51.6
2022	335	2 214	1 138	51.4
2021	342	2 315	1 149	49.6
2020	343	2 489	1 206	48.5
2019	341	2 313	1 109	47.9
2018	339	2 530	1 158	45.8
2017	337	2 508	1 072	42.7

Source: Department of the Prime Minister and Cabinet (2023^[3]) *Gender Balance on Australian Government Boards Report 2022-23*, https://www.pmc.gov.au/sites/default/files/resource/download/gender-balance-australian-government-boards-report-2022-23_0.pdf.

Figure 4.2. Board composition and diversity



Source: OECD Working Party on State Ownership and Privatisation Practices.

Table 4.4. Characteristics and qualifications of board members

Are there any constraints or guidelines on the characteristics of members that can be appointed?

Jurisdiction	No constraints	Maximum number of members	Minimum number of members	Gender and diversity targets	Minimum number of independent members	Maximum number of boards one person may a member of	Appropriate skills and expertise
Australia		x	x	x		x	x
Austria				x		x	x
Azerbaijan	x						
Belgium		x					
Brazil					x	x	x
Bulgaria				x	x		x
Canada		x				x	
Chile				x		x	x
Colombia		x		x	x		x
Costa Rica				x		x	x
Croatia			x	x	x		x
Czechia				x	x		x
Denmark				x			
Estonia		x	x			x	x
Finland		x	x	x			x
France				x		x	
Germany			x	x		x	x
Greece				x		x	
Hungary							x
India					x		
Ireland		x	x	x		x	x
Israel				x			
Italy				x	x		x
Korea		x	x	x		x	x
Latvia						x	
Lithuania			x		x	x	x
Luxembourg				x			
Malaysia	x						
Morocco					x		
Netherlands			x	x	x		
New Zealand				x			
Norway				x	x		x
Peru		x	x	x	x	x	x
Philippines						x	
Poland				x			
Portugal		x		x			
Romania				x		x	
Slovak Republic							x
Slovenia						x	
Spain					x		
Sweden			x	x			x
Switzerland		x		x			x
Thailand		x			x		x
Türkiye	x						

Jurisdiction	No constraints	Maximum number of members	Minimum number of members	Gender and diversity targets	Minimum number of independent members	Maximum number of boards one person may a member of	Appropriate skills and expertise
Ukraine	x						
United Kingdom				x		x	
United States		x					x
Viet Nam					x		
Total: 48	4	13	11	28	15	19	24

Source: OECD Working Party on State Ownership and Privatisation Practices.

4.5. Independence of board members

SOE boards should be objective and independent in their decision-making. In boards where state representatives are appointed, there should be a sufficient number of independent directors to balance boardroom discussions. Box 4.3 provides a benchmark definition of “independence” against which responding jurisdictions were assessed.

Thirty one per cent of jurisdictions (15 out of 48) require a minimum number of independent members on SOE boards. Jurisdictions differ in terms of the definitions they use to describe “independence” and definitions adopted by jurisdictions tend to differ from the benchmark provided in Box 4.3.

Those jurisdictions where the definition deviates from the benchmark definition tend to omit term limits. For 20% of jurisdictions, the definition covers all relevant elements in Box 4.3, though it is only applicable to a selected portfolio of SOEs. Only two jurisdictions (5%), Finland and Greece, apply a consistent and best practice-aligned definition of independence across all SOEs (Table 4.5).

Box 4.3. OECD benchmark definition of board member independence

Based on the 2015 revision of the SOE Guidelines and best practices, a benchmark definition of “independence” applicable to SOE board members has been crafted. This benchmark facilitates comparisons with national definitions, considering the following key points:

- Non-executive directors and supervisory board members should not have held positions as executive directors, managers, employees, or financial auditors of the SOE or its subsidiaries within specified recent years, with clear cooling-off periods delineated.
- They should not hold significant shares in the SOE and should not have engaged in business relations with the SOE or its subsidiaries within the past year.
- There should be no familial or other close relationships with individuals occupying positions described in the preceding points.
- Term limits for appointments should be enforced.

The 2024 revision of the SOE Guidelines provide a new, strengthened definition of “independence” for SOE board members. According to this new definition, independent board members are understood as:

- Individuals free of any material interests (including remuneration, directly or indirectly, from the enterprise or its group other than directorship fees);

- or free of relationships with the enterprise (non-executive board members), the state (neither civil servants, public officials, nor elected politicians), its management, and other major shareholders, as well as with institutions and interest groups with a direct interest in the operations of the SOE, that create a conflict of interest that could jeopardise their exercise of objective judgement; and as
- individuals selected based on merit, in possession of an independent mindset and sufficient competencies to carry out board duties.

Source: Informed by Recommendation D, Chapter VII, OECD (2015^[4]) OECD Guidelines on Corporate Governance of State-owned Enterprises, 2015 Edition, and the revised OECD (2024^[1]), OECD Guidelines on Corporate Governance of State-Owned Enterprises, 2024 Edition

Table 4.5. Definition of “independence”

Does the definition of “independent” align with best practice?

Answer	Jurisdictions	Total: 41
Yes, the national definition aligns with best practice and is applicable to all SOEs.	Finland, Greece.	2
Yes, the national definition aligns with best practice, but applies to some SOEs.	Croatia, Denmark, Germany, Peru, Romania, Spain, Ukraine, United Kingdom.	8
The national definition deviates from best practice.	Australia, Austria, Belgium, Brazil, Bulgaria, Chile, Colombia, Costa Rica, Estonia, France, Hungary, Ireland, Israel, Italy, Korea, Latvia, Lithuania, Netherlands, New Zealand, Norway, Philippines, Poland, Portugal, Slovenia, Sweden, Switzerland.	26
No definition, nor practice in place to ensure SOE board independence.	Canada, Czechia, Luxembourg, Slovak Republic, Türkiye.	5

Note: This table is based on the benchmark definition of the 2015 edition of the SOE Guidelines.

Source: OECD Working Party on State Ownership and Privatisation Practices.

4.6. Safeguarding SOE boards from political influence

The SOE Guidelines emphasise that establishing and safeguarding well-structured, merit-based and transparent board nomination processes should involve establishing a structured nomination and appointment process, safeguarded from undue political influence, respecting other shareholders’ rights and playing an active role in this process (OECD, 2024^[1]).

Generally, the state as shareholder should not be involved in the appointment of the CEO and other senior management and executive positions, and decisions should be made based primarily on professional criteria. In instances where the state wholly-owns SOEs, the appointment of the CEO should be made through a competitive selection procedure that is independent from election cycles. Legal measures to protect against patronage, political financing or personal or related-party enrichment should be applied to SOEs across a variety of criminal and administrative laws. Related party transactions should be made transparent, and conflict of interest requirements should apply to civil servants on SOE boards.

Most jurisdictions report penalties of various levels of severity if a board member were found to have been unduly influenced by outside persons or institutions, depending on the type of infraction or crime (Table 4.6). Fifty five per cent of jurisdictions (23 out of 42) indicate that if a board member were found to be unduly influenced by an outside person or institutions, they would be dismissed from their role. In

general, it is well noted that, beyond punitive measures, the autonomy and integrity of boards (and executive management) may limit the opportunities for undue influence in SOE operations (OECD, 2023^[5]).

Table 4.6 Penalties for undue influence of board members

What penalties are available if a board member were found to have been unduly influenced by outside persons or institutions?

Answer	Jurisdictions	Total, multiple options possible
Dismissal of board members.	Austria, Canada, Costa Rica, Denmark, Estonia, Germany, Greece, Hungary, Ireland, Israel, Korea, Latvia, Lithuania, Peru, Poland, Portugal, Romania, Slovak Republic, Slovenia, Spain, Sweden, United Kingdom, United States.	23
Fines or order for forfeiture.	Brazil, Costa Rica, Germany, Greece, Ireland, Korea, Latvia, New Zealand, Slovak Republic, Sweden, United States.	11
Imprisonment.	Brazil, Germany, Ireland, Italy, Latvia, New Zealand, Peru, Sweden, United States.	9
Other.	Austria, Belgium, Bulgaria, Chile, Colombia, Costa Rica, Croatia, Czechia, Estonia, Finland, Germany, Greece, Hungary, Ireland, Italy, Latvia, Norway, Philippines, Poland, Romania, Slovenia, Spain, Sweden, The Netherlands, Ukraine, United Kingdom.	26

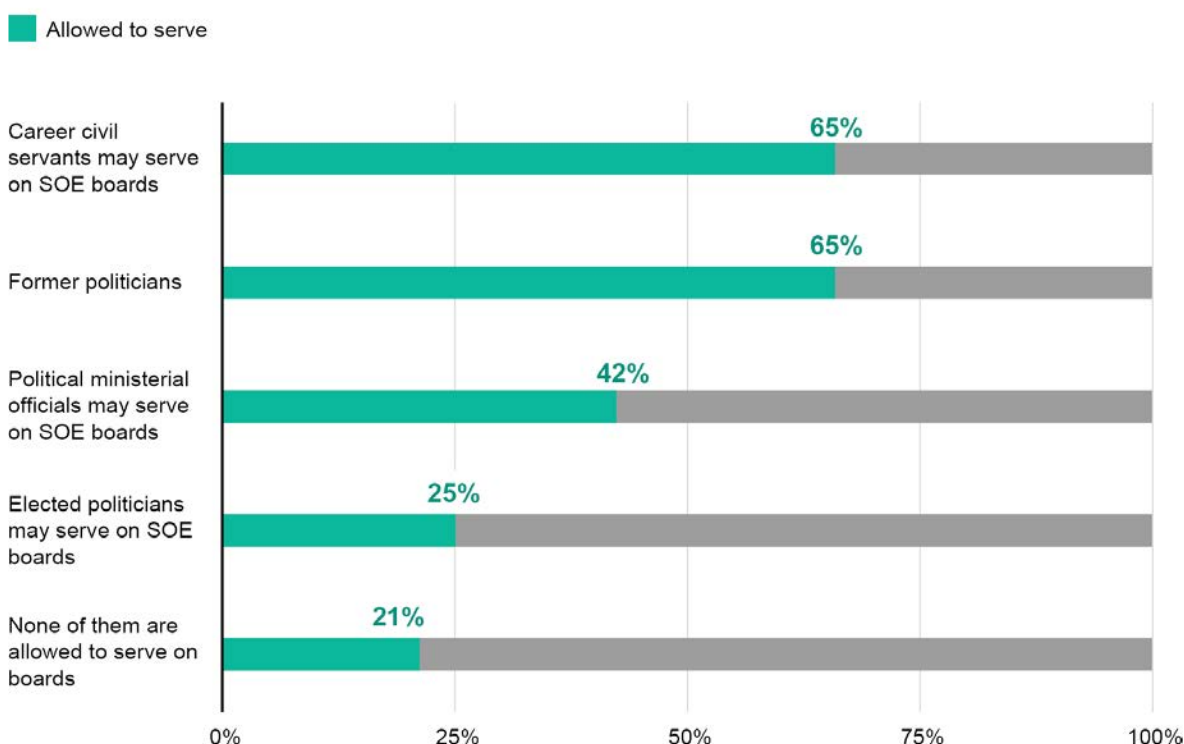
Note: Other may refer to penalties as a response to board members committing a civil wrong or criminal misconduct, or liabilities of boards of directors.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Most jurisdictions permit career civil servants to serve on SOE boards of directors (Figure 4.3). Twenty-five per cent of jurisdictions (12 of 48) do not ban elected politicians to serve on SOE boards. While appointments of elected politicians or politically appointed ministerial officials may not be prohibited by law in certain jurisdictions, in practice, such appointments may not be common. In most jurisdictions, suitable candidates for SOE non-executive independent board members have both private and public sector experience. Table A B.4 in Annex B provides detailed information on who may serve on SOE boards.

Jurisdictions that allow elected politicians to serve on boards tend to implement safeguards to protect their roles from conflicts of interests if such persons are in a position to materially influence the operating conditions of the SOE. For example, Finnish administrative law prohibits civil servants from becoming members of company boards if their roles are subject to conflicts of interests. Another safeguard frequently employed are “cooling-off periods” of various lengths. For instance, Latvia requires that civil servants and ministerial officials that may serve on boards of SOEs have not been involved with a political party, or empowered representatives or leaders for 24 months leading up to their function as a member of the board.

Figure 4.3. Categories of public servants who can legally serve on SOE boards



Note: More than one response is possible. For details, see Annex B, Table A.B.4.

Source: OECD Working Party on State Ownership and Privatisation Practices.

4.7. Specialised committees supporting SOE boards

The SOE Guidelines recommend that SOE boards may set up specialised committees to support the work of the board, particularly with respect to audit, risk management, and remuneration (OECD, 2024^[1]). Best practice suggests that such committees should be composed of independent and qualified members. Depending on the size and risk exposure of the SOE, nomination, risk management, or sustainability committees can also support the board with related tasks.

Fifty-eight percent of jurisdictions (23 of 40) have legal provisions that govern the mandates, composition, and working procedures of SOE board committees (Table 4.7). It should be noted that such provisions may also be based on corporate governance codes that apply to some SOEs only. Twenty-five percent of jurisdictions (10 of 40) report that functions and mandates of committees for SOEs are solely governed and disclosed through board charters. Therefore, there appears to be significant differences in how board committee mandates are established at the SOE portfolio level, depending on whether SOEs are large or listed.

Table 4.7. The mandates of SOE board committees

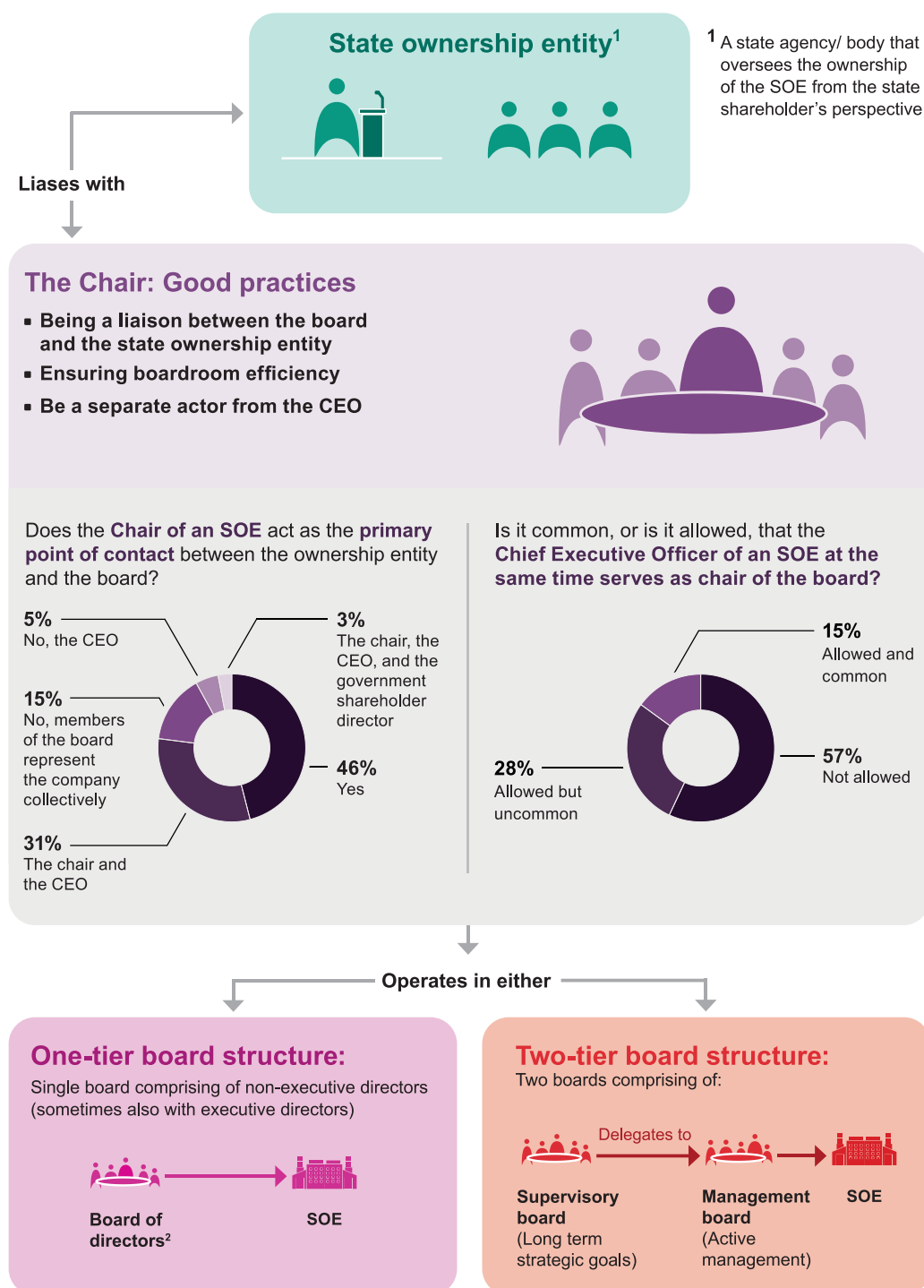
Where SOE board committees exist, how are their mandates, composition and working procedures established and disclosed?

Jurisdiction	Law or regulation	Corporate bylaws or charter	Board charter	Mandated by law or regulation only for financial sector SOEs
Australia	x	x	x	
Austria	x	x		
Belgium	x			
Brazil	x	x	x	
Bulgaria	x	x		
Canada	x	x		
Chile			x	
Colombia			x	
Costa Rica*		x	x	x
Croatia	x	x	x	
Czechia	x			
Estonia	x		x	
Finland			x	
France			x	
Germany	x	x	x	
Greece	x			
Hungary				x
Ireland			x	
Israel	x		x	
Italy		x		
Korea	x	x		
Latvia	x		x	
Lithuania	x			
Luxembourg			x	
Netherlands	x	x	x	
New Zealand			x	
Norway	x		x	
Peru		x		
Philippines	x	x	x	
Poland	x			
Portugal		x		
Romania	x	x	x	
Slovak Republic	x	x	x	
Slovenia		x		
Spain	x			
Sweden			x	
Switzerland		x		
Ukraine	x	x		
United Kingdom			x	
United States			x	
Total: 40	23	19	23	2

Note: More than one response is possible. *In Costa Rica, board committees' mandates, composition and working procedures are established by law or regulation only for financial sector SOEs

Source: OECD Working Party on State Ownership and Privatisation Practices.

Figure 4.4. The role of the chair of the board



² May in some cases also include executive directors

Note: Table A.B.5 in Annex B provides further details on the role of the chair.

Source: OECD Working Party on State Ownership and Privatisation Practices.

4.8. The chair of the board

According to the SOE Guidelines, the chair of an SOE board should assume responsibility for boardroom efficiency and, when necessary, in co-ordination with other board members, act as the liaison for communications with the state ownership entity (OECD, 2024^[1]). Separation between the roles of the chair and CEO is particularly important in SOEs where it is usually considered necessary to ensure the board's independence from management. Board evaluations should be carried out under the supervision of the chair.

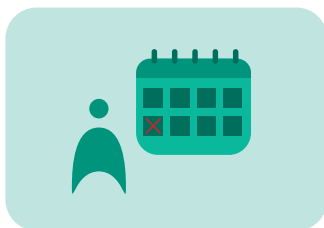
Fifty-seven percent of jurisdictions (23 out of 40 jurisdictions) do not allow or discourage the chair of an SOE to also act as its CEO (Figure 4.4). However, in 15% of jurisdictions it is both allowed and common that the chair is also the CEO. Furthermore, in practice, the CEO sometimes takes on the role as liaison with the ownership entity besides the chair, and in some rare cases the CEO is the only point of contact between the ownership entity and the SOE.

4.9. Board evaluation processes

Figure 4.5 summarises best practices SOE boards should adopt to carry out a well-structured evaluation to appraise their performance and efficiency. Systematic board evaluation processes ensure that boards operate in an efficient manner. The outcomes of board evaluations can also serve as a helpful source of information for future board nomination and appointment processes (see Box 4.4 for an example).

Overall, there seems to be significant differences in the extent to which SOE board evaluation processes adhere to established protocols, with many diverging from best practices. While 68% of jurisdictions (26 of 38) evaluate the activities of the SOE board as a whole, only 31% place a focus on evaluating the role of the chair (Figure 4.6). Furthermore, when using evaluation results to inform board nomination procedures, 32% of jurisdictions (13 out of 41) rely on informal practices, whereas 44% follow formal processes.

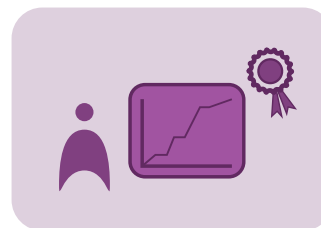
Figure 4.5. Board evaluation best practices

Best practices**Practice 1:**
Conducting regular board evaluations

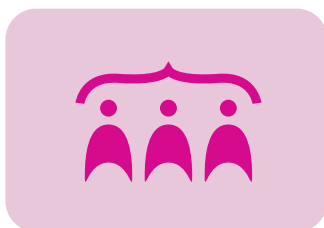
Regular board evaluations enhance SOE (State-Owned Enterprise) boards' professionalism, accountability, and goal-orientation. They assess performance, skills, and competences needed for emerging issues such as sustainability, digitalisation, and public policy objectives.

**Practice 2:**
The right mix of backgrounds and competences

Self-evaluations prioritise assessing the board's collective decision-making rather than individual members. A well-defined process prevents superficial evaluations. Top-down evaluations by the state owner must be protected from political interference. Effective top-down evaluations require clear communication of non-commercial and commercial objectives for the SOE, establishing clear benchmarks.

**Practice 3:**
Board nomination processes and improved board performance over time

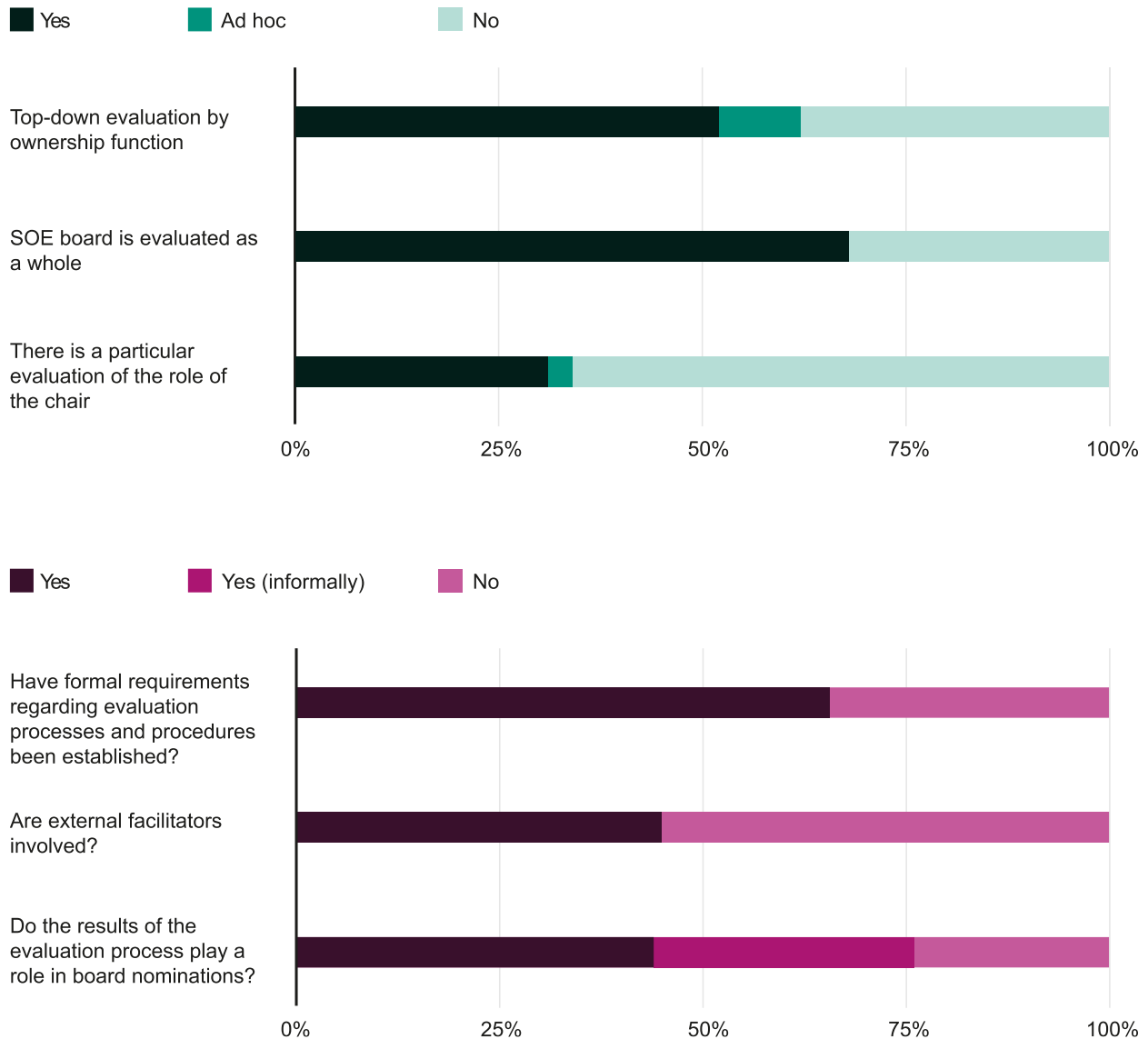
Board evaluations provide valuable insights for future board nominations. While they can alert the ownership entity to recruit members with specific skills, they should not be used to unduly "deselect" existing directors, as it may discourage their active and critical involvement in board discussions.

Means of achieving best practices**Approach 1:**
Self-evaluations of boards

The evaluation process identifies required skills, competencies and board member profiles. Discrepancies between diversity objectives and board composition can be addressed by considering gender targets, age, expertise, and other demographic characteristics. SOEs should establish guidelines to promote diversity and maintain alignment with gender targets.

**Approach 2:**
Appointing an independent, external facilitator

An external facilitator adds structure and objective expertise to board performance discussions. They complement advice from the state ownership entity. However, the Chair's responsibility in overseeing the board evaluation process should not be undermined by consulting an external facilitator.

Figure 4.6. Board evaluation practices and procedures

Source: OECD Working Party on State Ownership and Privatisation Practices.

Box 4.4. Board evaluation systems: the example of Greece

In Greece, efforts are underway to establish a robust board evaluation system within the Hellenic Corporation of Assets and Participations (HCAP) portfolio, offering comprehensive guidance on the evaluation and monitoring processes. HCAP proposes evaluating the board as a unified entity. The chair of the board, the CEO, and other board members are evaluated annually on the effective execution of their duties; and every three years, this evaluation is conducted with the assistance of an external advisor. The evaluation process is overseen by the chair in collaboration with the Nominations Committee. Additionally, the effectiveness of the chair is assessed through a procedure led by the Nominations Committee.

4.10. Internal audit and control processes

Another core corporate governance function for which the board has responsibility is internal audit, which commonly serves to evaluate an SOE's governance, risk management and internal control processes. Internal auditors play an important role in the SOEs' internal controls system by promoting efficient and robust disclosure through evaluation of the completeness, integrity, accuracy, timeliness, and frequency of reporting on all material information. The internal audit function can play a critical role in providing support to the audit committee of the board, or an equivalent body (section 3.3 in chapter 3 on Disclosure, transparency and accountability of SOEs includes a discussion of independent external audits).

It is considered best practice to require an internal audit function in large companies and for it to have unrestricted access to the board. Depending on their size, structure, complexity, and risk profile, other SOEs are encouraged to establish an internal audit function to the extent possible. Internal auditors should have procedures in place to determine that the SOE's management can collect, compile and present detailed information in its disclosures. Good practice calls for establishing an internal audit charter that sets out the purpose, roles and responsibilities and procedures of the internal audit function. They should also evaluate whether SOE procedures are adequately implemented. Internal auditors should be separate from the operations which they evaluate and report directly to the board and/or its audit committee to be chaired by an independent director or be composed of mostly independent directors.

In line with best practices, 77% of jurisdictions (33 out of 43) require an internal audit function in their large and/or listed SOEs (Table 4.8). Furthermore, 36% report that state representatives are not able to take up the function of an internal auditor for SOEs, or that this does not happen in practice while not necessarily being prohibited.

In a minority of jurisdictions, the internal audit function of SOEs can be substituted or supplemented by an internal audit department of the state, or of a given ministry. There is little visibility on whether professional collaboration between internal and external auditors is encouraged, as called for in the SOE Guidelines and the OECD Guidelines on Anti-Corruption and Integrity in SOEs, though it appears in practice that most jurisdictions do not promote such a collaboration.

Table 4.8. Internal audit practices

Jurisdiction	What is the legislative basis to the internal audit function?	Does every SOE need to have an internal audit function?	To whom do internal auditors report to?	Can state representatives be internal auditors?	Do external auditors work in collaboration with internal auditors?
Australia	SOE Statute, Law 13.303/16 and CGPAR Resolution n° 34/2022	Yes	To the board or audit committee	No	Yes
Austria	Section 13 of the Federal Public Corporate Governance Code	Only large SOEs	The supervisory or audit committee	Not specified	Not specified
Azerbaijan	The law "on internal audit" – (https://e-qanun.az/framework/13241)	Yes, in some SOEs	Yes, to the respective managing body (Supervisory board or Directors board) of SOE	Yes, but internal auditors must be independent (cooling-off period)	Yes
Belgium	Not specified	Not specified	Not specified	Yes	Not specified

Jurisdiction	What is the legislative basis to the internal audit function?	Does every SOE need to have an internal audit function?	To whom do internal auditors report to?	Can state representatives be internal auditors?	Do external auditors work in collaboration with internal auditors?
Brazil	PGPA Act s. 16(b)	No	To the board	Yes, but internal auditors must be independent (cooling-off period)	Yes
Bulgaria	The Public Sector Internal Audit Act; International standards for professional practice in internal auditing	Yes, in some SOEs*	To the board or CEO	No	Not specified
Canada	Section 131(3) of the Financial Administration Act	Yes	Not specified	Not specified	Not specified
Chile	Unknown	Yes	To the board	Not specified	Not specified
Colombia	Law 87 of 1993 and the Anti-Corruption Statute	Yes	To the President/ the board	Yes, but internal auditors must be independent (cooling-off period)	Not specified
Costa Rica	In the case of state-owned enterprises operating in the non-financial sector, in accordance with Internal Control Law No. 8292, Article 24 The Office of the Comptroller General of the Republic is an independent unit, therefore, it is not part of the Internal Audit function.	Yes	To the board	No	Yes
Croatia	Law on the System of Internal Controls in the Public Sector	Yes	To the supervisory or audit committee	Yes	Not specified
Czechia	NA	No	To the board	Not specified	Yes, in certain circumstances
Denmark	Not specified	Only large SOEs	Not specified	Not specified	Not specified
Estonia	State Assets Act and Auditors Activities Act	Only large SOEs	To the board	No	Yes
Finland	The Companies Act	Only large SOEs	To the board	No	Yes
France	No (but listed firms are generally IFACI certified)	Only listed SOEs	To the audit and risk committee	No	Not specified
Germany	The Public Corporate Governance Kodex	Yes	To the board	No	Yes, in certain circumstances
Greece	Law 4972/2022 and Law 4795/2021	Yes	To the board	No	Yes, in certain circumstances
Hungary	NA	Only listed SOEs	NA	Yes	Not specified
Ireland	Code of Practice for the Governance of State Bodies August 2016, Paragraph 7.7, page 35 of the Code	Yes	To the audit and risk committee	No	Yes
Israel	Unknown	Yes	To the audit committee	Yes	Not specified
Italy	Italian Legislative Decree no. 175 of 19 August 2016, "Consolidated law on State-Owned Enterprises "	No	To the board	No	Not specified

Jurisdiction	What is the legislative basis to the internal audit function?	Does every SOE need to have an internal audit function?	To whom do internal auditors report to?	Can state representatives be internal auditors?	Do external auditors work in collaboration with internal auditors?
Korea	The AMPI stipulates that any public corporation over KRW 2 trillion in assets shall establish an audit committee under the board of directors.	Only large SOEs	To the board	Not specified	Not specified
Latvia	NA	Only listed SOEs	NA	NA	Not specified
Lithuania	Law on internal control and internal audit of the Republic of Lithuania	No	To the head of the statutory enterprise and the board	NA	No
Luxembourg	Yes, for commercial SOEs, law on commercial companies applies: https://legilux.public.lu/eli/etat/leg/loi/1915/08/10/n1/consolide/20171219	Only commercial SOEs	To the audit committee	Yes	Yes
Netherlands	Dutch Corporate Governance Code	Only listed SOEs	To the board	NA	Yes
New Zealand	NA	NA	To the risk or audit committee	Yes	Yes
Norway	NA	No	To the board	No	Yes
Peru	Articles 21, 22 of Decree-Supreme No. 176/2010	Yes	To the board	Not specified	Not specified
Philippines	No. 26(a) on Internal Audit of the CGS (GCG Memorandum Circular No. 2015-07 Corporate Governance Scorecard for GOCCs asks if the GOCC has a separate internal audit function	Yes	To the board	No	Not specified
Poland	NA	Only listed SOEs	To the board	Not specified	Not specified
Portugal	Article 19 of Decree-Law No. 18/2017, of 10 February	Only large SOEs	To the board	Not specified	Not specified
Romania	Law no. 672 /2002	No	To the board	No	Not specified
Slovak Republic	Based on SHAs (shareholders' rights agreements)	No	To the board	Not specified	Yes
Slovenia	Governance Code of Companies with State Capital Investment	Only large SOEs	To the board	No	Yes
Spain	Unclear	No	Not specified	Not specified	Not specified
Sweden	The Swedish Corporate Governance Code	No	To the board	No	Yes
Switzerland	NA	No	To the board or audit committee	Yes, but they are not in practice	Not specified
Thailand	Regulation of the Ministry of Finance on audit committees and internal audit of state enterprises B.E. 2555 (2012) and State Fiscal and Financial Disciplines Act B.E. 2561 (2018)	Yes	To the audit committee	Unclear	Not specified
Türkiye	2015 Annual General Investment and Financing Program	Yes	To the board	Yes	Not specified

Jurisdiction	What is the legislative basis to the internal audit function?	Does every SOE need to have an internal audit function?	To whom do internal auditors report to?	Can state representatives be internal auditors?	Do external auditors work in collaboration with internal auditors?
Ukraine	Article 11-4 of the Law "On the Management of State-Owned Objects"	Yes	To the board	Not specified	Not specified
United Kingdom	Not specified	Yes, in some SOEs	To the risk or audit committee	Yes, but they are not in practice	Yes
United States	31 U.S. Code § 9105	Yes, in some SOEs	To the CEO/ Government/ Congress	Not specified	Not specified
Viet Nam	Decree No. 05/2019/ND-CP and Vietnamese Standards and Code of Ethics for Internal Auditing (Circular No. 08/2021/TT-BTC)	Yes, in some SOEs	Not specified	Not specified	Not specified

Note: In Finland, state representatives are not part of internal audit, however they are not legally forbidden from taking on such a function. In Switzerland there are also no prohibitions in place. But generally, no state representatives should serve as a member of the board of directors. No state representatives are holding an internal audit function at the moment of reporting. In Bulgaria, the Public Sector Internal Audit Act, art. 12, par. 2 defines the internal audit practices and the set up of internal audit units.

Source: OECD Working Party on State Ownership and Privatisation Practices.

References

- Commonwealth of Australia, D. (2023), *Gender Balance on Australian Government Boards 2022-23*, https://www.pmc.gov.au/sites/default/files/resource/download/gender-balance-australian-government-boards-report-2022-23_0.pdf. [3]
- OECD (2024), *OECD Guidelines on Corporate Governance of State-Owned Enterprises 2024*, OECD Publishing, Paris, <https://doi.org/10.1787/18a24f43-en>. [1]
- OECD (2023), *Safeguarding State-Owned Enterprises from Undue Influence: Implementing the OECD Guidelines on Anti-Corruption and Integrity in State-Owned Enterprises*, Corporate Governance, OECD Publishing, Paris, <https://doi.org/10.1787/47444e1c-en>. [5]
- OECD (2022), *Remuneration of Boards of Directors and Executive Management in State-Owned Enterprises*, OECD Publishing, Paris, <https://doi.org/10.1787/80d6dc04-en>. [2]
- OECD (2015), *OECD Guidelines on Corporate Governance of State-Owned Enterprises, 2015 Edition*, OECD Publishing, Paris, <https://doi.org/10.1787/9789264244160-en>. [4]

Note

¹ To determine which SOEs are “large” or “economically significant”, respondents were asked to refer to the national legislation that provides a legal definition for “large company”, and consider those SOEs that fall under this definition, should their practices be different from small SOEs. If there is no such legal definition, SOEs that represent 2/3 of the value of the SOE portfolio (either by employment or turnover), or in case of a very large portfolio, the 10 largest SOEs (either by employment or by turnover), were considered.

5 Sustainability and state ownership

The state as an owner and SOEs can lead by example by integrating sustainability commitments into their policies and practices. This is important as SOEs often operate in sectors systemically significant to the low carbon transition, such as energy, transport, and infrastructure. This chapter explores practical methods through which SOEs can advance sustainability, from two angles: through the role of the state as an owner, and through the role of SOE boards. It also examines trends in sustainability-related disclosures, including of greenhouse gas emissions.

5.1. Key messages

SOEs often operate in sectors that are vulnerable to sustainability-related risks, particularly those with high greenhouse gas emissions, but they also have significant opportunities to play a crucial role in driving climate action and ensuring a just transition. Governments as owners of enterprises and SOEs themselves should lead by example and manage risks and opportunities in a way that contributes to sustainability, resilience, and long-term value creation. This chapter finds that:

- Half of the largest 126 SOEs in the Fortune Global 500 list operate in hydrocarbons, utilities, engineering and construction, energy, and metals. They also account for 59% of the revenue of all 126 SOEs and employ over 9 million people.
- The public sector is an important shareholder in the 100 highest emitting listed companies, holding 18% of the shares globally.
- Only 26% of jurisdictions explicitly include climate goals in their SOE ownership policy. Another 29% have climate-related policies, expectations, or mandates for specific SOEs.

SOE boards have the responsibility of implementing the state's sustainability expectations and policies at the enterprise level through objectives, targets, disclosure, and monitoring mechanisms. Reporting and disclosure on sustainability should follow high quality internationally recognised standards facilitating consistency and comparability. While sustainability disclosure frameworks are often encouraged, their implementation tends to be voluntary in nature, and not all SOEs implement them.

- In a sample of 479 listed SOEs, 92% disclosed sustainability-related information in 2022. This represents 98% of the market capitalisation of all SOEs in the sample. Most jurisdictions surveyed either mandate or strongly encourage climate-related non-financial reporting if it is deemed material to the SOE.
- Of the same sample of 479 listed SOEs, 51% disclosed scope 1 and scope 2 emissions, and 23% disclosed scope 3 emissions. In terms of market capitalisation this represents 72% for scope 1 and 2, and 27% for scope 3. This shows a commitment to transparency in this area but also significant room for improvement.

5.2. Aligning SOEs with sustainability commitments and goals

The 2024 edition of the SOE Guidelines introduces a new chapter addressing sustainability (Chapter VII). The chapter notes that the corporate governance framework should provide incentives for state ownership entities and SOEs to make decisions and manage their risks in a way that contributes to SOEs' sustainability and resilience and ensures long-term value creation. Where the state has sustainability goals, the state as an owner should set concrete and ambitious, sustainability-related expectations for SOEs, including on disclosure and transparency, the role of the board, responsible business conduct and stakeholder engagement (OECD, 2024^[1]). This chapter explores these elements in more detail.

5.2.1. The role of the state

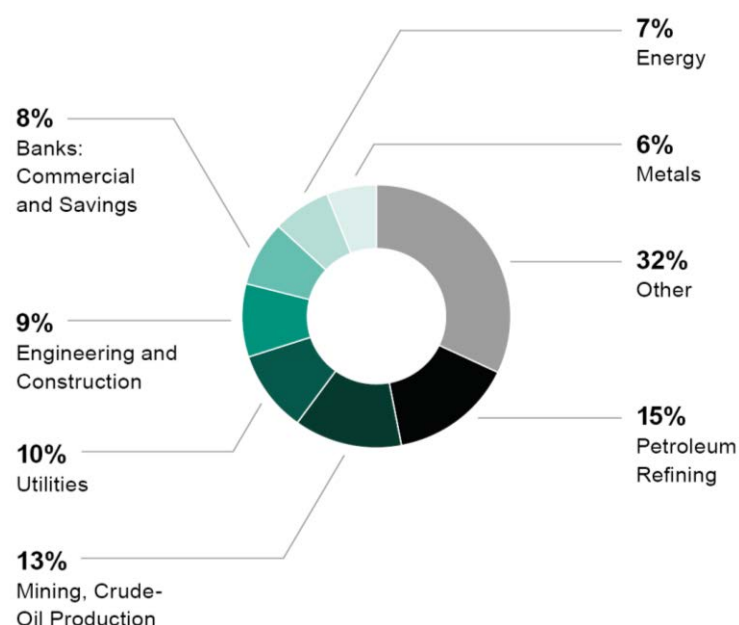
States and in particular governments have a leading responsibility in achieving sustainability goals. They can fulfil this responsibility by setting a long-term vision and frameworks to achieve them through national sustainability strategies and targets. They can leverage regulatory authority by enacting laws and regulations in fields such as climate and the environment, human rights, and social justice. They can provide and drive investment and innovation for sustainable development. And they can foster a conducive environment for sustainability through policies and spawn change and lead by example as economic actors, including through their role as an owner.

Where the state has set sustainability goals, the SOE Guidelines call on it to integrate these goals in ownership policy and practices by 1) setting concrete and ambitious sustainability expectations for SOEs, while respecting other shareholders; 2) communicating and clarifying shareholder expectations on sustainability through regular dialogue with the boards; and 3) assessing, monitoring and reporting on sustainability objectives and performance of SOEs on a regular basis (OECD, 2024^[1]).

In addressing climate change, states shoulder responsibility in terms of setting ambitious climate targets, implementing pertinent policies such as carbon pricing mechanisms and regulations, facilitating international co-operation through international agreements and actions, building climate resilient infrastructure, and driving behavioural change, including through their SOEs.

All jurisdictions covered in this report have established sustainability commitments, for example through their endorsement of the Sustainable Development Goals (SDGs) and the Paris Agreement. Aligning SOE policies and practices in a coherent manner with those commitments is essential to their achievement given that SOEs operate in various carbon-intensive sectors such as energy, hydrocarbons, and transport.

Figure 5.1. Industries where SOEs in the Fortune Global 500 list operate



Note: Fiscal years ending before March 2023.

Source: Fortune, Global 500, consulted in January 2024

Table 5.1. Industries where SOEs in the Fortune Global 500 list operate

Industry	Number of SOEs	Revenue (USD bn)	Profits (USD bn)	Assets (USD bn)	Employees
Petroleum Refining	11	1 846.4	113.4	1 883.6	1 881 316
Mining, Crude-Oil Production	13	1 571.0	203.6	2 086.6	2 081 941
Utilities	9	1 177.2	- 25.0	2 029.8	1 556 097
Engineering & Construction	10	1 076.1	11.9	1 888.2	1 728 433
Banks: Commercial and Savings	8	969.3	192.2	21 841.0	2 182 140
Energy	9	871.3	24.4	1 417.9	1 059 332
Metals	11	747.2	8.9	747.3	1 045 591
Others	55	4 045.0	200.2	21 650.3	9 668 004
Total	126	12 303.0	730.0	53 545	21 202 854

Note: Fiscal years ending before March 2023.

Source: Fortune, Global 500, consulted in January 2024.

Table 5.1 and Figure 5.1 show that 63 SOEs (out of 126) from the Fortune Global 500 list operate in high greenhouse gas (GHG) intensity sectors. Those SOEs account for 59% of the total revenue of all SOEs in that list and employ 9 352 000 people. Furthermore, the public sector is an important shareholder in the 100 highest emitting listed companies, holding 18% of the shares globally, and significantly higher shares in the People's Republic of China (hereafter 'China') (64%) and Latin America (50%) (OECD, 2024^[2])(Figure 5.2).

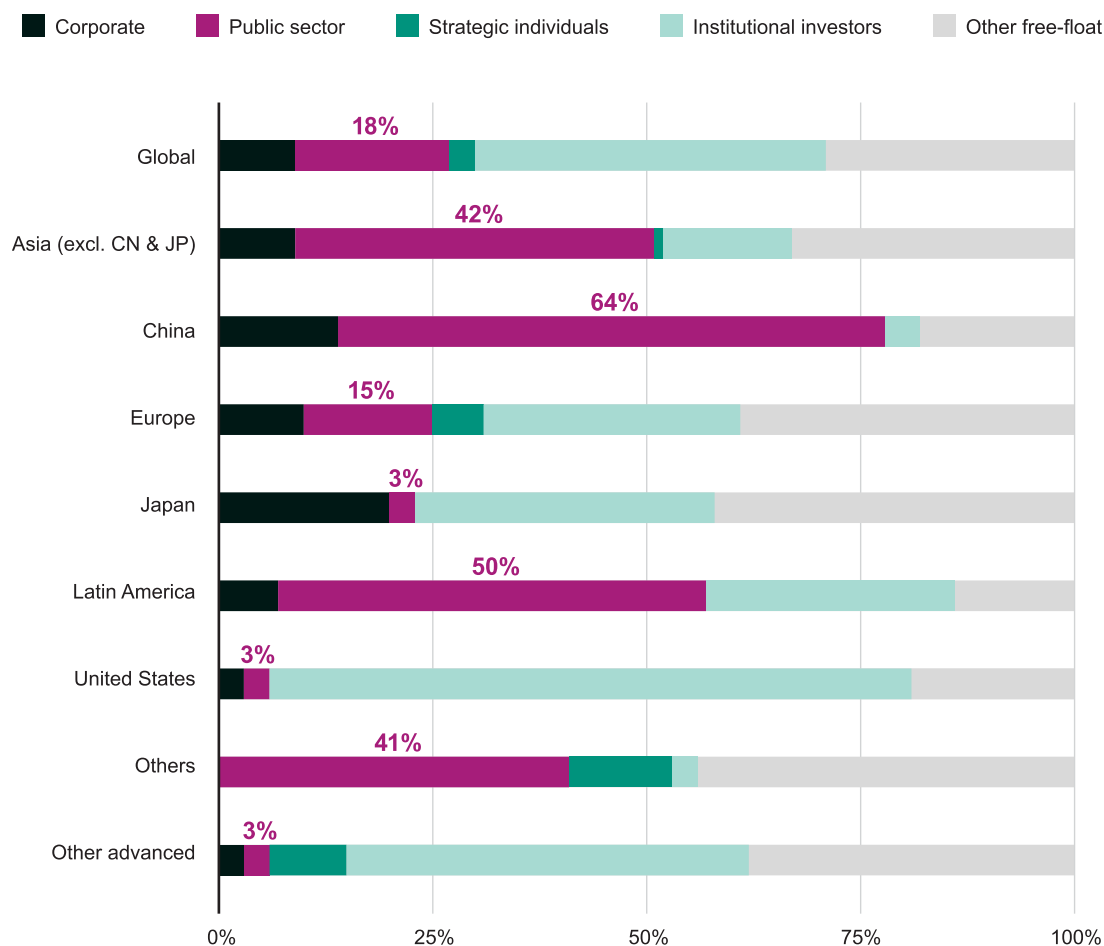
SOEs can play an important role in the shift to low carbon and carbon neutral activities, for example through clean energy and carbon capture and storage. Globally, 60% of generation capacities in renewables, hydropower and nuclear power are state-owned, while nearly all carbon capture and storage projects have received public support, with one-third of capacities operating as SOEs, according to the International Energy Agency (OECD, 2022^[3]).

SOEs can lead by adopting clean technologies and sustainable practices within their operations, and channelling investments towards renewable energy infrastructure and sustainable development projects. They can also adopt procurement policies that prioritise sustainable suppliers and products, while transparent reporting and accountability mechanisms can ensure that SOEs operate ethically and contribute to broader sustainability goals.

SOEs may incorporate social and environmental goals, alongside financial performance, which require long-term vision and systemic transformations. There is a growing trend to translate climate and environmental policies into state ownership policies. In some cases, these also complement rationales for state ownership, particularly about addressing market failures or fulfilling activities of public interest which relate to broader policy goals on mitigating climate change (OECD, 2022^[3]).

A few jurisdictions explicitly incorporate climate goals and policies into SOE policies, expectations, and mandates. In addition, all jurisdictions for which there is information apply climate laws and regulations uniformly to SOEs and non-SOEs (apart from other sector specific environmental laws and regulations). Table 5.2 shows that 39% (12 out of 31) of jurisdictions surveyed have climate policies that are explicitly applicable to SOEs, and only 26% (8 jurisdictions) explicitly include climate dimensions into their SOE ownership policy. Another 29% (9 jurisdictions) have climate-related policies, expectations, or mandates for individual SOEs.

Figure 5.2. Holdings of the 100 highest emitting listed companies by type of investor



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan. "Other free-float" refers to the holdings by shareholders that do not reach the threshold for mandatory disclosure of their ownership records.

Source: OECD (2024), *Global Corporate Sustainability Report 2024*, OECD Publishing, Paris, <https://doi.org/10.1787/8416b635-en>.

States can therefore advance sustainability and climate goals by adopting ownership policies that address the risks and opportunities associated with SOEs and the sectors in which they operate, and SOEs can lead by example through responsible business conduct. Ownership policies should also be aligned with broader national objectives on sustainable development, including international commitments (OECD, 2024^[1]). Box 5.1 includes examples of how countries link climate goals with state ownership policies.

Table 5.2. How are climate-related policies applied to SOEs

Jurisdiction	Climate-related policies explicitly applicable to SOEs	How are climate-related policies applied to SOEs		
		Ownership policy	Individual policies/ expectations/mandates	General climate laws/ policies/regulations
Australia	x			x
Azerbaijan				x
Belgium				x
Brazil				x
Bulgaria				x
Chile				x
Colombia				x

Jurisdiction	Climate-related policies explicitly applicable to SOEs	How are climate-related policies applied to SOEs		
		Ownership policy	Individual policies/ expectations/ mandates	General climate laws/ policies/ regulations
Croatia				x
Czechia				x
Estonia	x	x		x
Finland	x	x	x	x
France	x	x		x
Germany	x	x	x	x
Greece				x
Hungary	x		x	x
Iceland				x
Ireland	x			x
Japan				x
Latvia			x	x
Lithuania	x		x	x
Mexico				x
Netherlands	x	x		x
New Zealand				x
Norway	x	x		x
Peru				x
Philippines				x
Sweden	x	x		x
Switzerland	x		x	x
Thailand		x	x	x
United Kingdom			x	x
United States			x	x
Total: 31	12	8	9	31

Source: OECD (2022^[3]), *Climate change and low-carbon transition policies in state-owned enterprises*, OECD Publishing, Paris, <https://doi.org/10.1787/e3f7346c-en>.

Box 5.1. Linking climate goals with state ownership policies

The 2022 OECD report *Climate change and low-carbon transition policies in state-owned enterprises* identifies a few examples of how states link their climate goals and ownership policies:

- Finland's state ownership policy includes corporate social responsibility (CSR) expectations for SOEs. They are also required to consider the objective of achieving a carbon-neutral Finland by 2035 and contribute to limiting increases in global temperatures based on the Paris Agreement.
- Germany's Principles of Good Corporate Governance and Active Management of Federal Holdings set out measures to ensure sustainable governance of the federal SOEs, while considering the German Sustainable Development Strategy and Sustainable Development Goals. In addition, the German Federal Climate Change Act requires the state to ensure that SOEs (including fully and partially owned) pursue a climate-neutral organisation of their administrative activities.
- The ownership policies of Norway and Sweden reflect requirements to promote sustainable business practices in SOEs, including the achievement of climate-related objectives and compliance with international standards (including the OECD MNE Guidelines).

- In France, specific climate-related expectations for SOEs are identified in the APE's (the ownership entity) CSR charter, which refers to meeting goals under the Paris Agreement and the national climate action plan.

Source: OECD (2022^[3]), *Climate change and low-carbon transition policies in state-owned enterprises*, OECD Publishing, Paris, <https://doi.org/10.1787/e3f7346c-en>.

5.2.2. The role of the board

The SOE Guidelines posit that while the state is responsible for setting expectations and ensuring a legal and regulatory framework conducive for SOEs to attain the government's sustainability objectives, it should remain the responsibility of the boards of directors to develop SOEs' objectives and implementation frameworks. This requires state ownership entities to act on high-level expectations by actively engaging with individual SOE boards and other shareholders where applicable. The state should expect SOE boards to adequately consider sustainability risks and opportunities, in particular by: 1) reviewing and guiding the development, implementation and disclosure of material sustainability-related objectives and targets; 2) integrating sustainability considerations into risk management and internal control systems; and 3) integrating sustainability matters when assessing and monitoring management performance (OECD, 2024^[1]).

States can communicate policies and expectations to boards through a number of mechanisms. Regular discussions on sustainability can clarify expectations and promote the integration of sustainability goals in corporate strategies. Finland, France, Norway and Sweden, for example, encourage SOE boards to engage in shareholder dialogue. In these countries, meetings to discuss sustainability-related expectations tend to occur on a quarterly basis. Depending on the role the SOE can play in the climate transition, such meetings may be held more frequently to ensure the tracking of sustainability targets.

Capacity-building activities and training opportunities can encourage SOE boards to consider sustainability matters holistically and develop a full set of skills to deal with the challenges and opportunities that climate mitigation and adaptation present. For example, in Sweden, there have been initiatives to increase awareness of the 2030 Agenda and the Sustainable Development Goals, including through a series of workshops for Swedish executives. Workshop topics include materiality analysis, impact analysis of operations, and sustainability reporting guidance.

Some jurisdictions task SOE boards with the creation of sustainability committees or select a member of the board to advise on sustainability-related matters during boardroom discussions. In France, the government holding agency APE requires the executive committee of its portfolio companies to appoint a member tasked with the promotion of the national climate policy, which aims to reduce emissions in line with the Paris Agreement.

5.3. Sustainability reporting and disclosure frameworks and requirements

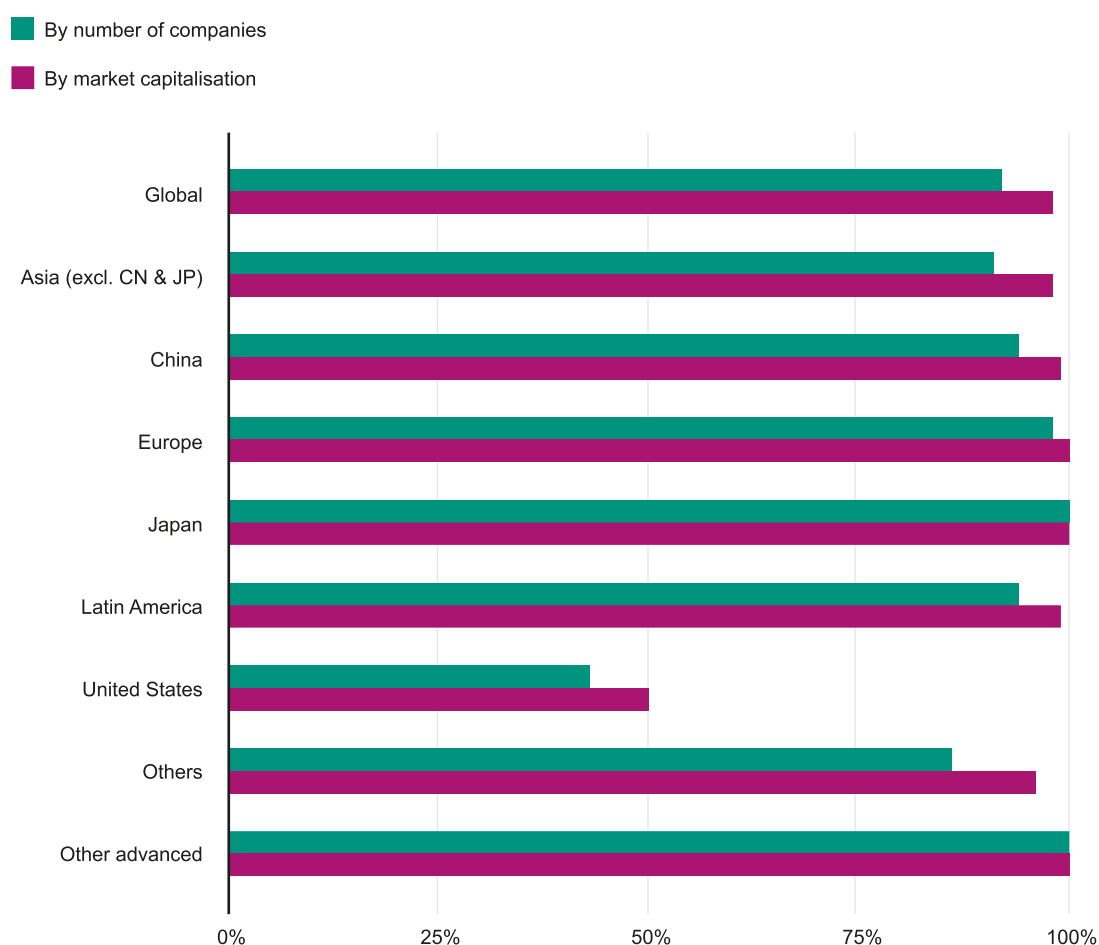
The SOE Guidelines note that the state should expect SOEs to be subject to appropriate sustainability reporting and disclosure requirements, based on consistent, comparable, and reliable information. Information and metrics of increasing importance deal with sustainability-related governance, strategy, risk management and non-financial performance (e.g. greenhouse gas emissions, collective bargaining coverage). This information and these metrics are important for strengthening the accountability of SOE boards and management on sustainability matters and in enabling the state to act as an informed owner based on a clearer picture of SOEs' performance (OECD, 2024^[1]).

The SOE Guidelines add that sustainability reporting and disclosure should be aligned with high-quality internationally recognised standards that facilitate the consistency and comparability of sustainability-related disclosure across markets, jurisdictions, and companies. SOEs' reporting and disclosure of sustainability-related information can support the state in tracking its progress towards sustainability and climate commitments (OECD, 2024^[1]).

A growing number of listed SOEs are disclosing sustainability-related metrics. Providing comparable, material information on an enterprise's exposure to sustainability risks and opportunities reduces information asymmetries in equity and debt markets. It also allows investors to fulfil their shareholder rights and debtholders to make informed decisions, facilitating market efficiency.

Listed SOEs can play an important role in sustainability disclosure. In a sample of 479 listed SOEs, 441 disclosed sustainability-related information in 2022, representing 98% of the market capitalisation of all SOEs in the sample (Figure 5.3) (OECD, 2024^[2]).

Figure 5.3. Disclosure of sustainability-related information by listed SOEs in 2022



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan.

Source: OECD Corporate Sustainability dataset, Bloomberg.

While the disclosure of sustainability-related information is often conducted on a voluntary basis, some jurisdictions have started enforcing mandatory corporate sustainability reporting. In the EU, for example, large and listed companies are subject to reporting according to the European Sustainability Reporting Standards under the Corporate Sustainability Reporting Directive (CSRD). The UK Sustainability

Disclosure Standards (SDS) are a national framework for sustainability disclosure, though the regulatory framework is still being developed so enforcement is limited.

Table 5.3. Selection of international sustainability reporting frameworks

Institution and system	Level of detail	Materiality	Audience	Issues
IFRS Sustainability Standards ¹	Detailed information	Financial materiality	Investors	Initial focus on climate-related issues, but with a plan to cover a great number of ESG issues
GRI Standards	Detailed information	Double materiality	Multiple stakeholders	A great number of ESG issues, with a plan to have a subset of standards in each of 40 sectors
GHG Protocol Corporate Standards ²	Detailed information	-4	-4	GHG emissions
CDP questionnaires ³	Detailed information	-5	Investors and customers	Climate change, forests and water security
CDSB Framework ⁴	Principles-based	Financially material and relevant	Investors	Environmental information

Notes:

1. IFRS Foundation announced in November 2021 the formation of the International Sustainability Standards Board (ISSB), which will sit alongside the International Accounting Standards Board (IASB), to set IFRS Sustainability Disclosure Standards. IFRS Foundation's recently amended constitution provides that IFRS Sustainability Disclosure Standards "are intended to result in the provision of high-quality, transparent and comparable information [...] in sustainability disclosures that is useful to investors and other participants in the world's capital markets in making economic decisions" (item 2.a). SASB Standards Board and Integrated Reporting Framework Board (<IR> Framework Board) merged in June 2021. Currently, both standard-setting boards are supervised by a newly created organisation called Value Reporting Foundation Board (VRF). In November 2021, the VRF committed to consolidate into the recently created ISSB by June 2022.

2. GHG Protocol's corporate accounting and reporting standard provides requirements and guidance for companies preparing a corporate-level GHG emissions inventory. It does not adopt a materiality concept, and other ESG reporting frameworks and standards will typically either require or allow GHG emissions to be disclosed according to GHG Protocol's standard. In this standard, GHG emissions are classified under three categories: Scope 1 (direct emissions from a company's own operations); Scope 2 (emissions from purchased or acquired electricity, steam, heat and cooling); Scope 3 (the entire chain emissions impact from the goods the company purchases to the products it sells).

3. CDP's questionnaires would not be considered a reporting framework or standard in the traditional sense, but the institution offers a widely used system for companies to answer to any of the following questionnaires: Climate Change; Forests; Water Security. The questionnaires are meant to be disclosed to (i) investors or to (ii) customers interested in assessing the environmental impact of their supply chain. Corporate management is not supposed to make a materiality assessment of the information to disclose, because CDP offers a set of questions by economic sector and companies have strong incentives to answer all of them in order to receive better scorings calculated by CDP's system. Questionnaires are shortened only for companies with an annual revenue of less than EUR/USD 250 million and corporates answering the questionnaire for the first time. CDP provides the Secretariat for CDSB. In November 2021, the CDSB committed to consolidate into the recently created ISSB by June 2022.

4. According to the CDSB Framework, environmental information should be disclosed if financially material or relevant. "Relevant" in this context would be information that might be financially material at some point, while the link between the information and future cash flows is not evident. In either case, GHG emissions shall be reported in all cases regardless of management's assessment of their materiality or relevance (CDSB, 2019).

Source: OECD (2022^[4]), Climate Change and Corporate Governance, Corporate Governance, OECD Publishing, Paris, <https://doi.org/10.1787/272d85c3-en>, and OECD (2022^[3]), "Climate change and low-carbon transition policies in state-owned enterprises", OECD Business and Finance Policy Papers, No. 05, OECD Publishing, Paris, <https://doi.org/10.1787/e3f7346c-en>.

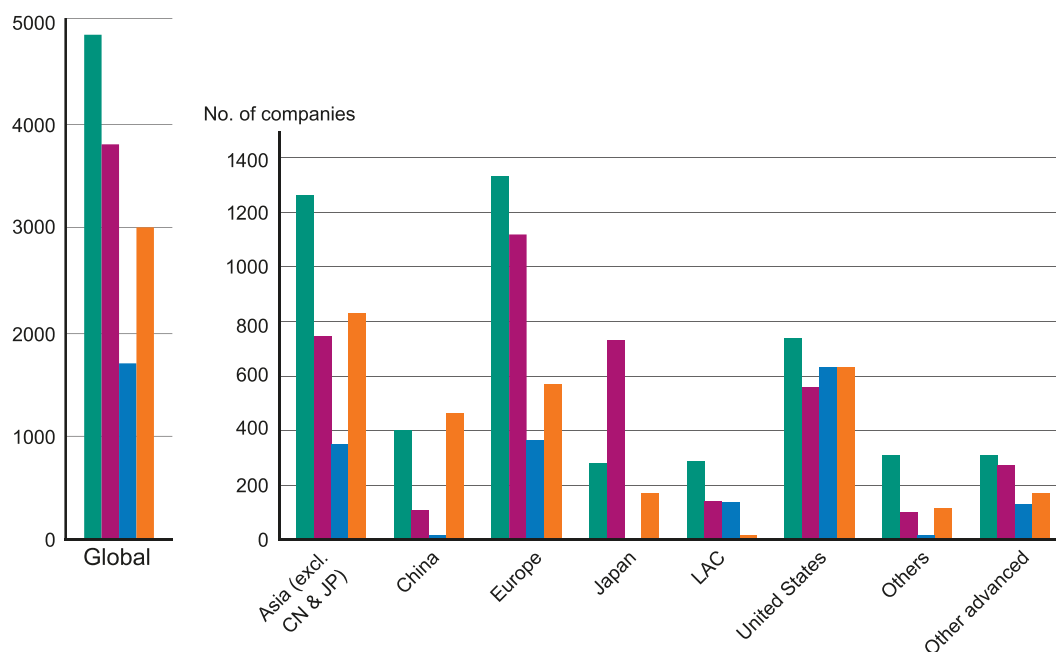
Besides national sustainability and disclosure standards, there is also a range of international frameworks designed by private or public sector entities. A number of them have served as a benchmark to design national frameworks and are implemented by enterprises on a voluntary basis. However, consistency between these international frameworks is a challenge and calls for improved co-ordination. A notable example is the International Sustainability Standards Board (ISSB) under the IFRS Foundation, which is tasked with creating the global baseline for sustainability disclosure, aligning the IFRS Integrated Reporting Framework and Sustainability Accounting Standards Board (SASB) standards (Table 5.3).

In 2023, listed companies primarily adopted the Global Reporting Standards and the TCFD as the preferred framework for sustainability-related disclosures (Figure 5.4). This trend applies across all regions and remains consistent when disclosure is measured by number of companies, as well as by market capitalisation. Globally, larger listed companies appear to primarily implement the Global Reporting Initiative (GRI) standards or the TCFD, while smaller firms tend to implement the SASB standards or other frameworks.

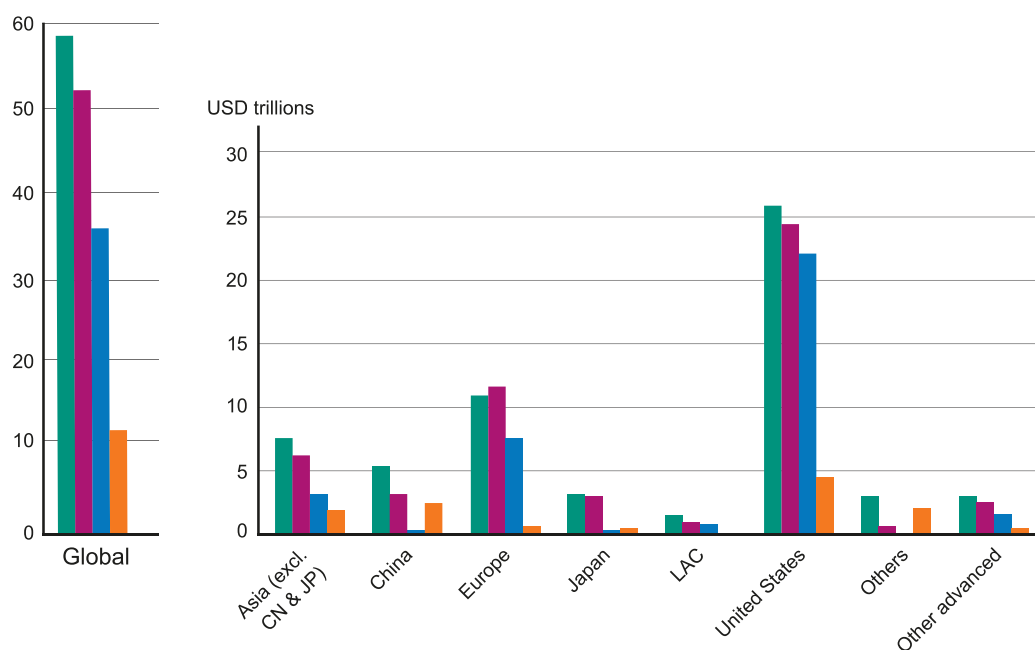
Figure 5.4. Use of sustainability standards by listed companies in 2022

■ GRI ■ TCFD ■ SASB ■ Others

By number of companies



By market capitalisation



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan. LAC = Latin America and the Caribbean.

Source: OECD Corporate Sustainability dataset, LSEG, Bloomberg.

5.3.1. Non-financial sustainability disclosure practices of SOEs

According to the SOE Guidelines, state owners should expect SOEs to adhere to suitable sustainability reporting and disclosure standards founded on consistent, comparable, and reliable information (OECD, 2024^[1]). The disclosure of sustainability-related information typically encompasses governance, strategy, risk management, and other non-financial aspects, such as sustainability metrics like greenhouse gas (GHG) emissions.

Most jurisdictions surveyed either mandate or strongly encourage climate-related non-financial reporting if it is deemed material to the SOE. Often, such requirements are part of a broader framework rather than specific laws or regulations tailored for SOEs. When preparing non-financial reports, enterprises might refer to national, EU, international, or other non-binding guidelines for reporting on non-financial information. There is a small number of jurisdictions that have more rigorous expectations set for SOEs. In Sweden, for example, expectations regarding climate disclosure are more stringent for SOEs (Box 5.2).

Box 5.2. Sweden's State Ownership Policy and principles for state-owned enterprises 2020

Companies in Sweden with over 250 employees are required to submit non-financial reports including climate and sustainability information. This obligation applies to all SOEs regardless of size. In Sweden, majority state-owned enterprises are also expected to produce a separate sustainability report which complements existing disclosure requirements that SOEs are exposed to.

Sweden's ownership policy references sustainability guidelines

Sweden's state ownership policy includes expectations regarding sustainable business practices for SOEs. It assesses the following principles and guidelines as material to the operation of SOEs:

- The Ten Principles of the UN Global Compact.
- The UN Guiding Principles on Business and Human Rights.
- The OECD Guidelines for Multinational Enterprises on Responsible Business Conduct.

Section 5.1 on sustainable business encourages, among others:

- A sound and healthy work environment, respect for human rights, including the rights of children, and good and decent working conditions. Enterprises also have to take account of diversity aspects and foster an inclusive culture.
- Environmentally sustainable development with less impact on the climate and environment.
- Identification, assessment, management and transparent reporting of climate-related financial risks and opportunities in operations.

Source: Sweden's State Ownership Policy and principles for state-owned enterprises (2020^[5]), <https://www.government.se/contentassets/aef85fbd7beb4319a70af9a30d6723a1/state-ownership-policy-2020.pdf>.

Among the jurisdictions surveyed, the majority recommends or requires the disclosure of climate-related information as part of an aggregate report covering a portfolio of SOEs (Table 5.4). A small sub-section of jurisdictions requires the disclosure both in SOE-specific reports and aggregate reports.

Table 5.4. Coverage of climate-related information regarding SOEs

Jurisdiction	Aggregate/ownership entity reports	Available through individual SOE reports
Australia		Introduced
Brazil	Introduced	
Bulgaria		Introduced
Chile		Introduced
Colombia	Introduced	Partially introduced
Croatia		Introduced
Estonia	Partially introduced	Partially introduced
Finland	Introduced	Introduced
France	Introduced	Introduced
Germany	Introduced	Introduced
Greece	Introduced	
Hungary		
Iceland	Introduced	Introduced
Ireland	Introduced	Introduced
Japan		Partially introduced
Latvia		Partially introduced
Lithuania		Introduced
Mexico		Introduced
Netherlands	Introduced	Introduced
Norway	Introduced	Introduced
Peru		Introduced
Philippines	Partially introduced	Partially introduced
Sweden	Introduced	Introduced
Switzerland	Introduced	Introduced
United States	NA	

Source: OECD (2022^[3]), *Climate change and low-carbon transition policies in state-owned enterprises*, <https://doi.org/10.1787/e3f7346c-en>.

5.3.2. Greenhouse gas emission disclosure by listed SOEs

The SOE Guidelines suggest that sound reporting and disclosure standards for SOEs on sustainability includes information on sustainability-related metrics, such as greenhouse gas emissions. The disclosure of greenhouse gas emissions is of increasing relevance and importance for shareholders, investors and stakeholders, including the general public. Box 5.3 explains the most widely implemented greenhouse gas emission standard, the GHG Protocol, and its emission scopes.

Although SOEs commonly disclose sustainability-related information, they often underperform in reporting GHG emissions. Among the 479 listed SOEs in the sample mentioned before, only 23% disclose scope 3 GHG emissions, representing 27% of total market capitalisation. By contrast, nearly 70% of the market capitalisation of all listed companies discloses scope 3 emissions (Figure 5.5).

Box 5.3. Greenhouse Gas Protocol standards

What is the GHG Protocol?

The GHG Protocol establishes a comprehensive and standardised framework to measure and manage greenhouse gas emissions from private and public sector operations, value chains and mitigation actions. It further provides tools and online training that supports jurisdictions, private sector and non-governmental organisations to track progress towards climate ambitions.

Scope 1 – direct emissions

Scope 1 emissions cover direct emissions from sources owned or controlled by a company, such as on-site energy use, including natural gas and fuel, as well as emissions from combustion in owned boilers, furnaces, and fleet vehicles. This also includes process emissions from industrial activities and on-site manufacturing.

Scope 2 – indirect emissions

Scope 2 emissions account for a significant portion of global greenhouse gas emissions, offering a key opportunity for reduction efforts. These emissions include those generated from purchased energy, such as electricity, steam, heat, or cooling, produced off-site and used by the reporting company. For instance, electricity bought from a utility company falls into this category. On the other hand, if a company generates its energy on-site or if energy suppliers have their own generation facilities, emissions from this process are classified as direct scope 1 emissions.

Scope 3 – indirect value chain emissions

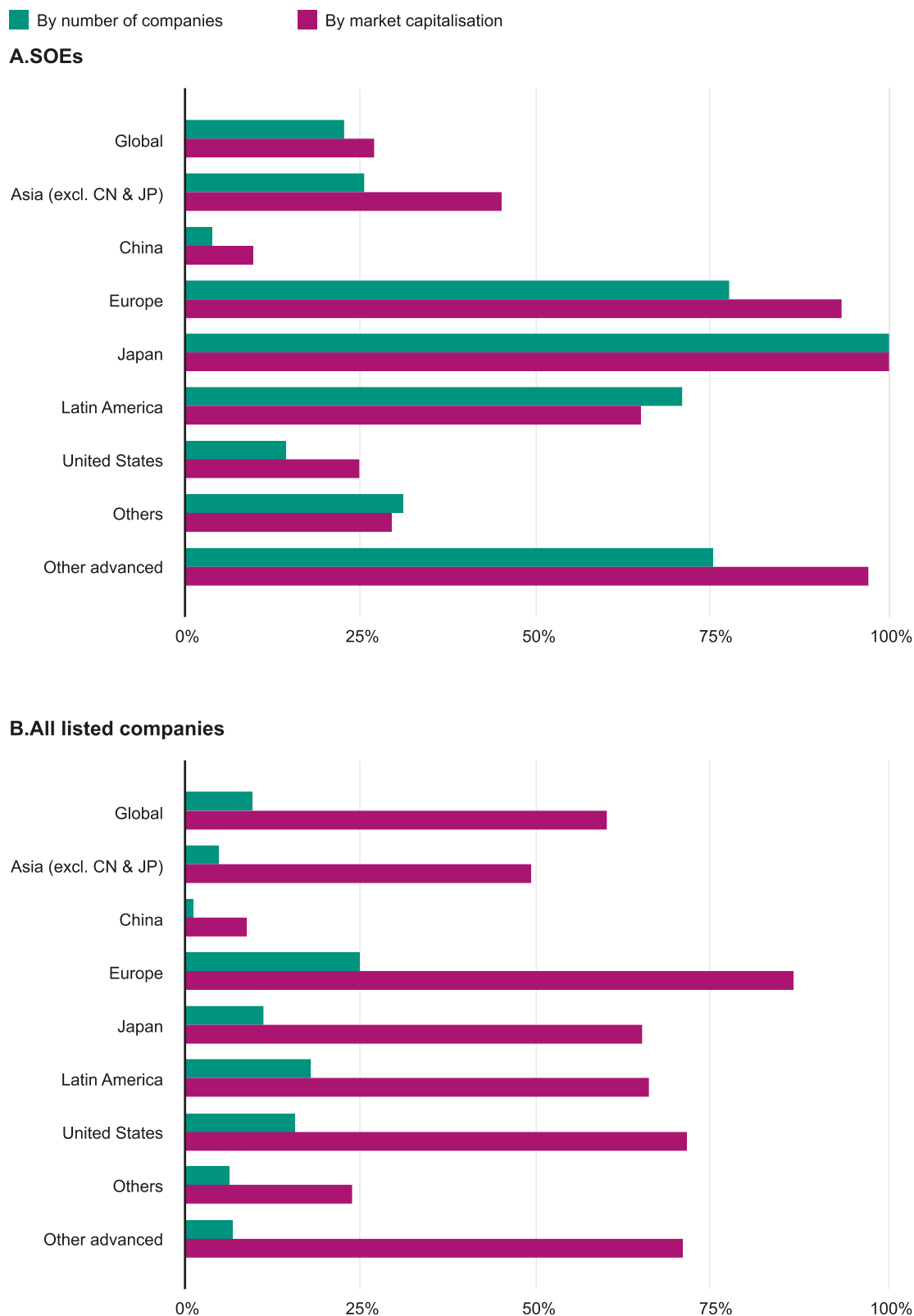
Scope 3 emissions encompass all emissions occurring throughout a reporting company's value chain. These emissions stem from activities impacting assets not owned or controlled by the reporting organisation. Despite being beyond the company's direct control, they often constitute a significant portion of its greenhouse gas inventory. GHG Protocol further divides scope 3 emissions, based on financial transactions, into upstream and downstream emissions across 15 categories.

Source: GHG Protocol (2024^[6]) <https://ghgprotocol.org/standards>.

A similar pattern is observed for scope 1 and 2 greenhouse gas emissions, yet to a lesser extent. By number, half of listed SOEs in the sample disclose scope 1 and 2 greenhouse gas emissions (i.e. emissions that stem directly from operations or purchases of polluting commodities and materials). They represent 72% of market capitalisation in the sample of SOEs. When considering all listed enterprises, those that disclose scope 1 and 2 emissions account for nearly 80% of market capitalisation.

Regarding GHG emission reduction targets, some interesting patterns emerge from Figure 5.6 when comparing listed SOEs to listed companies in general. Globally, more SOEs disclose GHG targets than listed companies overall. However, when measured by market capitalisation, the share is higher for listed companies. This suggests that smaller SOEs (in terms of market capitalisation) are more likely to disclose GHG targets, a trend that is even more pronounced in certain regions, such as Japan and Europe.

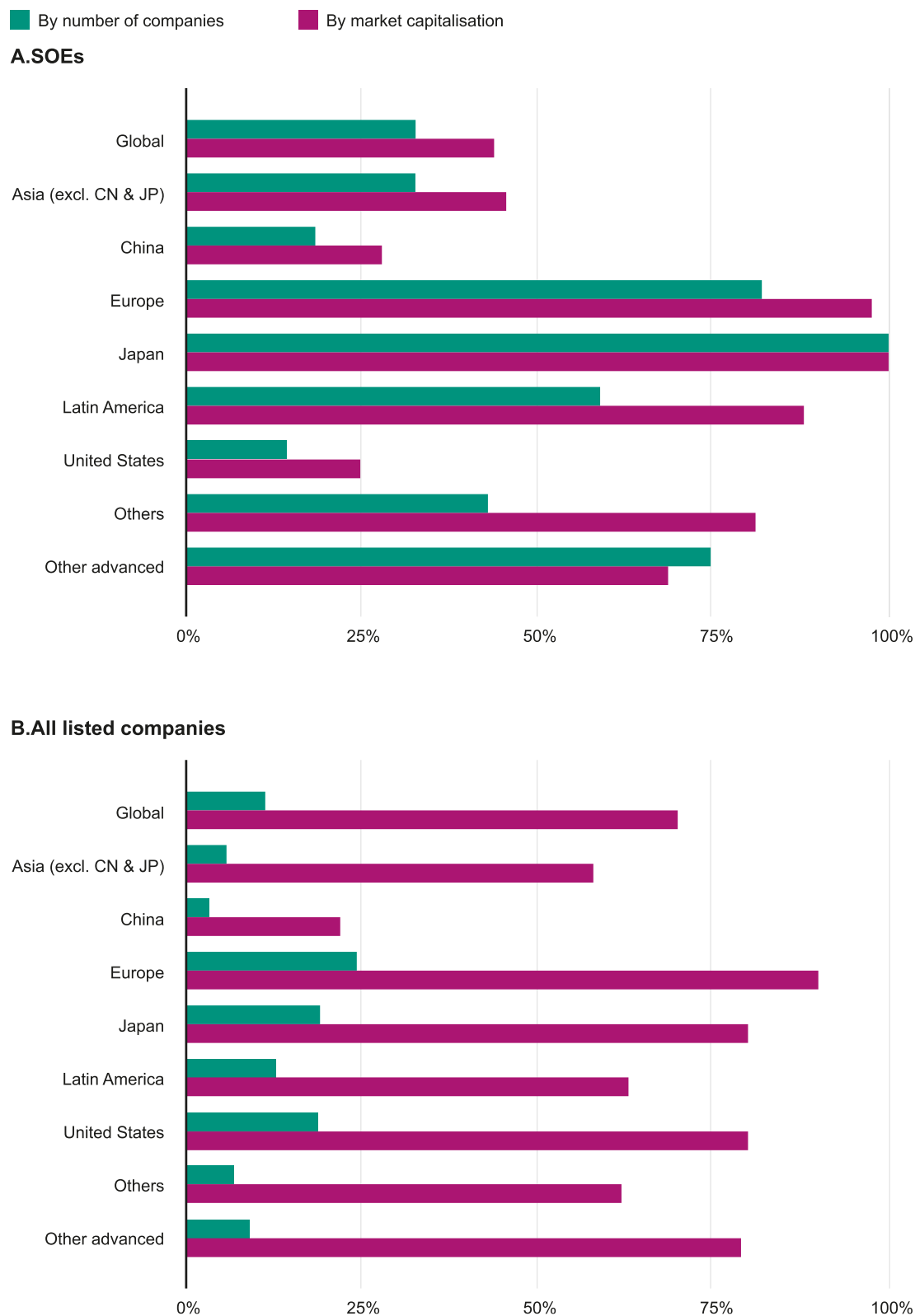
Figure 5.5. Disclosure of scope 3 GHG emissions by listed SOEs in 2022



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan.

Source: Panel A - OECD Corporate Sustainability dataset, LSEG, Bloomberg. Panel B - OECD (2024^[2]), *Global Corporate Sustainability Report 2024*, <https://doi.org/10.1787/8416b635-en>.

Figure 5.6. Disclosure of GHG emission reduction targets by listed SOEs



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan.

Source: Panel A - OECD Corporate Sustainability dataset, Bloomberg. Panel B - OECD (2024^[2]), *Global Corporate Sustainability Report 2024*, <https://doi.org/10.1787/8416b635-en>.

5.4. Stakeholder engagement and responsible business conduct

The SOE Guidelines posit that the state as an owner should set high expectations for SOEs' observance of responsible business conduct (RBC) standards together with effective mechanisms for their implementation, and should fully recognise SOEs' responsibilities towards stakeholders. Such expectations should be publicly disclosed in a clear and transparent manner (OECD, 2024^[1]).

In line with this, SOEs should observe RBC standards across business operations and along the entire supply chain, including with regard to human rights, employment and industrial relations, the environment, anti-corruption, consumer interests, science, technology and innovation, competition and taxation. The *OECD Guidelines for Multinational Enterprises on Responsible Business Conduct* (MNE Guidelines) provide a set of recommendations by governments with the aim to encourage positive contributions from enterprises to economic, environmental and social progress, and to minimise adverse impacts that may be associated with a company's operations, products and services (OECD, 2023c). Other international instruments in this area include the *ILO Declaration on Fundamental Principles and Rights at Work*; the *ILO Tripartite Declaration of Principles Concerning Multinational Enterprises and Social Policy*; and the *UN Guiding Principles on Business and Human Rights*.

To mitigate the risk of corruption in the state-owned sector and limit its impact on other sustainability-related risks (e.g. human rights risks, environmental risks), state owners and SOEs should implement the *OECD Guidelines on Anti-Corruption and Integrity in State-Owned Enterprises* (ACI Guidelines). These ACI Guidelines focus on actions that state ownership entities can take to maximise the likelihood that SOEs and their staff act with integrity and insulate themselves and their business from undue influence. The ACI Guidelines' recommendation V on accountability promotes the state's and SOEs' engagement with stakeholders to promote integrity.

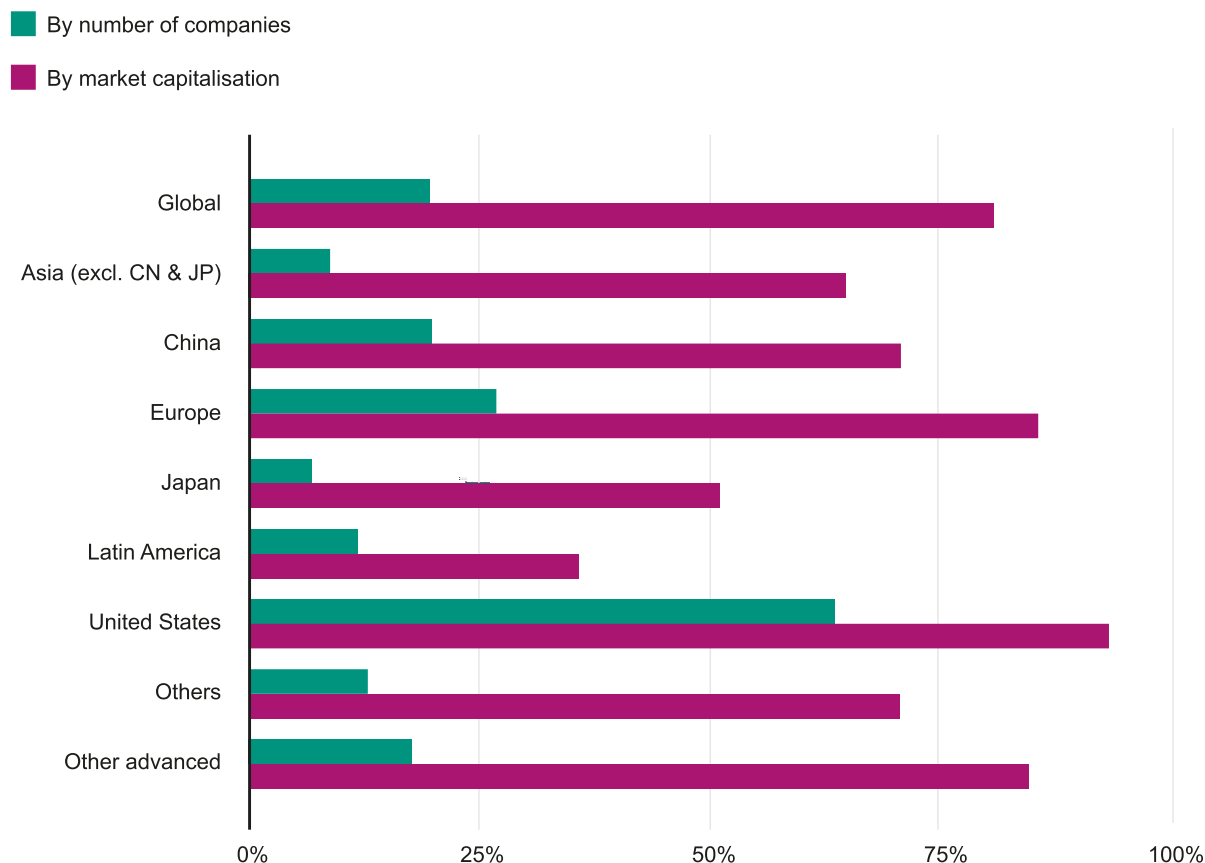
When implementing RBC instruments such as the MNE Guidelines, SOEs, like other companies, should utilise tools such as risk-based due diligence, which is a practical process to: 1) Embed RBC into a company's policies and management systems; 2) Identify and assess actual and potential adverse impacts associated with the enterprise's operations, products and services; 3) Cease, prevent and mitigate adverse impacts; 4) Track the implementation and results; 5) Communicate how impacts are addressed; 6) Provide for or co-operate in remediation when appropriate (OECD, 2018^[7]). The OECD has developed a series of sectoral guidance for due diligence on RBC, which covers specific considerations for sectors where SOEs have an important presence – notably extractive industries, minerals, agriculture and the financial sector (guidelines for institutional investors).

All Adherents to the MNE Guidelines – all OECD member countries and 14 other economies - establish a national agency known as the National Contact Point for Responsible Business Conduct (NCPs), which promotes the adoption of RBC practices and due diligence, and handle cases (referred to as “specific instances”) as a non-judicial grievance mechanism related to the non-observance of the MNE Guidelines.

Stakeholder interests and engagement is another important element in the new sustainability chapter of the SOE Guidelines. In this regard, the SOE Guidelines establish that state ownership entities and SOEs should acknowledge the importance of stakeholder relations for building sustainable, financially sound, and responsible enterprises. It is therefore important that the ownership entity and SOEs recognise the impact that an active stakeholder policy may have on the enterprise's sustainability and resilience as well as in the attainment of its long-term strategic goals and reputation. Furthermore, the legal framework should be transparent and enable stakeholders to communicate and obtain redress for the violation of their rights at a reasonable cost and without excessive delay. In addition, whistleblowers, individuals or organisations that report legal misconduct (e.g. regarding social or environmental regulations, corruption, human rights) of either the state or SOEs should be protected by law (OECD, 2024^[1]).

Figure 5.7 provides an overview of disclosure policies on shareholder engagement for a selected number of listed firms, including SOEs. It shows that this is a common practice, with 81% of companies by market capitalisation performing such disclosure, with particularly high levels in the United States, Europe and other advanced markets, and lower levels in Latin America.

Figure 5.7. Policies on shareholder engagement in 2022



Note: Asia (excl. CN & JP) = Asia, excluding China and Japan.

Source: OECD Corporate Sustainability dataset, LSEG, Bloomberg.

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Annex A. Assessment methodology and sample of jurisdictions

Sources of data and information

Information in this publication draws on data collected by the OECD Secretariat from 2022 to 2024. Some of the information was collected in earlier stocktaking work, which was updated through a data verification procedure in 2024. The data verification procedure allowed jurisdictions to review and comment on information available. If necessary and justified with evidence and reform efforts, jurisdiction-specific data was updated to reflect the most recent national *de jure* and, where possible, *de facto* SOE landscape.

In total, 59 jurisdictions were surveyed in the data verification exercise, building on information collected through prior surveys undertaken to support past OECD publications: Argentina, Australia, Austria, Azerbaijan, Belgium, Brazil, Bulgaria, Canada, Chile, China (People's Republic of), Colombia, Costa Rica, Croatia, Czechia, Denmark, Estonia, Finland, France, Germany, Greece, Hungary, Iceland, India, Indonesia, Ireland, Israel, Italy, Japan, Kazakhstan, Korea, Latvia, Lithuania, Luxembourg, Malaysia, Mexico, Morocco, Netherlands, New Zealand, Norway, Peru, Philippines, Poland, Portugal, Romania, Saudi Arabia, Slovak Republic, Slovenia, South Africa, Spain, Sweden, Switzerland, Thailand, Tunisia, Türkiye, Ukraine, United Kingdom, United States, Uzbekistan, and Viet Nam. The sample size per question or indicator, however, varies depending on the availability of information.

In addition, this publication benefits from OECD work on competition and market regulation conducted in the context of the 2023 OECD Product Market Regulation (PMR) indicators, which aim to measure regulatory barriers to firm entry and competition. A focus is placed on information available that aligns with recommended outcomes as provided in Chapter III of the *OECD Guidelines on Corporate Governance of SOEs* covering “State-owned enterprises in the marketplace”.

This report includes a benchmarking exercise of national corporate governance frameworks on *disclosure and transparency practices* of SOEs, and the *responsibility of SOE board of directors*. The exercise benchmarks jurisdictions against the SOE Guidelines in those areas, covering all EU Member States and several OECD member countries (Australia, Canada, Chile, Colombia, Costa Rica, Israel, Korea, New Zealand, Norway, Switzerland, Türkiye, United Kingdom), and non-member economies (Brazil, Philippines, Ukraine). The information received was assessed in line with a methodology developed by the OECD to support a comparative analysis across the surveyed jurisdictions. The methodology aims to benchmark the level of alignment of national practices with best practices. The level of alignment is evaluated for the policy, regulatory and legislative environment, as well as actual practices bearing on the governance of SOEs. The data from the surveyed jurisdictions is based on self-reporting and is complemented by desk research where necessary. Some self-reported answer items, evidence permitting, were changed by the OECD Secretariat to reflect the national situation as accurately as possible.

The purpose of this methodology is to allow for an “at a glance” approach to present comparative information on national practices of state ownership against best practices advocated by the SOE Guidelines across reporting jurisdictions. The benchmarking exercise further strengthens and deepens the knowledge of the Working Party on State Ownership and Privatisation Practices of national practices and serves as input to future comparative reports that the Working Party may develop. The methodology allows

for visual representation of large quantities of qualitative information by way of a heatmap.¹ In this way, the comparisons can support implementation of the SOE Guidelines as the internationally agreed standard with recommendations to governments on how to ensure that SOEs operate efficiently, transparently, and in an accountable manner.

Classification of country assessments

The methodology benchmarks national practices into four categories in order of diminishing level of alignment: (1) Fully aligned with best practice; (2) Fully aligned across parts of the SOE portfolio; (3) Partially aligned with best practice; and (4) Not aligned. The description of the four categories is as follows:

- **Fully aligned:** Implementation of the best practice through legislation, corporate governance codes, and/or company by-laws, to the effect that the national practices of SOEs match the outcomes recommended by the SOE Guidelines and are comparable to those applicable to private listed companies. De facto implementation requires evidence of SOE practices, which is disclosed and/or demonstrated.
- **Aligned across parts of the SOE portfolio:** Implementation of the best practice, as suggested in the category above, however only applicable to a materially smaller subgroup of the portfolio of SOEs. Such a subgroup can be listed SOEs or selected large SOEs, for example. De-facto implementation requires evidence of SOE practices, which is disclosed and/or demonstrated.
- **Partially aligned:** Evidence of efforts to implement the best practice, which goes in the direction of the SOE Guidelines' recommendations. However, it achieves an outcome that is materially different from the recommended outcome. For example, a material difference between the full outcome recommended in the 2015 SOE Guidelines and those of national practices would be that national practices for SOEs are weaker than the comparable requirements for listed companies.
- **Not aligned:** No evidence of efforts, *de jure* or *de facto*, in the national practices that would lead towards the recommended outcome.

The methodology uses two concepts to place countries and their SOE practices into categories explained above. The concept of materiality to determine information material to the achievement of the category; while the concept of equivalence is used to ensure that diverse national practices that achieve the same outcomes are placed as peers in the same category. In this way the methodology is in line with the spirit the SOE Guidelines as an outcomes-based instrument. In other words, "it must be recognised that no one size fits all and different legal and administrative traditions may call for different arrangements. The SOE Guidelines are therefore outcomes-based, meaning that it is the role of governments to decide how to achieve the outcomes that they recommend."

As national practices differ, the methodology uses the concept of equivalence to assess them. The concept of equivalence is used to compare national practices placed within the same category based on the comparable outcomes they achieve irrespective of the way they achieve it. It thus inserts an outcome-focused component into the assessment methodology. For example, a jurisdiction may achieve the same disclosure and board practice standards through means of respecting non-binding (or "comply or explain") codes as one that implements binding legislature.

To differentiate between national practices and their level of implementation of the SOE Guidelines, the methodology uses the concept of materiality in differences. The principle of materiality is used to ensure objectivity and consistency. A material difference is one where implementation explicitly departs from the SOE Guidelines in terms of outcomes. The visual below gives a short explanation of the various categories a respondent's answer to a survey question may qualify under.

Figure A A.1. Classification of national practices

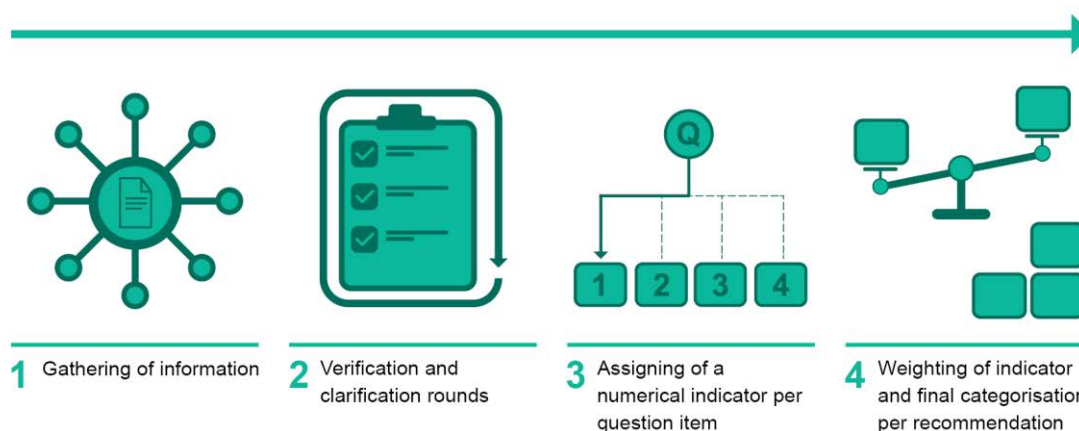


The information collection and assessment process

The methodology draws on information from a sample of OECD members and participants of the Working Party of State Ownership and Privatisation Practices who were surveyed as part of a stock-taking exercise in collaboration with the European Commission's Directorate-General for Economic and Financial Affairs (DG ECFIN). This information serves as the baseline of the assessment. Further to the information gathering process, Secretariat assessments were based on the methodology of the benchmarking exercise outlined in this Annex. To assess country practices and how they relate to applicable legal or regulatory frameworks, the Secretariat allocated a numerical indicator, representative of a category of alignment with the SOE Guidelines, to each of the responses to the 62 questions covered by the original questionnaire distributed to the sample of countries.

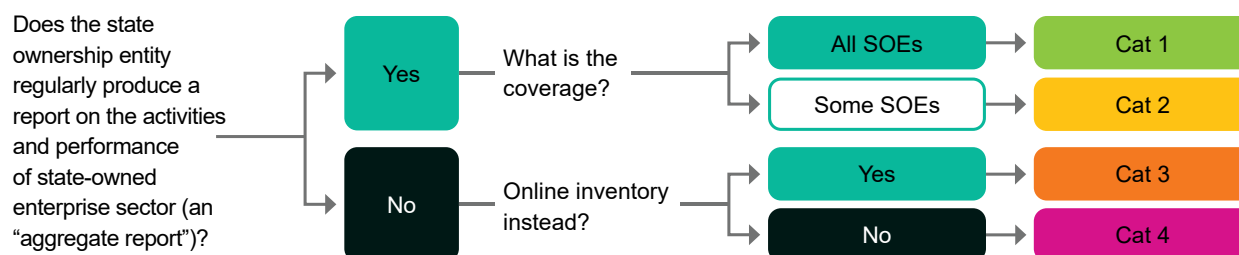
Each question of the survey draws a connection to each of the Recommendations or sub-Recommendation under Chapters of the SOE Guidelines dealing with *disclosure and transparency practices* of SOEs, and the *responsibility of SOE board of directors*. Assigning a numerical indicator to each question enables to weigh the assessed categories across each Recommendation and sub-Recommendation. The results of the Secretariat assessments thus detail an assigned category per recommendation, which is underpinned by the assessment of multiple question items latent to it. The figure below summarises the process of categorisation and weighing to arrive at a given category.

Figure A A.2. Process of data gathering and processing to arrive at a final categorisation of country practices



The way in which the numerical indicators and categories are assigned differs slightly depending on the question item, but always apply the categorisation detailed above. For example, to assess responses to question 21, which asked about whether the ownership entity regularly produces a report on the activities and performance of the state-owned enterprise sector (an “aggregate report”), the following assessment procedure was considered to arrive at the final numerical category (Figure A A.3).

Figure A A.3. Assessment process example for question 21 of the questionnaire



Note: Category 3 is assigned if the online inventory only has limited information.

Survey design and data collection

The survey used to collect data is extensive and constructed from 62 multiple-choice and open-ended questions. Some of the questions are lengthy and rich in detail. As a result, answers provided by authorities occasionally overlook aspects of the question item or were not answered in a way that easily offered comparability across jurisdictions. The survey's questions also necessitated the quoting of legal or other available sources, though the scope of application of said legal or other types of requirements often varies across the overall population of SOEs in a country, and as such the policy, legal or regulatory frameworks quoted must be understood to sometimes cover only parts of the SOE portfolio.

The implementation of the assessment methodology requires sufficient information to identify the correct category a jurisdiction may fall under. In total, information on 41 jurisdictions has been collected for the comparative heatmaps featured in Tables 3.1 and 4.1. In certain instances, survey responses were incomplete and could only be supplemented if information was readily available through desk research available to the Secretariat. Therefore, the stock of high-quality and analytical information available varies across survey jurisdictions. The Secretariat thus invited jurisdictions to complement any missing information that may affect the final categorisation of country practices in April 2023, October 2023, and March 2024.

As part of the assessment, information was sourced from self-reported information by the relevant authorities. This was complemented (when available) by information sourced from various OECD information gathering exercises to verify and expand the knowledge base on national practices. Due to differences of interpretation of OECD questionnaires, sometimes, the answers provided did not fully align with the Secretariat's assessment of individual country practices. Where the Secretariat assessment may differ from responses provided, jurisdictions were invited to provide additional clarifications to support an informed assessment of national practices. It should, however, be noted that due to limited resources, a third-party verification of the data was not possible.

Secretariat assessments

Every question of the survey fed into the overall assessment of the relevant SOE Guidelines' recommendations. Results of the question-level assessments were then aggregated to get to an assessment result on the recommendation-level. The aggregation exercise required assigning a numerical score to each category of alignment, which allowed to compute the average result per recommendation. This means that the denoted category of alignment per recommendation is a direct outcome of the weighting exercise. Assessments of a given recommendation are thus supported by several survey questions, however, the amount of questions indicating a given recommendation varies.

The data gathering exercise resulted in an extensive amount of survey response data, clarifications, and additional sources used to form a holistic information base. As mentioned before, the surveyed jurisdictions

follow different legal, regulatory and administrative traditions, and employ different ownership arrangements and frameworks that shape the institutional landscape and context for SOEs. For this reason, comparisons across jurisdictions are challenging, as comparisons will not fully reflect diverse systems and approaches to corporate governance of the state-owned sector. While the principle of equivalence in outcomes ensures that different approaches are deemed equal in their alignment with a particular outcome, assessing pathways towards such an outcome also requires nuance and consideration of these differences of approaches across jurisdictions.

Note

¹ Such representations are widely utilised in the literature, especially related to monitoring of international practices as in the following two examples: (i) OECD / FATF uses a heatmap to illustrate the consolidated assessment of its country members implementing the FATF Recommendations (FATF, 2024^[31]); while (ii) the BIS uses a heatmap to illustrate its monitoring of country adoption of the Basel III standards (BIS, 2024^[32]).

Annex B. Additional data and information

Table A B.1. SOEs in the Fortune Global 500 list by industry

Industry	Revenues (USD bn)	Profits (USD bn)	Assets (USD bn)	Employees
Aerospace & Defence	363	14	606	1 267 391
Banks: Commercial and Savings	969	192	2 841	2 182 140
Building Materials, Glass	90	1	146	270 494
Chemicals	211	0	251	265 641
Diversified Financials	535	32	9 662	746 110
Electronics, Electrical Equip.	40	(1)	61	184 940
Energy	871	24	1 418	1 059 332
Engineering & Construction	1 076	12	1 888	1 728 433
Industrial Machinery	122	1	168	383 576
Insurance: Life, Health (Mutual)	39	0	183	68 386
Insurance: Life, Health (stock)	366	16	3 956	633 057
Insurance: Property and Casualty (Stock)	92	4	219	177 852
Mail, Package, and Freight Delivery	299	71	3 385	1 842 664
Metals	747	9	747	1 045 591
Mining, Crude-Oil Production	1 571	204	2 087	2 081 941
Motor Vehicles & Parts	411	8	429	623 412
Petroleum Refining	1 846	113	1 884	1 881 316
Pharmaceuticals	35	0	11	35 057
Railroads	103	2	223	600 407
Real estate	68	1	265	118 007
Shipping	145	9	299	312 290
Telecommunications	497	35	1 086	1 634 846
Trading	455	3	305	206 512
Transportation and Logistics	81	1	314	95 854
Utilities	1 177	(25)	2 030	1 556 097
Wholesalers: Health Care	94	1	82	201 508
Total	12 303	730	53 545	21 202 854

Note: Fiscal years ending before March 2023.

Source: Fortune, Global 500, consulted in January 2024.

Table A B.2. Disclosure requirements of SOEs

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Argentina							Yes			
Australia	Yes	No	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes, partially (only state guarantees)	Non-arm's length transactions with related parties	Yes, but PPPs between the government and SOEs are rare in practice	Yes, some information
Austria	Yes, partially	Yes, as called for	SOEs do not disclose, but control structures are published on the company register	Board remuneration is disclosed.	No	Some SOEs are required to disclose material risks	Yes	Shareholdings of SOEs in other limited liability company are published in the company register	No	Yes, some SOEs
Azerbaijan	Yes, partially		Some SOEs are required to disclose information on control structures	Some SOEs	Some SOEs	Some SOEs are required to disclose material risks	Yes, partially (those which comply with IFRS)	Non-arm's length transactions with related parties	No	No
Belgium	Yes	No	No	Board remuneration is disclosed.	Some SOEs	Some SOEs are required to disclose material risks	No	Non-arm's length transactions with related parties	No	No
Brazil	Yes	No	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, some SOEs

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Bulgaria	Yes, partially	Yes, as called for	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed.	All SOEs	Large SOEs are required to disclose material risks	Yes, partially (large SOEs)	Only large SOEs are required to report non-arm's length transactions with related parties	Yes, via a national register	Yes, all SOEs
Canada	No	Yes, as called for	Yes, SOEs are required to disclose this information	Board remuneration is disclosed (for some SOEs)	No	All SOEs are required to disclose material risks	Yes, partially (those which comply with IFRS)	Non-arm's length transactions with related parties	Yes	No
Chile	No	No	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	No	Non-arm's length transactions with related parties	No	Yes
Colombia	Yes	No	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Some SOEs are required to report non-arm's length transactions with related parties	No	No
Costa Rica	Yes	Yes	Yes, SOEs are required to disclose this information	Remuneration policies are disclosed.	Some SOEs (financial sector)	All SOEs are required to disclose material risks	Yes, partially (those which comply with IFRS)	Some SOEs are required to report non-arm's length transactions with related parties	No	Yes, some information
Croatia	No	Yes	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed (for listed SOEs).	All SOEs	Large SOEs are required to disclose material risks	Yes, partially (only state guarantees)	Only listed SOEs are required to report non-arm's length transactions with related parties	Yes, via the ministry	Yes, some SOEs

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Czechia	Yes	No	Yes, SOEs are required to disclose this information	No	All SOEs	No	Yes, partially (only subsidies)	No	Yes, via a national register	No
Denmark	Yes	No	Unclear	Board remuneration is disclosed	Unclear	Unclear	Unclear	No	Unclear	Unclear
Estonia	Yes	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	All SOEs	Large SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes, but PPPs between the government and SOEs are rare in practice	Yes, some SOEs
Finland	Yes	Yes	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, some SOEs
France	Yes, partially	Yes, as called for	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed (for listed SOEs)	Listed SOEs	All SOEs are required to disclose material risks	Yes (state aid)	Non-arm's length transactions with related parties	No response	Yes, some SOEs (listed and large)
Germany	No	Yes	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Greece	Yes, partially	Yes	No	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	No
Hungary	Yes	Yes	No	Board remuneration is disclosed	No	No	No	Only in certain instances non-arm's length transactions can be disclosed	Yes, via a national register	No
Iceland							Yes			
Ireland	Yes, partially	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes
Israel	No	No	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	No	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	No	Yes
Italy	Yes, partially	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	Listed SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, all SOEs
Japan							Yes			
Korea	Yes	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	All SOEs	All SOEs are required to disclose material risks	Yes, partially (those which comply with IFRS)	Some SOEs are required to report non-arm's length transactions with related parties	No	Yes, some SOEs
Latvia	Yes	Yes, as called for	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	All SOEs	All SOEs are required to disclose material risks	Yes, partially (only subsidies)	Non-arm's length transactions with related parties	Yes	No

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Lithuania	Yes	No	Yes, SOEs are required to disclose this information	Remuneration policies are disclosed	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, some SOEs
Luxembourg	Yes	Yes	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed (for some SOEs)	All SOEs	Large SOEs are required to disclose material risks	No	Only in certain instances non-arm's length transactions can be disclosed.	No	No
Netherlands	Yes, partially	Yes, as called for	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed	All SOEs	All SOEs are required to disclose material risks	Yes, partially (only state guarantees)	Only listed SOEs are required to report non-arm's length transactions with related parties	No	Yes, some SOEs
New Zealand	Yes	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	All SOEs	Listed SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes
Norway	Yes	Yes	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed	All SOEs	Large SOEs are required to disclose material risks	Yes	Large SOEs are required to report all transactions with related parties	Yes, but PPPs between the government and commercial SOEs are rare in practice	Yes, some SOEs
Philippines	Yes	Yes, as called for	No	Board remuneration is disclosed	All SOEs	Some SOEs are required to disclose material risks	Yes, partially (some SOEs)	Some SOEs are required to report non-arm's length transactions with related parties	No	Yes, some SOEs

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Poland	No	No	SOEs do not disclose, but their governing legislature/ charter details control structures	No	SOEs do not disclose, but information is available in register	Large SOEs are required to disclose material risks	Yes, the line ministry discloses such information	Only listed SOEs are required to report non-arm's length transactions with related parties	Yes, via a national register	Yes, some SOEs
Portugal	Yes	Yes	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	Financial SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, some SOEs
Romania	Yes, partially	Yes, as called for	SOEs are required to disclose, but not all SOEs are compliant	Board remuneration is disclosed.	All SOEs, but not all SOEs are compliant	All SOEs are required to disclose material risks, but not all SOEs are compliant	Yes, but not all SOEs are compliant	Non-arm's length transactions with related parties	Yes, but PPPs between the government and SOEs are rare in practice	Yes, some SOEs
Slovak Republic	No	Yes	No	Board remuneration is disclosed (for some SOEs)	All SOEs	All SOEs are required to disclose material risks	Yes	Only listed SOEs are required to report non-arm's length transactions with related parties	Yes	No
Slovenia	Yes	No	Yes, SOEs are required to disclose this information	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Yes, some SOEs
Spain	No	Yes	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed.	Unclear	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	Unclear

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
Sweden	Yes	Yes, as called for	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes, but PPPs between the government and SOEs are rare in practice	Yes, all SOEs
Switzerland	Yes, partially (by large SOEs)	Yes, as called for	No	Board remuneration is disclosed.	All SOEs	No	Yes	Non-arm's length transactions with related parties	Yes	Yes, all SOEs
Thailand	No	No	No	No	All SOEs	No	No	Non-arm's length transactions with related parties	No	No
Türkiye	Yes	Yes, as called for	No	Board remuneration is disclosed.	Some SOEs	No	No	No	No	No
Ukraine	Yes, partially	Yes, as called for	Some SOEs are required to disclose information on control structures	Board remuneration is disclosed (for some SOEs)	Some SOEs	Some SOEs are required to disclose material risks	Yes, partially (those which comply with IFRS)	Non-arm's length transactions with related parties	No	Yes, some SOEs
United Kingdom	Yes	No	SOEs do not disclose, but their governing legislature/ charter details control structures	Board remuneration is disclosed.	All SOEs	All SOEs are required to disclose material risks	Yes	Non-arm's length transactions with related parties	Yes	No

Jurisdiction	Main commercial and non-commercial objectives?	Separation of the accounts?	Information about the control structures?	Board remuneration or remuneration policies?	Composition of their boards?	Material risk factors and their risk management systems?	State guarantees and/or subsidies received?	Transactions with related parties?	Contractual or contingent liabilities?	Issues related to employees and other stakeholders?
United States			SOEs do not disclose, but their governing legislature details control structures							
Viet Nam	Yes, partially	No	Yes, SOEs are required to disclose this information	Board remuneration is disclosed	All SOEs	No	No	Non-arm's length transactions with related parties	No	No

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table A B.3. Corporate governance framework of unlisted SOEs

Jurisdiction	The boards of directors of SOEs are encouraged to perform the following function(s) through the corporate governance framework							
	Formulate, approve, review and monitor the corporate strategy for SOEs	Monitor the effectiveness of the company's governance practices and managerial performance of the top management	Decide on CEO appointment	Decide on CEO dismissal	Decide on executive board/CEO remuneration	Ensure the integrity of accounting and financial reporting systems	Apply high ethical standards including a code of corporate ethics	Monitor and manage potential conflicts of interest
Australia	x	x	x	x	x	x	x	x
Austria	x	x	x	x	x			x
Belgium	x	x	x	x	x	x	x	
Brazil	x	x	x	x	x	x	x	x
Bulgaria	x	x	x		x	x	x	x
Canada	x	x				x	x	x
Chile	x	x	x	x	x	x	x	x
Colombia	x				x	x	x	x
Costa Rica	x	x	x	x		x	x	x
Czechia	x	x				x	x	
Denmark	x	x	x	x	x	x	x	x
Estonia	x	x	x	x	x	x	x	x
Finland	x	x	x	x	x	x	x	x
France	x	x	x	x	x	x	x	x
Germany	x	x			x	x	x	x
Greece	x	x				x	x	x
Hungary	x	x						
Ireland	x	x	x	x	x	x	x	x
Israel	x	x	x	x	x	x	x	x
Italy	x	x	x	x	x	x	x	x
Korea	x	x		x	x	x	x	
Latvia	x	x	x	x	x	x	x	x
Lithuania	x	x	x	x	x	x	x	
Luxembourg	x	x	x	x	x	x		
Netherlands	x	x	x	x	x	x	x	x
New Zealand	x	x	x	x	x	x	x	x
Norway	x	x	x	x	x	x	x	x
Peru	x	x	x	x	x	x	x	x
Philippines	x	x	x	x		x	x	x
Poland	x							
Portugal	x					x	x	x
Romania	x	x	x	x	x	x	x	x
Slovak Republic	x	x	x	x	x	x		
Slovenia	x	x				x	x	x
Spain	x	x			x	x	x	x
Sweden	x	x	x	x	x	x	x	x
Switzerland	x	x	x	x	x	x	x	x
Thailand	x	x	x	x	x			
Türkiye	x					x	x	

Jurisdiction	The boards of directors of SOEs are encouraged to perform the following function(s) through the corporate governance framework							
	Formulate, approve, review and monitor the corporate strategy for SOEs	Monitor the effectiveness of the company's governance practices and managerial performance of the top management	Decide on CEO appointment	Decide on CEO dismissal	Decide on executive board/CEO remuneration	Ensure the integrity of accounting and financial reporting systems	Apply high ethical standards including a code of corporate ethics	Monitor and manage potential conflicts of interest
Ukraine	x		x	x	x		x	
United Kingdom	x	x			x	x	x	
Viet Nam	x							

Note: In principle the boards of directors in Thailand have the authority to appoint and remove the CEO. However, in practice it requires government approval.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table A B.4. Consultation of the government shareholder during the CEO appointment process

Jurisdiction	To what extent is the government shareholder consulted on CEO appointment and dismissal decisions?
Australia	Under the constitution of the SOE, the SOE board may, following consultation with the Shareholder Ministers, remove the CEO from office, subject to the terms of any contract between the SOE and the CEO.
Austria	In the case of stock corporations, the CEOs are appointed by the supervisory board. The supervisory board of SOEs is appointed by the owner(s). To this extent, there is an indirect influence on the appointment of the CEOs. In the case of limited liability companies, the managing director(s) of an SOE is/are appointed by the owner(s) (the state). There is no difference between fully-owned SOEs and partially-owned SOEs.
Belgium	The Minister under whose tutelage the SOEs in question fall is informed by the decision to appoint or dismiss a CEO.
Brazil	The indications are made by the line ministries as specified in the Decree Law n° 200/67 and the Ministry of Economy.
Bulgaria	The Executive Director/CEO is also a member of the Board and is elected by the Board in accordance with the Commercial Act. Competitive procedures are in place.
Canada	For virtually all parent Crown corporations, the shareholder appoints, terminates and sets compensation for the CEO. For subsidiary Crown corporations, these actions are dealt with by the parent Crown corporation or the board of the subsidiary.
Colombia	It is the President who nominates their CEOs and some members of the board.
Costa Rica	State-owned enterprises in the Non-Financial Sector In the case of State-Owned Companies operating in the non-financial sector, in accordance with the organizational structure of each institution, the Management Body acts in absolute independence and within its functions is attributed the appointment and removal of senior management officials, including the CEO. State-owned enterprises in the financial sector In the case of State-owned enterprises operating in the financial sector, in accordance with the provisions of Article 27 of Law No. 1644, the Board of Directors acts in absolute independence and according to Article 34, paragraph 5, it is an attribution of this body to appoint and remove, when appropriate, to the Manager, Deputy Manager, Auditor and Deputy Auditor of the Bank, and assign to them their functions and duties, within the prescriptions of this law.
Croatia	In SOEs in which the state is the majority owner, the member of the Management Board shall be elected exclusively on the proposal of the ownership body (competent ministry) and the Government of the Republic of Croatia, in the case of legal persons of special interest. In the case of SOEs which are not of special interest in this case, the members of the management board are proposed by the CERP Governing Council, which is formed by a majority of state officials.
Czechia	The government shareholder is responsible for the appointment and removal of the CEO to the extent permitted by the company's articles of association.
Denmark	The board of directors appoints/dismisses the CEO.
Estonia	The government has no say in the appointment of CEOs, which are appointed by supervisory boards, but usually the chair of the supervisory board introduces new management board members to the owner before publication.
Finland	The Board of Directors appoints the Managing Director and decides on his or her remuneration.

Jurisdiction	To what extent is the government shareholder consulted on CEO appointment and dismissal decisions?
France	With regard to the appointment/revocation of managers, a distinction must be made between companies in which the State holds more than 50% directly and those in which it holds less than 50% indirectly: In companies where the State holds a majority of the capital directly, the board of directors proposes the appointment of the chief executive officer, who is appointed by decree of the President of the Republic in accordance with the order of August 20, 2014 relating to the governance and capital transactions of companies with public participation. In these same companies, the general manager is dismissed by decree. In other companies in which the State holds a stake or those held indirectly, the Chief Executive Officer is appointed and, if necessary, dismissed by the Board of Directors as in any other company. The State participates in the vote through its representative on the board.
Germany	The Federal Republic is always involved in appointment and dismissal decisions, but only within the general legal framework of Corporate law.
Greece	The government shareholder is not consulted on the CEO appointment and dismissal decisions of SOEs within the HCAP portfolio. The establishment of HCAP entails, by its nature, the minimization of political interventions into the management of SOEs within the HCAP portfolio.
Hungary	Organisations exercising ownership rights have formal nomination power. They are not subject to parliamentary approval nor accreditation/vetting across the government. Typically board does not appoint CEO. Organisations exercising ownership rights appoint CEO.
Ireland	Typically the governing legislation of the SOEs gives the SOE's board the power to select and appoint the CEO, but the terms and conditions of employment of the CEO, including as to remuneration and pension, are subject to Ministerial approval.
Italy	In both cases of fully-owned and partially-owned SOEs, the government entity exercises its rights as a shareholder in decisions regarding the appointment or the dismissal of all the directors, whereas decisions regarding the role of the CEOs and his managerial powers are adopted by board of director
Korea	CEO appointment process: Large SOEs: Nomination committee (PCs: OSC) Recommendation by line minister President Small SOEs: Nomination committee (PCs: OSC) Line minister
Latvia	The regulations state that nomination of CEO and all executive board members shall be initiated by Supervisory Board, but in SOEs with no Supervisory Board established the shareholder holds the initiative of SRO nomination process. Whoever initiates the CEO nomination process, shall establish a nomination commission for the selection and evaluation of candidates. The nomination commission shall include the representatives of the shareholder or the Supervisory Board of SOE, independent experts and the coordinating institution.
Lithuania	In case of statutory enterprises (state enterprise), appointment and dismissal of the CEO is a sole responsibility of ownership entity (usually – ministry). In practise, the board may assist or provide opinion regarding appointment or dismissal of CEO, but the final decision is made by ownership entity. In general, this is a decision of the minister of line ministry.
Luxembourg	It will depend on the organic law. The final decision might be reserved to the Government. Process does not change based on the fact of an SOE being partially or fully-owned but rather on the organic law. (Art. 6 https://legilux.public.lu/eli/etat/leg/igc/2004/06/11/n1/jo) The SOE submits for approval to the responsible Ministry the decision for the board when it comes to appoint and dismiss the General director/ the directors when they are under a private law regime.
Netherlands	For some SOEs the shareholder has the right to appoint and dismiss all board members (e.g. Executive Board included), in other cases the shareholders only appoints and dismisses the supervisory board.
New Zealand	The government shareholder is not consulted on the appointment or dismissal of a CEO, although informed.
Norway	Government as a shareholder is not enrolled in CEO-matters. This is strictly left to the board. The government is not consulted in this.
Peru	The appointment and dismissal of the CEO are the prerogative of the directors. As a shareholder, the government sets minimum requirements for CEO appointments.
Philippines	Under Section 15 of Republic Act No. 10149, the President of the Philippines appoints the Appointive Directors of GOCC Governing Boards. Thereafter, the Appointive Directors elect from among themselves the CEO in accordance with Section 18 of Republic Act No. 10149. Thus, "a would-be CEO must first have been qualified under the Fit and Proper Rule GCG Memorandum Circular No. 2012-05 (https://gcg.gov.ph/files/NgdVieoExwkOEXUd0MH1.pdf) and appointed by the President of the Philippines into the Governing Board of the GOCC, and only thereafter will he/she be qualified to be elected as the CEO of the company." GCG Memorandum Circular No. 2012-09 The Chief Executive Officer (https://gcg.gov.ph/files/zG9g4Z8gqWP3ZXe7qtWY.pdf)
Poland	It is not consulted. When members of the governing body are appointed by the supervisory board, a qualification procedure is conducted. Its purpose is to check and evaluate the qualifications of candidates and to select the best candidate. If members of the management body are appointed by the general meeting/shareholders' assembly, the supervisory board/shareholder's proxy (if such authority is provided by the articles of association or resolution of the shareholders' assembly) may conduct the qualification procedure.

Jurisdiction	To what extent is the government shareholder consulted on CEO appointment and dismissal decisions?
Portugal	In fully-owned SOEs, the appointment and dismissal of board members is the responsibility of the Government. If the SOE has any other shareholder, the appointment and removal of board members is carried out in accordance with the shareholders' agreement.
Romania	In theory, the board has full discretion for appointing executive managers (based on a shortlist of candidates who applied to board positions). However in practice, executive managers are often directly appointed by the state for an "interim" period not exceeding 6 months (which can be extended).
Saudi Arabia	
Slovak Republic	As this depends on bylaws of the company, in the fully state-owned SOE, the CEO is the Chair of BoD or it is BoDs' responsibility to find the CEO.
Slovenia	The government shareholder (or SSH) is not consulted or involved in CEO appointment and dismissal decisions unless the decision has to be taken by the Government or SSH (according to the particular SOE's internal regulation).
Spain	The government shareholder is not consulted on the CEO appointment and dismissal decisions of SOEs. Board of directors organisation, modus operandi and decision-making shall be governed by the provisions of the by-laws and, wanting that, the provisions hereunder on joint stock companies' boards of directors.
Sweden	The government shareholder is not consulted in the CEO-decision, only informed.
Switzerland	There is no consultation of the government shareholder on CEO appointment by companies limited by shares, as this is an non-transferable and inalienable duty of the BoD.
Thailand	For CEO nomination and appointment, the board establishes a nomination committee comprising of five board members. This committee's recommendation is subsequently presented to the board for approval. Following this, the State Enterprise Policy Office (SEPO) of the Ministry of Finance is consulted for approval regarding CEO compensation.
Türkiye	In SOEs the CEO is appointed by the Presidential Decision.
United Kingdom	Generally, the appointment (and dismissal) of a CEO is a decision of the Board subject to Ministerial consent. Ministers will be engaged when a competition is launching for their views on the job description to be advertised and Ministers will be asked to consent to the Board's chosen/preferred candidate at the end of the competition. Ministers will also be engaged if there is a decision to remove the CEO
Viet Nam	The appointment of CEO depends on the legal form of the company. In case of joint-stock SOEs, the board of directors (BoD) is entitled to recruit and enter into a labour contract with the CEO, subject to the approval of the state owner. CEOs of whollyowned companies are appointed by the board of members (BoM) following the request of the owner's representative agency. The proposals and nominations are initially made by the competent ministry based on the pool of candidates, and BoMs are consulted. In the case of company groups, the Chair and CEO/General Director positions are considered to be a "high-level personnel" and thus subject to an appointment by the Prime Minister.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table A B.5. Who may serve on SOE boards?

Jurisdiction	Former politicians	Political ministerial officials may serve on SOE boards*	Career civil servants may serve on SOE boards	Elected politicians may serve on SOE boards*	None of them are allowed to serve on boards
Argentina	x	x	x		
Australia			x		
Austria		x	x	x	
Azerbaijan	x	x	x	x	
Belgium			x		
Brazil	x	x	x		
Bulgaria					x
Canada		x	x	x	
Chile	x				
Colombia	x	x	x	x	
Costa Rica					x
Croatia	x			x	
Czechia		x	x	x	
Denmark			x	x	
Estonia	x		x		
Finland	x				
France	x				x

Jurisdiction	Former politicians	Political ministerial officials may serve on SOE boards*	Career civil servants may serve on SOE boards	Elected politicians may serve on SOE boards*	None of them are allowed to serve on boards
Germany	x	x	x	x	
Greece	x				x
Hungary	x	x	x		
Ireland	x	x	x		
Italy					x
Japan	x				
Korea	x				x
Latvia			x		
Lithuania	x		x		
Luxembourg					x
Malaysia	x		x		
Mexico	x	x	x		
Netherlands	x				
New Zealand	x	x	x		
Norway	x				
Peru	x	x	x		
Philippines		x	x		
Poland					x
Portugal					x
Romania		x	x	x	
Slovak Republic	x	x			
Slovenia					x
South Africa	x		x		
Spain	x	x	x		
Sweden	x	x	x	x	
Switzerland	x		x		
Thailand	x		x		
Tunisia					
Türkiye	x		x		
Ukraine	x	x	x		
United Kingdom			x		
United States	x	x	x	x	
Viet Nam	x	x	x	x	

Note: In some jurisdictions, such as Finland or Ireland, while there may not be an explicit prohibition for (current or former) ministerial officials or elected politicians to serve on SOE boards, in practice this is not typical.

Source: OECD Working Party on State Ownership and Privatisation Practices.

Table A B.6. The role of the chair

Jurisdiction	Does the Chair of an SOE act as the primary point of contact between the ownership entity and the board?	Is it common, or is it allowed, that the chief executive officer of an SOE at the same time serves as chair of the board?*
Australia	Yes	Allowed but uncommon
Austria	The chair and the CEO	Not allowed
Azerbaijan	Unclear	Not allowed
Belgium	Yes	Not allowed
Brazil	Yes	Not allowed
Bulgaria	No, members of the board represent the company collectively	Allowed and common
Canada	Yes	Allowed but uncommon

Jurisdiction	Does the Chair of an SOE act as the primary point of contact between the ownership entity and the board?	Is it common, or is it allowed, that the chief executive officer of an SOE at the same time serves as chair of the board?*
Chile	The chair and the CEO	Not allowed
Colombia	No, members of the board represent the company collectively	Allowed but uncommon
Costa Rica	The chair and the CEO	Not allowed
Croatia	Yes	Not allowed
Czechia	Yes	Allowed and common
Denmark	Yes	Not allowed
Estonia	Yes	Not allowed
Finland	Yes	Allowed but uncommon
France	The chair and the CEO	Allowed and common
Germany	No, the respective appointed board member	Not allowed
Greece	No, the CEO	Allowed but uncommon
Hungary	The chair and the CEO	Allowed and common
Ireland	Yes	Not allowed
Israel	Yes	Not allowed
Italy	The chair and the CEO	Allowed but uncommon
Korea	Yes	Allowed but uncommon
Latvia	Unclear	Not allowed
Lithuania	Yes	Not allowed
Luxembourg	No response	Not allowed
Netherlands	The chair and the CEO	Not allowed
New Zealand	The chair and the CEO	Not allowed
Norway	Yes	Allowed but uncommon
Peru	Yes	Not allowed
Philippines	No, the CEO	Allowed but uncommon
Poland	No, members of the board represent the company collectively	NA
Portugal	Yes	NA
Romania	No, members of the board represent the company collectively	Not allowed
Slovak Republic	Yes	Allowed and common
Slovenia	The chair and the CEO	Not allowed
Spain	The chair and the CEO	Allowed but uncommon
Sweden	Yes	Not allowed
Switzerland	Yes	Allowed but uncommon
Thailand	No, members of the board represent the company collectively	Allowed
Türkiye	The chair and the CEO	Allowed and common
Ukraine	No, members of the board represent the company collectively	Not allowed
United Kingdom	The chair, the CEO, and the government shareholder director	Allowed but uncommon
Viet Nam	The chair and the CEO	Not allowed

Note: While in some jurisdictions, it may not be explicitly prohibited that the CEO can simultaneously serve as the Chair, such an arrangement does not happen or rarely happens in practice.

Source: OECD Working Party on State Ownership and Privatisation Practices.

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